BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company Of New York, Inc.

Case 25-E-0072

May 2025

Prepared Testimony of:
Staff Electric Infrastructure
and Operations Panel

Philipose Philip
Utility Analyst 3

Daniel Roszko
Utility Engineering Specialist 2

Mohammed Hasan
Utility Engineering Specialist 1

Christopher Moquete
Utility Engineering Specialist 1

Nicholas DeLuca
Utility Analyst Trainee 2

State of New York
Department of Public Service
90 Church Street, 4th Floor
New York, New York 10007

125 East Bethpage Road
Plainview, New York 11803

Q. Members of the Staff Electric Infrastructure and Operations Panel, referred to as the Panel, please state your names, employer, and business addresses.

A. Philipose Philip, Daniel Roszko, Mohammed Hasan and Christopher Moquete are employed by the New York State Department of Public Service, referred to as the Department, and located at 90 Church Street, New York, New York 10007. Nicholas DeLuca is employed by the Department and located at 125 East Bethpage Road, Plainview, New York 11803.

Q. Mr. Philip, what is your position at the Department?

A. I am a Utility Analyst 3 in the Office of Energy System Planning and Performance, referred to as ESPP.

Q. Please briefly state your educational background and professional experience.

A. I received a Bachelor of Science degree in Electrical Engineering from University of Kerala, India, and a Master of Science degree in Electrical Engineering from Polytechnic University, Brooklyn, New York. I started with

the Department in 2008

Q. Please describe your current duties at the Department.

A. My responsibilities at the Department include evaluating utilities' budgets and programs in rate cases; participating in management audits; performing site visits and facility inspections; investigating safety complaints and incidents; serving as a point person for the Safety Inspection Program for Consolidated Edison Company of New York, Inc. referred to as Con Edison; monitoring utilities compliance with the Commission's Electric Safety Standards; presenting annual safety Standards report to the Commission, responding to FOIL requests and supervising employees in my section.

Q. Have you previously testified before the New York State Public Service Commission, referred to as the Commission?

A. Yes. I testified in Case 08-T-0034, Certificate of Environmental Compatibility and Public Need in Hudson Transmission Project, regarding the overall project environmental and need assessment; in Case 16-E-0060, for Con Edison on

electric distribution Operation and Maintenance (O&M) programs and projects; in Case 18-E-0067, for Orange and Rockland on capital and O&M electric distribution programs and projects; in Case 19-E-0065, Con Edison rate case on distribution programs, in Case 21-E-0074, O&R rate case on capital projects & O&M expenses, in Con Edison Rate Case 22-E-0064 on Capital and O&M programs and in Case 24-E-0060 O&R Rate Case on Capital and O&M projects.

Q. Mr. Roszko, what is your position at the Department?

A. I am a Utility Engineering Specialist 2 in ESPP.

Q. Please briefly state your educational background and professional experience.

A. I graduated from Stony Brook University with a Bachelor of Engineering degree in Electrical Engineering in 2015. I am a registered Intern Engineer in the State of New York. I have been employed with the Department since August 2016.

Q. Please describe your current duties at the Department.

A. My responsibilities at the Department include reviewing and evaluating capital projects and

O&M programs presented in utility rate cases; performing site visits and facility inspections; investigating safety complaints and incidents; participating in utility management and operation audits; and monitoring utility compliance with the Commission's Electric Safety Standards.

Q. Have you previously testified before the Commission?

A. Yes. I have testified before the Commission in Case 19-E-0065, Con Edison's 2019 rate proceeding, as a member of Staff's Reliability Performance Mechanism and Municipal Infrastructure Support Panels; in Case 21-E-0074, O&R's 2021 rate proceeding, as a member of the Staff's Electric Infrastructure and Operations, and Information Technology and Common Panels; in Case 22-E-0064, Con Edison's prior rate proceeding, as a member of Staff's Electric Infrastructure and Operations, and Municipal Infrastructure Support Panels; and in Case 22-S-0659, as a member of Staff's Steam Infrastructure and Operations Panel.

Q. Mr. Hasan, what is your position at the

Department?

A. I am a Utility Engineering Specialist 1 in ESPP.

Q. Please briefly state your educational background and professional experience.

A. I received a Bachelor of Science degree from New York University Tandon School of Engineering in 2019. I am a registered Intern Engineer in the State of New York. I have been employed with the Department since December 2021.

Q. Please describe your current duties at the Department.

A. My responsibilities include performing engineering analyses and reviews of rate filings, performing reliability analyses of electric services, investigating customer complaints associated with reliability issues, performing site visits and facility inspections, and monitoring utility compliance with the Commission's Electric Safety Standards.

Q. Have you previously testified before the Commission?

A. Yes, I provided testimony in rate proceedings for Cases 23-G-0225 & 23-G-0226. My testimony was related to the gas capital expenditures. I

also provided testimony for Case 24-E-0060 on Capital and O&M projects.

Q. Mr. Moquete, what is your position at the Department?

A. I am a Utility Engineering Specialist 1 in ESPP.

Q. Please briefly state your educational background and professional experience.

A. I graduated from the City College of New York with a Bachelor of Mechanical Engineering in 2024. I have previously interned with the Department. I have been employed at the Department since August 2024.

Q. Please describe your current duties at the Department.

A. My responsibilities at the Department include reviewing and evaluating capital projects and O&M programs presented in utility rate cases; performing site visits and facility inspections; investigating safety complaints and incidents; participating in utility management and operation audits; and monitoring utility compliance with the Commission's Electric Safety Standards.

Q. Have you previously testified before the

Commission?

A. No.

Q. Mr. DeLuca, what is your position at the Department?

A. I am a Utility Analyst Trainee 2.

Q. Please briefly state your educational background and professional experience.

A. I served in the United States Marine Corp on active duty as an Electro Optical Ordnance Repairer from 2003-2008. I earned the rank of Sergeant, deployed to Iraq in 2005, and then deployed overseas on the USS Bataan in 2007. My expertise was repairing Howitzer optics, Javelin Command Launch Units and night vision/thermal optics. My titles were Head Optics Chief for the 26th Marine Expeditionary Unit and Missiles Section Head for Fire Control at Maintenance Battalion on Camp Lejuene. I received a Bachelor of Business Administration in Quantitative Business Analysis from Pace University's Lubin School of Business in 2012. From there, I worked as a Vice President of Capital Markets at a family office in Manhattan until 2022. I have been employed with the

Department since December 2023.

Q. Please describe your current duties at the Department.

A. My duties at the Department include fulfilling the responsibilities of the LIO in accordance with the Long Island Power Authority (LIPA) Reform Act and the 2nd Amended and Restated Operations Service Agreement between LIPA and the Public Service Enterprise Group Long Island (PSEG-LI). This includes assisting Department staff with overseeing PSEG-LI's performance, scheduling periodic meetings with internal and external parties, assisting in collecting documentation to support staff's analysis of PSEG-LI's performance, help develop timelines, trackers, and templates for current metrics, and recommendations for future metrics.

Q. Have you previously testified before the Commission?

A. No.

Overview

Q. What is the purpose of the Staff Electric Infrastructure and Operations Panels, referred to as SEIOP or the Panel, testimony?

A. The purpose of this testimony is to address certain System Expansion and New Business, Risk Reduction and Reliability, Replacement, Equipment Purchases, Environmental, and Electric Production capital projects and Operations & Maintenance, or O&M, expense programs, as presented by the Company's Electric Infrastructure and Operations Panel, referred to as EIOP. In addition, we will provide recommendations on the Company's proposed SF6 deferral and New Business net plant reconciliation. These proposals are presented in the Company's initial EIOP testimony. The Company's testimony includes proposals for the 12-month period ending December 31, 2026, referred to as the Rate Year or RY1; the 12-month period ending December 31, 2027, referred to as Rate Year 2 or RY2; and the 12-month period ending December 31, 2028, referred to as Rate Year 3, or RY3.

Q. Which items presented by the Company's EIOP are not addressed by SEIOP?

A. We do not address the following projects and programs under the Risk Reduction and

Reliability category: Condition Based Monitoring Program; Distribution Sensors; Energy Management System (EMS) and Auxiliary System Upgrades; EMS Replacement System; Erosion Protection and Drainage Upgrade Program; Medium and Low Voltage Circuit Breaker Reliability Program; Non-Network Reliability; Overhead Insulator Resiliency; Primary Feeder Reliability; Protection, Automation and Control Program; Substation Enclosure Upgrade Program – Resiliency; Substation Loss Contingency – Rapid Recovery of an Area Substation/Transmission Resiliency Transformers; and Underground Secondary Reliability. We do not address the projects and programs under the Replacement, and the Storm Hardening and Resiliency categories, except for the Failed Substation Equipment Other Than Transformers and Failed Substation Transformer Program under Replacement. Additionally, we do not address the proposed program changes in the following projects and programs: ARCOS, Storm Response Center and Supervisory Control and Data Acquisition (SCADA) Maintenance. These projects and programs are addressed by the Staff Electric

Resilience and Reliability Performance Mechanism Panel, or Staff ERRPM.

Q. In this testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes, we refer to several responses to the Information Requests, or IRs. Those responses are provided in Exhibit___(SEIOP-1).

Q. Are there any other exhibits associated with the Panel's testimony?

A. Yes. Exhibit___(SEIOP-2) contains the Panel's recommended capital adjustments for RY1, RY2, and RY3. Exhibit___(SEIOP-3) contains the Panel's recommended non-labor O&M and labor adjustments for RY1, RY2, and RY3. Exhibit___(SEIOP-4) contains a list of electric distribution projects and the Panel's adjustment, which was used to determine our modification to the Company's model for Electric Operations FTEs.

Q. Please briefly summarize the capital investment portion of the Company's initial EIOP testimony reviewed by this Panel.

A. In Exhibit___(EIOP-1), pages 2 and 3, the

Company proposes total transmission and distribution electric plant capital expenditures of approximately $3.93 billion, $4.36 billion, and $4.60 billion in RY1, RY2, and RY3, respectively. In addition, in Exhibit___(EIOP-1), page 4, the Company proposes total Electric Production capital expenditures of approximately $26.61 million, $28.81 million, and $29.71 million in RY1, RY2, and RY3, respectively. Of this request, the Panel reviewed projects and programs related to electric plant capital expenditures totaling approximately $2.93 billion, $3.29 billion, and $3.48 billion in RY1, RY2, and RY3, respectively. The main drivers of the Company's proposed capital investments in the Rate Year are investments in projects and programs to provide safe, reliable and resilient electric service, and to support the State's and their customers' clean energy goals.

Q. Did the Company make any changes to the initial EIOP testimony in their update filing?

A. Yes. In their EIOP update testimony, the Company is proposing eight new projects,

modifying nine projects, removing three projects, shifting the funding and timing of the four electrification hotspot projects, and making several minor corrections and updates.

Q. What is the updated capital investment requested by the Company's EIOP?

A. In Exhibit___(EIOP-1 UPD), pages 2 through 4, the Company proposes total transmission and distribution electric plant capital expenditures of approximately $3.97 billion, $4.19 billion, and $4.50 billion in RY1, RY2, and RY3, respectively. There were no changes to the requested capital investment for Electric Production. Of this request, the Panel reviewed projects and programs related to electric plant capital expenditures totaling approximately $3.06 billion, $3.17 billion, and $3.50 billion in RY1, RY2, and RY3, respectively.

Q. Please briefly summarize the O&M portion of the Company's initial EIOP testimony reviewed by the Panel.

A. In Exhibit___(EIOP-2), page 2, the Company presents its proposed O&M program changes for electric plant. The proposal includes an

increase of $64.39 million above the Historic Test Year, or the period of October 1, 2023, through September 30, 2024, in the Rate Year; an increase of $18.03 million above the Rate Year request in Rate Year 2; and a decrease of $15.48 million below the Rate Year 2 request in Rate Year 3. The main drivers of the Company's proposed change to O&M expense in the Rate Year are the Safety Inspection Program, the Systems Operation – Computer Operations License and Support program, and the EIOP's incremental Full Time Equivalent (FTE) employee request.

Q. Did the Company's update filing change the total O&M expenses proposed?

A. Yes. The EIOP update and corrections testimony includes the removal of the program change for the Feeder Management System Technology Transformation and decreases the program change for the System Operation – Computer Operation License and Support, and the Substation Operations Corrective Maintenance programs.

Q. Please briefly summarize the labor portion of the Company's initial EIOP testimony reviewed by this Panel.

A. On page 2 of Exhibit___(EIOP-3), the Company provides a table showing that the EIOP requests an additional 1184 FTEs to be hired during the linking period and rate years. Of these 1184 FTEs, 22 are to be hired in the linking period, 778 in RY1, 370 in RY2, and 14 in RY3. These new hires are to be conducted for several organizations, including Central Engineering, System and Transmission Operations (S&TO), Substation Operations, Construction, Electric Operations, and Electric Production.

Q. Did the Company's update filing change the incremental FTEs proposed?

A. Yes, Con Edison made three corrections to it labor request. As stated on page 24 of the EIOP update testimony, Substation Operations FTEs were updated to show the shifting of 60 FTEs to be hired from RY1 to the linking period, Supervisory Control and Data Acquisition Maintenance FTEs were updated to correct the inclusion of one FTE in RY1 as it was not an incremental FTE, and Steam Operations Organization FTEs were corrected to shift the one planned FTE for RY1 into the linking period

resulting in five FTEs to be hired in the linking period.

Q. Please provide an overview of the Panel's testimony.

A. First, we describe our review of the Company's capital and O&M projects and programs, along with the general reasons and rationale for our adjustments. Second, we explain our recommended capital adjustments for several projects and programs shown in Exhibit___(SEIOP-2), and our recommended adjustments to the O&M projects and programs, including labor, shown in Exhibit___(SEIOP-3) for the Rate Year. Finally, we address certain other proposals from Con Edison in the EIOP testimony, including the New Business reconciliation, SF6 deferral. While our testimony presents our adjustments and recommendations for the Rate Year, we also include our recommendations for Rate Year 2 and Rate Year 3 to facilitate potentially pursuing a multi-year rate plan .

Review Process

Q. Please explain the Panel's process for reviewing the Company's programs and projects.

A. We reviewed and evaluated the information provided by the Company in its filing and analyzed information provided in response to IRs in this proceeding. For each category of Electric T&D: System Expansion and New Business, Risk Reduction and Reliability, Replacement, Equipment Purchases, and Environmental, and for Electric Production, we analyzed the capital project or program for which the Company forecasted expenditures during the three rate years. We participated in numerous technical discussions to investigate and confirm the status of major on-going and conceptual capital projects and to assist our analysis of the timing, reasonableness of cost, and the need for the projects. When reviewing each project, alternative analysis and options, such as non-wires alternatives and other potential solutions were requested of the Company by the Panel and included as part of our overall analysis. Similarly, we reviewed programs where the Company's EIOP proposes an increase in funding. This analysis and evaluation resulted in the adjustments and recommendations discussed in our

testimony.

Q. Given the Company's proposed budgets for the System Expansion and New Business category included significant increases over prior years, please explain the Panel's approach to reviewing the large substation projects identified in this category and associated budgets?

A. In recent years the Company has experienced significant load growth across its service territory and specifically in the Brooklyn/Queens load area where several new substation projects have been proposed as well as several substation projects that have already been before the Commission in other proceedings. For example, four of the eight major substation projects identified in this case have already been decided upon by the Commission in Cases 20-E-0197 and 22-E-0064 and total approximately $1.03 billion of the approximate $2.01 billion requested during the rate year for those eight substation projects. The remaining four substation projects are new to this rate case and total approximately $765 million in the rate years. The Company has identified each projects

need based on existing and projected load forecasting that includes the business load and electrification of new buildings and vehicles in its service territory and Staff has reviewed the timing, reasonableness and cost of those similar to the other projects and programs proposed by the Company.

Q. In addition to the project specific review, did the Panel review Con Edison's budgeting process?

A. Yes. We analyzed responses to IRs addressing the Company's capital and O&M budgeting process. These IRs focused on the Company's cost estimation process, starting from initial order of magnitude estimates through and including current working estimates. A current working estimate is a detailed cost estimate of a project that has been fully engineered. We reviewed the process from the project's initial justification and inclusion in the Company's five-year budget plan to its inclusion in the annual budget for the succeeding year. As provided in the Company's response to DPS-97 the Panel explored the cost control measures employed by Con Edison to ensure that its

proposed projects are completed in a cost-effective manner, including the bid check process and the Company's use of competitive bid contractor services. Our review of the Company's budgeting processes provided us with information to better understand and analyze the need, timing, and cost of the projects and programs proposed.

Q. What did the Panel conclude based on your extensive review?

A. In instances where we reached conclusions regarding the need, timing, and reasonableness of the costs of capital and O&M projects and programs that differ from Con Edison, we recommend adjustments and alternate solutions.

Q. Please describe the methodology the Panel used to develop its recommendations and adjustments for specific programs and projects.

A. After reviewing the information regarding each program or project, we reviewed historical actual and budgeted costs over the most recent five-year period from calendar year 2020 through calendar year 2024. For ongoing programs or projects with no material change in scope or

funding, we may recommend an adjustment based on the average actual spend over three or five historical years, depending on the program. Specific program and project adjustments are discussed in more detail later in our testimony. A summary of the Panel's capital adjustments is presented in Exhibit___(SEIOP-2). A summary of the Panel's O&M and labor adjustments is contained in Exhibit___(SEIOP-3).

System Expansion and New Business Capital Expenditures

Q. Please describe the System Expansion and New Business category.

A. As stated on page 61 of the EIOP's initial testimony, "System Expansion consists of projects and programs that increase system capacity to address the impacts of growth in customer demand, changes in customer load patterns, or to accommodate supply additions and retirements. New Business consists of projects and programs that connect new customers to the Company's electric system."

Q. What level of funding did the Company propose

for the System Expansion and New Business category in its initial filing?

A. On page 3 of Exhibit___(EIOP-1), the Company proposes electric plant capital expenditures of approximately $1.88 billion, $2.06 billion, and $2.18 billion, for Rate Years 1, 2, and 3, respectively. The Panel reviewed all projects and programs under this category.

Q. Did the EIOP's update and corrections testimony modify the capital investment request of any projects or programs under the System Expansion and New Business category?

A. Yes, the EIOP update and corrections testimony made numerous changes to the capital investment request under the System Expansion category. This includes the addition of eight new projects, the removal of three projects in the initial filing, modifications to nine projects, updates to the cost of one project, and shifting the timing and funding for the four electrification hotspot projects. As shown on page 1 of Exhibit___(SEIOP-2), Schedule 2, the Company proposes electric plant capital expenditures of approximately $2.01 billion,

$1.95 billion, and $2.20 billion, for Rate Years 1, 2, and 3, respectively. We reviewed the new and modified projects under the System Expansion and New Business category.

Q. Please describe the Company's Amtrak PSA-OAK project.

A. As explained in Exhibit___(EIOP-7), page 2, this project will establish new 138kV feeders from Mott Haven Substation to the new Metro North, Oak Substation. Amtrak/MTA is going to build a new substation in the east side of the Bronx along Bruckner expressway to upgrade infrastructure. Con Edison will be building the service cables to Amtrak's new facility and is working together with MTA to engineer the path from Mott Haven to an abandoned rail tunnel that runs east to west and to the end of the tunnel, where the substation will be. Con Edison will build two routes of approximately 1,000 linear feet each, installed in an approximate 3ft x 3ft duct bank and two manholes in between.

Q. What funding level did the Company request for this program during RY1, RY2, and RY3?

A. The Company requests capital investments of

approximately $5 million, $2.5 million, and $0.0 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. MTA construction and development is funding an upgrade and infrastructure because Metro North will be running 125 trains a day on the east side of the Bronx over Hellgate bridge into Penn Station. In order to complete this work, Con Edison needs to supply 138kV cable that will act as service cable. This project is a New Business project, and Con Edison has an obligation to serve under the New York Independent System Operator (NYISO) tariff section 4.6 related to high tension service.

Q. Does the Panel recommend any adjustments for this project during the Rate Years?

A. The Panel supports the project however, we recommend pushing back the RY1 funding to RY2 and the RY2 funding to RY3 resulting in RY2 funding of $5 million and RY3 funding of $2.5 million for this project.

Q. Describe the Panel's rationale for its recommendation.

A. In a recent budget meeting, it was confirmed that the property which Amtrak procured has certain eviction issues and they are looking for a new location and property. Since Amtrak has not yet found the required property, it is recommended to push back the funding at least by one year.

Q. What other programs under System Expansion Category would the Panel like to discuss?

A. The Panel would like to discuss the Company's Emergent Load Relief, Non- Network Feeder Relief (Open Wire), Primary Feeder Relief and, Secondary Mains Load Relief Program.

Q. Please describe the Emergent Load Relief program.

A. According to the EIOP testimony at page 83, this is an existing program which provides funding to cover any small-scale emergent load relief projects that may appear while updating the ten-Year Load Relief Plans or through post-summer analysis. Project types that typically are funded via this program include transformer cooling projects (both fan and water-cooling projects), bus cooling, capacitor bank

installations, and bus upgrades.

Q. What funding level did the Company request for this program during RY1, RY2, and RY3?

A. The Company requests capital investments of approximately $7.2 million, $7.4 million, and $8.050 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. On Page 111 of Exhibit___(EIOP-7), the Company states that while all known large load relief projects that were developed in the Company's latest ten-Year Load Relief Plan are being requested as individual project lines in the Substation Operations Capital Budget, additional projects are required because of a new load forecast or post-summer analysis. In these cases, load relief measures and/or reliability work may be required to meet the forecasted demand for the following summer. Since these projects are a result of post-summer experience, they are not specifically included in the prior year's funding. This program provides funding for projects of this type so that work can be

done quickly, so to have load relief measures in place prior to next summer.

Q. Does the Panel recommend any adjustments for this program during the Rate Years?

A. Yes, we recommend a budget of $5.7 million for RY1, $5.7 million for RY2, and $5.7 million for RY3.

Q. What is the Panel's rationale for its recommendation?

A. Based on its response to DPS-266 the Company has spent an average of $5.688 million over the last three years from 2022 to 2024, and $3.413 million based on five-year average from 2020 to 2024. The Panel recommends funding levels for the rate years based on recent three-year actual historical spending and work activity trends in recent years. Also, the Company did not provide any specific work plans under this program, and the work is dependent on projects that may emerge and take priority. .

Q. Please describe the Non-Network Feeder Relief (Open Wire) program.

A. On page 181 of 324, Exhibit___(EIOP-7), Company states that the goal of this program is to

provide relief for non-network feeders projected to operate above 100 percent of their normal ratings and above 100 percent of their contingency ratings. Relief projects include replacing overloaded cables with higher-rated cables, transferring loads from one feeder to another, or establishing new feeders. This is an ongoing program.

Q. What is the Company's justification and need for this program?

A. As system load grows, individual feeders may exceed their design limits. Feeder peak loads and calculated feeder ratings are used to determine if a feeder needs reinforcement. Reinforcement plans generally involve eliminating small-size cables, establishing new feeders, or transferring load by rearranging feeders. With an increase in wire and equipment size, existing poles and fixtures may not have the capability to support the additional weight and may require replacement.

Q. What is the funding Con Edison requests for this program?

A. The Company requests $7.501 million in RY1,

$7.802 million in RY2, and $8.036 million in RY3

Q. Does the Panel agree with the Company's funding request?

A. No, we recommend the Commission reduce the request to $6.0 million in RY1, $6.5 million in RY2, and $7.0 million in RY3 based on the average spending in the last five years from 2020 to 2024. e prioritized. The Panel recommends funding levels for the rate years based on actual historical spending and work activity trends in recent years.

Q. Please describe the Primary Feeder Relief program.

A. This program addresses reinforcement work on primary distribution feeders that have been projected to operate above their thermal ratings during the summer peak load period. Reinforcement projects may include Cable replacement, transferring load between feeders, balancing load on a given feeder, bifurcating an existing feeder and establishing new feeders. The primary feeder relief program is focused on proactively reinforcing distribution feeders that are projected to be overloaded during the

upcoming summer peak periods.

Q. What funding level does the Company request for this program?

A. The Company proposes $4.919 million in RY1, $5.165 million in RY2, and $5.423 million in RY3

Q. What is the Company's justification and need for this program?

A. As explained in Exhibit___(EIOP-7) page 220, Primary Feeder Relief is an existing annual relief program to maintain and ensure capacity on all primary distribution feeders. Adequate feeder capacity ensures the reliability of both the Company's primary and secondary distribution systems and provides customers with reliable service. Con Edison specifications require that distribution feeders must operate within their design thermal capabilities for both normal/ continuous and contingency/ emergency operation. Relief projects include replacing the overloaded primary cable sections with a new primary cable of higher rating, installing additional primary cable sections in order to decrease the load on the sections to a level where it is no longer overloaded.

Q. What is the Panel's recommendation regarding this program?

A. The Panel agrees with the need for the program, however, we recommend a budget of $3.0 million for RY1, $3.0 million for RY2, and $3.0 million for RY3, which reflects the average spending on this program for the last five years from 2020 to 2024. The Panel recommends funding levels for the rate years based on recent actual historical spending and work activity trends in recent years. Also, the Company has historically underspent on this program.

Q. Please describe the Secondary Mains Load Relief program.

A. This existing program funds work on secondary mains whose loading is projected to exceed loading capability based on the forecasted system electric load growth and customer expectations including emergency response. Secondary mains replacements are prioritized based on loading, voltage issues, past performance, age, conductor size and conductor type. This program utilizes peak load data within the Poly Voltage Load Flow (PVL)model to

identify sections of secondary that are overloaded. Based on the results, sections of secondary will be replaced/upgraded to alleviate the overloads.

Q. What is the Company requesting for funding during the rate years?

A. The Company requests funding of $2.850 million, $2.992 million, and $3.142 million for rate years RY1, RY2, and RY3, respectively.

Q. Does the Panel agree with the funding proposed for this project by Con Edison?

A. No, we recommend a budget of $2.0 million per rate year for RY1, RY2, and RY3, which reflects the average spending over the last five years from 2020 to 2024. The Panel's recommendation is based on the Company's historical underspending and historical five-year of actual spending.

Q. Please describe the Company's Brooklyn Energy Hub (Positions 2S and 2N) project.

A. Under this project, the Company seeks funding to install two additional 345 kV positions at the Brooklyn Clean Energy Hub (BCEH) while it is under construction. This project, and the BCEH,

have an estimated in-service date of 2028. Additionally, this is a new project that was not proposed in the prior electric rate proceeding, Case 22-E-0064.

Q. What funding level does the Company request for this project?

A. On page 26 of Exhibit___(EIOP-7), the Company initially requested $9 million in RY1, $6 million in RY2, and $1.76 million in RY3. In the update and corrections filing, the Company's EIOP revised the funding request in to $9 million in RY1, $8 million in RY2, and $18 million in RY3. As mentioned on page 4 of the EIOP update testimony, the costs for this project were revised to include the latest estimate in the Company's capital expenditure request.

Q. What is the Company's justification and need for this project?

A. On page 24 of Exhibit___(EIOP-7), Con Edison states that because of significant developer interest in using the BCEH as an interconnection point for their clean energy projects, further expansion of the BCEH from the approved scalable

reliability version is necessary to ensure the full deliverability of new clean energy interconnections. The Company further adds that the Public Policy Transmission Need (PPTN) in New York City is a requirement driving the need for additional transmission facilities and points of interconnection to receive and deliver the output of offshore wind resources, with the BCEH being included in all 28 proposed PPTN solutions. The current design of the BCEH includes two interconnection points, six less than Con Edison initial proposed in Case 20-E-0197. The Company seeks the expansion and reconfiguration of BCEH now to avoid lengthy outages, reduce the risk of not getting an outage, and because it is more cost effective to perform the work now as opposed to after energization.

Q. What did the Panel find in its review?

A. We found that on August 7, 2024, the Company filed a petition in Case 20-E-0197 seeking expedited approval and cost recovery of an expanded work scope at the BCEH. This expanded work scope included the installation of four

additional points of interconnections (POIs) at a cost of approximately $66 million above the $810 million cost cap for the BCEH. The current design of the BCEH includes two POIs. In the petition, the Company states that four developers responded to the NYISO's solicitation for the New York City PPTN with 28 proposed solutions, and that every solution used the BCEH as an interconnection point. The Company states that, as currently designed, the BCEH is not configured to accommodate all the proposed solutions and that construction of the additional interconnection points after the BCEH is in service would be at a higher cost and with more operational risks and inefficiencies than if the additional connection points were built while BCEH is under construction. On September 11, 2024, the Company filed a letter withdrawing the August 7 petition because the equipment vendor advised the Company that it cannot deliver the equipment needed to expand the BECH interconnection points before its scheduled in-service date.

Q. Did the Panel learn anything else during its

review?

A. In response to DPS-657 the Company states that one project will be selected under the PPTN process and that of the 28 proposed solutions, 10 solutions will need one POI at the BCEH, four solutions will need two POIs, nine solutions will need four POIs, and five solutions will need six POIs. Additionally, in its response to DPS-657, Con Edison provides a table showing the cost breakdown for the installation of one POI post-energization. This table indicates that the total cost is $22.5 million. This is only $5 million more than the average estimated $17.5 million per POI derived from the Company's $35 million request for two POIs under this project.

Q. Does the Panel recommend any adjustments to this project during the Rate Years?

A. Yes, we recommend that the Commission reject this project and the capital expenditures associated with it. The Company's justification for its proposal is primarily developer interest in using the BCEH as an interconnection point for clean energy projects. As mentioned earlier, the Company states that NYISO will

select one of the 28 proposed solutions for the New York City PPTN. Considering that 50 percent of the solutions require only one or two POIs at the BCEH, we are concerned that the additional POIs requested by the Company under this project could go unused until additional projects are proposed and built. Additionally, with the recent changes in federal government policy and the slowing down of offshore wind funding, it appears less likely additional POIs will be needed in the near future. Finally, the Company seeks funding for the Sunset Park 345 kV transmission substation, which is expected to be in-service by 2034. On page 21 of Exhibit___(EIOP-7 UPD), the Company states that with additional expansions, the Sunset Park station will be capable of supplying 345 kV connections to expand the Eastern Queens transmission substation as well as offer POIs for renewable resources such as offshore wind. Sunset Park station's potential to interconnect offshore wind, and its location further south in Brooklyn and closer to The Narrows, allowing for shorter connections to offshore wind farms, adds

to our concern and supports our recommendation to the Commission that the additional POIs at the BCEH are not necessary at this time, thus the project should be rejected by the Commission.

Q. Please describe the Company's Network Transformer Relief program.

A. The Network Transformer Relief program funds the installation costs of providing relief to network transformers whose projected load and operating temperatures exceed their rating, per Con Edison's engineering specification EO-2002. The relief work under this program consists of replacing an existing transformer with a new transformer of a slightly higher rating, replacing an existing transformer with a larger transformer that has a significantly higher rating, establishing a new vault and installing a new transformer to reduce the loading on nearby transformers, and mains to relieve transformer overloads. This program is an annual program that has been included in prior rate filings.

Q. What funding level does the Company request for

this program?

A. The Company requests capital investments of approximately $18.96 million, $19.67 million, and $19.76 million in RY1, RY2, and RY3 respectively.

Q. Panel, what is the historical actual spending and budgets for this program?

A. According to the response to DPS-266, the attachment "DPS_2_266_Attachment 1", indicates that this program had a budget of $10.41 million, $9.05 million, $10.11 million, $10.78 million, and $10.86 million in calendar years 2020, 2021, 2022, 2023, and 2024, respectively. Under this program, Con Edison has spent $10.36 million, $7.23 million, $11.82 million, $13.61 million, and $10.77 million for calendar years 2020, 2021, 2022, 2023, and 2024, respectively.

Q. What is the Company's justification and need for this program?

A. On pages 176 and 177 of Exhibit___(EIOP-7), Con Edison states that to ensure the reliability of its secondary distribution networks, it is necessary that network transformers, which supply the secondary distribution networks,

operate within their specified design limits under both normal and contingency conditions. It furthers states that this program seeks to maintain network transformer loading within its engineering specifications.

Q. Does the Panel recommend the Commission make any adjustments to the capital expenditures allowed for this program during the Rate Years?

A. Yes, we recommend a budget of approximately $10.76 million in each of Rate Years 1 through 3.

Q. What is the Panel's rationale for your recommended capital budget?

A. In the whitepaper for the program, pages 175 through 180 of Exhibit___(EIOP-7), the Company states that "the forecasted units and costs are based off actuals from years 2021-2023." Based on the tables showing the historical actual and forecasted number of relief projects, found on page 176 of Exhibit___(EIOP-7), the forecasted units are considerably higher for two categories of relief projects. Specifically, the Company annually completed on average, 38 projects replacing an existing transformer with a larger

one, and eight projects establishing a new vault and installing a new transformer from 2021 through 2023, while forecasting approximately 71 and 24 projects during the rate years, respectively. Based on this, we recommend a budget that reflects the average of the program's five-year historical actual expenditures, as provided in the Company's response to DPS-266.

Q. Please describe the Company's Primary Cable Crossings program.

A. The Primary Cable Crossings program funds the reinforcement of cable crossings at various locations in Manhattan, Queens, the Bronx, and Westchester. This work includes new construction in areas with difficult to access and critical bottleneck crossings such as rivers, highways, bridges, and tunnels. Under this program, described on pages 211 through 218 of Exhibit___(EIOP-7), Con Edison identifies nine crossings that require reinforcement, five of which are within the Flushing Network. This program is an annual program that has been included in prior rate filings.

Q. What funding level did the Company request for this program during RY1, RY2, and RY3?

A. The Company requests capital investments of approximately $23.40 million, $11.30 million, and $3.00 million in RY1, RY2, and RY3 respectively.

Q. What is the historical actual spending and budgets for this program?

A. The response to DPS-266, attachment DPS_2_266_Attachment 1, indicates that the Company had a budget of $5.02 million, $4.66 million, $7.80 million, $21.50 million, and $2.0 million for calendar years 2020, 2021, 2022, 2023, and 2024, respectively. However, Con Edison only spent relatively modest amounts of $890,000, $262,000, $33,000, $1.32 million, and $463,000 in calendar years 2020, 2021, 2022, 2023, and 2024, respectively.

Q. What is the Company’s justification and need for this program?

A. On pages 211 through 213 of Exhibit___(EIOP-7), the Company provides a few reasons justifying the need for the various cable crossings identified under this program. These include

the age of equipment, the lack of spare conduits that may prevent the restoration of a feeder, difficulty to access the crossings during an emergency, and lengthy repair times and customer outages in the event of a failure.

Q. What did the Panel find in its review of this program, particularly the very low spending by the Company?

A. In our review of the program's whitepaper, on pages 211 through 218 of Exhibit___(EIOP-7), we found that eight of the primary cable crossings identified by the Company were also identified by the Company in its previous electric rate filing, Case 22-E-0064. In its response to DPS-663, Con Edison provides additional details of each primary cable crossing identified, including annual costs and project schedules. In this response, we found that only the Riverdale Network Crossing, which includes three identified crossings, had a project estimate, but no project schedule was provided as it is contingent on approvals from outside agencies, including the City of New York (NYC) and Metro-North, by December of 2025. While the Flushing

Network Crossings, which includes five identified crossings, did not have an actual project estimate, the Company did state that it is planning to perform studies that are estimated to range from $2.0 million in RY1 to $3.0 million in RY3. Additionally, the response to DPS-663 also provides a table of historical budgets and actual spending, which shows that the Company underspent its budget every year from 2020 through 2023, although it overspent its budget in 2024. Specially, the Company overspent by approximately $5.5 million in 2024, while underspending by approximately $12.4 million, $9.1 million, $5.1 million, and $33.4 million in 2020, 2021, 2022, and 2023, respectively. The majority of the spending in calendar years 2022 through 2024 was for the Yorkville Crossing, which has an in-service date of 2025 according to the table on page 213 of Exhibit___(EIOP-7). No other cable crossing project has an in-service date provided on the table.

Q. Based on this, does the Panel recommend any adjustments for this program during the Rate

Years?

A. Because of the Company's lack of project estimates for most of the identified cable crossing, and a lack of a project schedule for the Riverdale Network Crossings, we recommend the Commission allow expenditures of $2.1 million, $2.5 million, and $3.0 million for RY1, RY2, and RY3, respectively. With this funding, the Company can perform the studies for the Flushing Network crossings and cover the cost of cleanup and final contractor payments for the Yorkville Network crossing in 2026.

Q. Please describe the Company's Staten Island North Shore Load Pocket Reinforcement project.

A. This project seeks to enhance the reliability of the Northeast 4 kilovolt(kV) grid along the northern shore of Staten Island. To achieve this, the Company states on pages 286 and 287 of Exhibit___(EIOP-7), that it will install two new underground 33 kV feeders from the Fox Hills area substation that will terminate in the St. George area of Staten Island. These feeders will run for approximately six miles and will be used to reconfigure two unit substations such

that existing feeders 33R27 and 33R29 will each feed only one unit substation in the 4kV grid. The estimated start date of this project is 2025 with an estimated date in service of 2029. This project was not previously identified in the Company's prior rate filing, Case 22-E-0064.

Q. What funding level did the Company request for this project during RY1, RY2, and RY3?

A. The Company requests capital investments of approximately $600,000, $17.00 million, and $17.50 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. On pages 286 and 287 of Exhibit___(EIOP-7), Con Edison states that the northern shore of Staten Island, which consist of the St. George, Stapleton, New Brighton and Tompkinsville neighborhoods has seen an increase in development in recent years, with several new apartment buildings that utilize electric heat energized in 2023 and 2024. Additionally, the New York City Economic Development Corporation plans to invest in the area, and that the Staten

Island Ferry has notified the Company of it plans to install electric charging stations to be used for their ferry fleet, which is to require 16 megawatts (MW) of capacity. According to Con Edison, the existing infrastructure on the North Shore needs to be reinforced to support this additional load.

Q. What did the Panel find in its review?

A. Upon review of the project's whitepaper, pages 286 through 291 of Exhibit___(EIOP-7), the Panel assumed that the Company was planning to run the two new 33 kV feeders from the Fox Hills distribution area station to the New Brighton and Silver Lake unit substations. This assumption was based on the map on page 289 of the Exhibit, which highlights these stations, and the one-line diagram of the 4kV grid on page 287, which shows existing feeders 33R27 and 33R29, which were highlighted, feeding the New Brighton and Silver Lake unit substations, respectively. In the response to DPS-670 the Company confirms that at the time of the filing, it planned to connect the new feeders to those unit substations. Upon further review and

selecting a shorter and more economical route, the Company would be targeting Tompkinsville and Clifton No. 2 unit substations. Con Edison further states that while the initial path has less infrastructure and is less challenging from a subsurface construction point of view, it is longer and involves crossing under the Staten Island Expressway, which would have an incremental cost of $10.0 million. In a supplemental response to DPS-670, Con Edison states that the original estimate of $37.8 million for feeder runs to New Brighton and Silver Lake was reduced to $25.6 million due to the decreased excavation and cable work of approximately 11,000 feet.

Q. Does the Panel recommend any adjustments for this project during the Rate Years?

A. Yes. As mentioned above, Con Edison states in its response to DPS-670 that it altered the route of the two feeders it plans to install under this project and that the new plan would save $10 million compared to the plan as initially proposed. In the supplemental response to DPS-670, the Company states that the

cost of the revised plan is approximately $25.6 million, which is a reduction of approximately $12.2 million from the initial request of $37.8 million. While the Company acknowledges this change in scope, it did not reduce the capital budget of this project in its update and corrections filing to reflect this change, therefore we recommend the Commission make an adjustment to this project of $6.1 million in RY2, and RY3 to reflect the updated costs. This adjustment results in a budget of $600,000 in RY1, $10.90 million in RY2, and $11.40 million in RY3.

Q. Please describe the Company's Ed Koch Queensboro Bridge 13kV Riser Replacement project.

A. In Exhibit___(EIOP-7) page 101, the Company states the purpose of this project is to replace the 13kV distribution riser cables that route over the Ed Koch Queensboro Bridge, also known as the 59th Street Bridge that supplies electric power to Roosevelt Island. The existing riser cables consist of aerial paper cables supported by the bridge pier structures and on messenger wires above the North and South Outer Roadways.

There are a total of twelve riser cables that will be replaced, six on the Manhattan pier structure and six on the western Roosevelt Island pier structure. Twelve additional riser cables will be installed as spares.

Q. What funding level does the Company request for this project?

A. The Company requests capital investments of $13.472 million, $13.472 million, and $5.052 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. In Exhibit___(EIOP-7), page 104, the Company states that since 2004, there have been 18 failures and emergency repairs of the distribution cables on the bridge. With such a high rate of failure, the feeders present public safety and electric reliability concerns. To address these concerns, from 2012 through 2017, Electric Operations designed and executed the 59th Street Bridge Crossing project (Project No. Z13-06880-M) to upgrade the infrastructure supplying Roosevelt Island.

Q. Does the Panel recommend any adjustments for

this project during the Rate Years?

A. Yes, the Panel does not support the need for this project nor funding in any of the rate years..

Q. What is the Panel's rationale for its recommendation?

A. In Exhibit___(EIOP-7) page 103, the Company initially states that ongoing New York City Department of Transportation (NYCDOT) projects will be completed in 2024, prior to Con Edison's anticipated construction activities in 2026. The Company also states that it is not permitted to perform concurrent work while NYCDOT projects are underway. However, according to the Company's response to DPS-556, NYCDOT has one new project in development. If that new project work is undertaken by NYCDOT, Con Edison will not be able to carry out the work it plans, as concurrent work will not be allowed by NYCDOT. To date, the Company has not provided any documentation or supplemental information specifying the scope or timeline of the new 2025 NYCDOT project, despite stating in its response to DPS-556 that such information would be

available by early April. Additionally, the Ed Koch Queensboro Bridge 13kV Riser Replacement project has been delayed since 2019 due to these ongoing NYCDOT projects. Because of the uncertainty of the NYCDOT Project timeline and Con Edison's conflict with concurrent projects, the Panel does not support the need for this projects at this time nor funding in the rate years.

Q. Please describe the Company's New Business Capital program.

A. This is an existing capital program and as stated in Exhibit___(EIOP-7), page 317, the Company states the New Business Capital program provides funding for the facilities necessary to complete service installations for new business. Work under this program is broken down into two categories, retail (projects under $100,000) and major projects (projects over $100,000). To adequately supply new customers under the retail category, the Company must install or replace an existing overhead or underground service, and in some instances, install new conduits. For the major projects category, work includes the

installation of new service cable, primary and/or secondary cable, conduits, transformers, manholes, service boxes and poles to support the proposed new customer loads. This category may also require the enlargement of manholes and service boxes.

Q. What funding level does the Company request for this program?

A. The Company requests capital investments of $264.034 million, $281.795 million, and $287.849 million in RY1, RY2, and RY3 respectively.

Q. Why does the Company want to continue this program?

A. The Company justifies the New Business Capital Program as essential to meeting its legal obligation to provide electric service to new customers, especially as many new residential and commercial developments require significant infrastructure upgrades beyond basic service extensions. Demand for new services has sharply increased, particularly in less developed areas of NYC, such as the Bronx, Brooklyn, and Queens, where the Company states service requests have more than doubled post-COVID compared to pre-

COVID levels. These new loads, along with growing electrification trends driven by Local Laws 97 and 154 and the rise in electric vehicle charging infrastructure, are increasing both the volume and complexity of service installations, requiring larger investments and reinforcements. As a result, actual program costs have consistently exceeded budgeted amounts, and additional funding is urgently needed to fulfill customer requests while resuming delayed capital projects in risk reduction and storm hardening.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends an adjustment of $28.5 million in RY1, $46.3 million in RY2, and $52.3 million in RY3, resulting in a budget of $235.52 million.

Q. What is the Panel’s rationale for its recommendation?

A. The Company notes that Local Law 97 and NYC’s recent ban on new natural gas hookups are some of the main drivers for growing electrification trends requiring larger investments due to the higher cost per service installation as

explained in Exhibit___(EIOP-7), page 319. When asked what impact Local Law 97 and NYC's recent ban on new natural gas hookups have on the number and unit cost of service installations, the Company simply states in response to DPS-563 that it "may" increase the cost-of-service installations without providing any additional supporting justification. As such, the Panel believes the proposed incremental amount is not justified. The Panel's budget of $235.52 million is based on the three-year historical units of service installations and the Company's forecasted unit cost, provided in response to DPS-563. Specifically, to calculate our budget, we used 213 major projects at a unit cost of $566,859 and 1910 retail projects at a unit cost of $60,085.

Q. Please describe the Company's Grasslands Install Fourth Transformer with Its 138kV Supply Feeder project.

A. In Exhibit___(EIOP-7 UPD), page 97, the Company states this project is designed to increase the capability at the Grasslands Area Substation to accept White Plains Area Substation load

transfer of approximately 52 MW and Elmsford No.2 load transfer of approximately 32 MW in 2033. This project will establish a fourth 138/13kV transformer bank at Grasslands Substation, to be supplied by a new 138kV feeder approximately 1.5 miles from Eastview to Grasslands.

Q. What funding level does the Company request for this program?

A. The Company requests capital investments of $3 million and $7 million in RY2 and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-7 UPD), page 97, Con Edison states that this project is needed to increase the capability at the Grasslands Area Substation so that the White Plains load transfer can be added to Grasslands without causing a constraint on the area substation. The additional equipment being installed under this project increases the capability of the Grasslands Area Substation from 165 MW to 247 MW in 2033.

Q. Does the Panel recommend any adjustments for

this program?

A. Yes, the Panel recommends adjustments of $3 million in RY2, and $4 million in RY3, resulting in no budget in RY2 and a budget of $3 million in RY3. This adjustment takes into account the Company's project timeline, provided in Exhibit___(EIOP-7 UPD), page 98. According to the timeline, the initial phases of the project—specifically the authorization and pre-planning phases—are scheduled to commence in the fourth quarter of 2028. Additionally, when asked in DPS-1053 to clarify the pre-construction activities with their budget allocations for all rate years and provide unit costs, the Company stated that the specifics of each of these activities have not yet been developed to the extent that units, unit costs, and activity-specific budget allocations can be developed. The Company further explains in DPS-1053 that the funding requested for this project in rate years 2027 and 2028, will support the completion of a project-specific estimate which will be used to request additional funding. As a result, funding for the project is only needed

in RY3. In the absence of historical spending or detailed cost estimates, aside from the preliminary estimate provided for RY2, the proposed adjustment is consistent with the timeline for the pre-planning and conceptual scope and estimating phase outlined in Exhibit___(EIOP-7 UPD), page 98.

Q. Please describe Con Edison's Fox Hills 33kV – 4th Transformer & 138kV Supply Feeder project.

A. According to Con Edison, this project will establish a fourth transformer bank at Fox Hills 33kV Substation, to be supplied by a new 138kV feeder. It will also create a new 33kV bus section for an additional point of supply for future 33kV loads. The project is expected to begin in 2026 and to be completed in 2030.

Q. What funding level does the Company request for this project?

A. The Company requests capital investments of $8 million, $8 million, and $6 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. According to Con Edison, the main driver of load

growth is the electrification of the Staten Island Ferry. Load projections indicate that the station's capability will be exceeded in 2030 by 3 MW, or 101 percent of capacity.

Q. Does the Panel recommend any adjustments to the budgets for this project?

A. Yes, the Panel recommends the Commission reduce the Company's funding request by 17.08 percent. This results in a budget of $6.634 million for RY1, $6.634 million for RY2, and $4.975 million for RY3.

Q. Why does the Panel recommend adjusting the rate year capital funding by 17.08 percent?

A. On page 141 and 145 of Exhibit___(EIOP-7), the Company indicates the total costs of this project from 2026 through 2029 to be $39 million. On page 144 of the Exhibit, the Company provides a table showing the high-level estimate of the total cost, by primary spend category, including escalation, overheads, and contingency. When asked about this discrepancy in DPS-870, the Company's response clarifies that it requests $39 million total funding, stating the additional funding is "due to

uncertainties with these estimates." However, this statement ignores the fact that a contingency amount of 30 percent has already been added in the original estimated amount of$32.34 million, as seen on the table on page 144 of Exhibit___(EIOP-7). The Panel recommends the Commission approve a funding request for the total estimated amount of $32.34 million and correspondingly reducing the rate year requests by 17.08 percent, which results in a budget of $6.634 million for RY1, $6.634 million for RY2, and $4.975 million for RY3. The 17.08 percent is derived by dividing the high-level estimate of $32.34 million by the $39.0 million total cost requested and planned for 2026 through 2029.

Q. Please describe the Company's Millwood West Install Third Transformer with its 138kV Supply Feeder project.

A. This project will increase the capability at the Millwood West substation, from 83 MW to 162 MW, to accept the Ossining West Area Substation load transfer of 20 MW in 2031, which we will discuss later in our testimony. If Millwood West's

capabilities are not expanded, the substation will experience load constraints. The estimated start date for this project is 2026 and the in-service date is 2031.

Q. What funding level does the Company request for this project?

A. The Company requests capital investments of $3 million, $3 million, and $8 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. Forecasted load growth for Ossining West shows that the station's capabilities will be surpassed in 2031. Load transfer to Millwood West will lead to load constraints at Millwood West. Therefore, Millwood West needs to be expanded before the load transfer can be completed.

Q. Does the Panel recommend any adjustments to this project?

A. Yes, the Panel does not support this project at this time and recommends no funding for this project in any of the rate years.

Q. Why is the Panel recommending no funding in the

Rate Year and two out-years?

A. Based on the forecasted load growth provided on page 138 of Exhibit___(EIOP-7 UPD), Ossining West is only anticipated to surpass load capabilities by 3 MW and not until the 2030 timeframe. As stated by the Company in Exhibit___(EIOP-7 UPD) on page 139, mobile generators could also be deployed during any peak load periods that actually occur to help manage these needs of customers as an alternative solution which avoids the need for this project and associated costs right now. As such, we do not support the need for this project and associated spending at this time due to the availability of using mobile generators during any peak load periods that may occur in this area.

Q. Please describe the Company's Ossining West to Millwood West Transfer project.

A. This project will mitigate the risk of Ossining West exceeding its capabilities by transferring load from Ossining West to Millwood West. The estimated start date for this project is 2026 and the in-service date is 2030.

Q. What funding level does the Company request for this project?

A. The Company requests capital investments of $3 million, $11.5 million, and $16.2 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. Demand for electricity continues to grow through electrification and incremental load growth. Based on 2025-2034 Area Substations and Sub-transmission Feeders Ten-Year Relief program, Ossining West requires a load transfer to mitigate risk. Therefore, expanding Millwood West is also a necessity.

Q. Does the Panel recommend any adjustments to this project?

A. Yes, the Panel does not support this project at this time and recommends the Commission allow no funding for this project in any of the rate years.

Q. What is the Panel's rationale for recommending no funding in the next three rate years?

A. The Panel recommends that the Company proceed with its second option, as stated on page 139 of

Exhibit___(EIOP-7 UPD). Mobile generators, when needed, can provide the support Ossining West needs to run efficiently. If Ossining West can supplement peak periods with mobile generators for a few years, then Millwood West will also benefit and not need expansion work for the Ossining west load transfer.

Q. Now, are there any projects proposed by the Company in its rate filing that were also previously proposed in other proceedings?

A. Yes, Con Edison proposes seven "new" projects, all under the System Expansion and New Business category, which were initially proposed in the Company's November 13, 2024 Urgent Projects filing in the Proactive Planning proceeding, Case 24-E-0364. These seven projects include the following: Mott Haven 13kV – Install 5th Transformer & 138kV Supply Feeder 38X30; Parkchester No. 1 5th Transformer 9S and Supply Feeder 38X05; Parkchester No. 2 TR13 & B/S 13A & 13B Installation; Proactive Planning – East New York Electrification Hotspot; Proactive Planning – Hunts Point Electrification Hotspot; Proactive Planning – LGA Electrification Hotspot; and the

Proactive Planning – Zerega Avenue Electrification Hotspot. In addition to these seven projects, the Company did seek additional funding in 2025 for the New Business Capital and Transformer Purchase program in its Urgent Projects filing.

Q. Did the Company reflect the additional funding requested for the New Business Capital and Transformer Purchase program in its rate filing?

A. Yes, on page 44 of the initial EIOP testimony, the Company assumes funding through the Proactive Planning program and reflected these investments in its projected net plant balances for year-end 2025.

Q. Does the Panel agree with the inclusion of this additional funding within the projected net plant balance for year-end 2025?

A. No, we do not. Since the Commission has yet to act on the Urgent Project filings under the Proactive Planning proceeding, it is not appropriate to reflect the requested additional funding in the net plant balance for year-end 2025.

Q. Did the Company propose in its rate filing any

modifications to the seven projects identified in its Urgent Projects filing?

A. Yes, in the initial testimony, the EIOP proposes shifting the project start and funding for the four electrification hotspot projects back one year, to the Rate Year in this proceeding. On page 45 of the initial EIOP testimony, the Company states that for the purposes of this filing, "work was shifted to commence in 2026, where possible, in line with the proposed effective date in this proceeding."

Q. Did the Company make any modifications to these Proactive Planning projects in its update and corrections testimony?

A. Yes, the Company updated the four electrification hotspot projects to match what it proposes in the Urgent Projects filing under the Proactive Planning proceeding, which results in the project start and funding being pushed forward by one year to the 2025. On pages 18 and 19 of the EIOP update testimony, this was done "to conform the rate case white papers to the white papers submitted in the Proactive Planning proceeding."

Q. Please describe the Company's Proactive Planning - East New York Electrification Hotspot project.

A. This is a new proactive planning project that will support the projected acceleration in electricity demand due to transportation electrification in the East New York (East NY) hotspot that was identified through a granular load projection analysis. Based on the granular bottoms-up load project analysis, the East NY hotspot is expected to have an estimated 23 MW of additional transportation electrification load by 2043 primarily driven by Metropolitan Transportation Authority (MTA) and school bus depots in the area. This necessitates the installation of three new distribution feeders and associated breaker cubicle work, as well as future advancement of area station planning work causing the transfer of Brownsville No. 2 to Atlantic Area Substation to advance from 2035 to 2034. With immediate authorization one primary distribution feeder is expected to be feasibly energized by 2027 and up to three primary distribution feeders by 2030.

Q. What funding did the Company request for this

project?

A. The Company requests capital investments of $15.1 million, $33.9 million, and $36.7 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this project?

A. On page 143 of Exhibit___(EIOP-7 UPD), the Company states that the East NY hotspot is located in one of the most transit-rich Industrial Business Zones in New York City and continues to see growth in commercial activity. There are six fleets of school buses in the center of the hotspot area. The fleets total over 1,300 school buses, which will start electrifying in 2027 at the latest and complete electrification by 2035 in compliance with New York's electric school bus mandate. The Broadway Junction houses the MTA's East NY Depot totaling over 230 buses and the MTA has committed to replace and transform its entire bus fleet with zero-emissions vehicles by 2040. Also, through Con Edison's pre-engagement and advisory services which engage prospective charger developers and fleet owners, customers

expressed interest in 8 projects to install charging for fleet electrification in the East NY hotspot. The Company estimated that all these projects would collectively add 23 MW of load to the Crown Heights, Richmond Hill, and Ridgewood networks over the next 20 years. This is expected to add strain to existing feeders and installing new feeders as soon as possible can avoid more costly grid upgrades and/or delaying customer electrification.

Q. Does the Panel recommend any adjustments for this project during the Rate Years?

A. Yes. The Panel recommends eliminating the East New York Electrification Hotspot project.

Q. What is the Panel's justification for this recommendation?

A. The Panel believes that there are multiple existing projects that are underway that address the Brownsville area that the East New York hotspot is in such as the Brownsville Area Load Relief - Brownsville No. 1 to Glendale Transfer, Brownsville Area Load Relief - Establish Gateway Park No. 1 project, Brownsville Area Load Relief - Glendale TR5 and Feeder 38Q05 Extension

project, the Brownsville Area Load Relief - Newtown TR4 and Feeder 38Q05 project, and the Atlantic Area Substation project. On page 4 of Exhibit___(EIOP-7 UPD), the Company's load forecast shows that the capability of the 138 kV feeder supplying Brownsville Nos. 1 and 2 is 771 MW and 788 MW if the feeder is operated at 141 kV. The feeders are expected to reach 100 percent of capacity in 2034 and overload in 2035 if the feeders are operated at 138 kV.. However, once the Atlantic Area Substation goes in service in 2034, the feeders will drop down to 63 percent of its capacity. On page 149 of Exhibit___(EIOP-7 UPD), the Company states it expects the electrification load for the East New York Hotspot to reach 16 MWs by 2034. While this may lead to a temporary overload in the feeders, the Panel recommends operating the feeders at 141 kV which would allow for 788 MWs. Since this would only be for one year, as the next year the load would drop because it was transferred to the Atlantic Area Substation, this would allow the additional 16 MW of electrification to not overload the feeders. As

such, the hotspot can be supported for without the need for this project and its associated costs. Therefore, we recommend that the Commission reject funding for this project.

Q. Please describe the Company's Proactive Planning - LGA Electrification Hotspot project.

A. This new Proactive Planning project will support the projected acceleration in electricity demand due to transportation electrification in the LaGuardia (LGA) hotspot that was identified by Con Edison through a granular load projection analysis. Based on the granular bottoms-up load project analysis, the LGA hotspot is expected to have an estimated 82 MW of additional transportation electrification load by 2043 primarily driven by electrification of multiple types of fleets within the Jackson Heights and the Long Island City networks. This project will also provide additional distribution capacity capable of supplying these future loads, while maintaining an N-2 design. Con Edison will extend 16 feeders from North Queens No. 1 substation to these load pockets. Four feeders will be extended to the Astoria

Generation complex, four feeders extending to the Ditmars Steinway industrial area, and eight extending to LaGuardia Airport

Q. What funding did the Company request for this project?

A. The Company requests capital investments of $24.9 million, $40.6 million and $49.8 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. The nearby area west of the LaGuardia Airport located in Steinway and fed by the Long Island City network has substantial heavy vehicle traffic that is expected to be electrified, such as the over 1,300 Con Edison utility vehicles that the Company has committed to electrify many of them by 2035. It also includes over 4,000 Class 2 vehicles, because 35 percent of Class 2a sales and 10 percent of Class 2b sales must be zero-emission vehicles in 2026. The Jackson Heights network feeds the area surrounding the LaGuardia Airport, which houses several fleets and depots including the MTA's LaGuardia Depot, totaling over 230 buses, that the MTA has

committed to replace with zero-emission vehicles by 2040. Part of the LaGuardia Airport is also fed from the Jackson Heights network and the airport has many public and commercial vehicles that pass through daily which must be zero-emission by 2030. Current customer activity is also evidence that transportation electrification is underway as high-capacity fast charger projects by the New York City Department of Transportation and Revel with Revel's fast-charging hub with 48 DC fast chargers to open in 2025. The Company also consulted other transportation electrification projections to validate the density of load in this hotspot. The Electric Power Research Institute's (EPRI) eRoadMap tool shows this area as one of the densest areas of expected electrification by 2030.

Q. Does the Panel recommend any adjustments to this project?

A. Yes. We recommend that the funding requested in the Rate Year be denied by the Commission and the project be delayed for three years.

Q. What is the Panel's justification for its

recommendation.

A. In its response to DPS-1040 the Company provides the feeder ratings for the 16 feeders that would be used to feed the LGA Electrification Hotspot. Only three of 16 feeders are above 70 percent of its normal rating and only one feeder is above 80 percent. Also, on page 66 of Exhibit___(EIOP-7 UPD), the load forecast for the Corona No. 2 Area Substation, which supplies the Rego Park and Jackson Heights networks, is not expected to overload until 2039. As such the project can be delayed for the next three rate years, since the feeders still have an ample amount of capacity as they are not close to reaching their ratings, and the substations also have an ample amount of load available for any new electrification projects. The Panel recommends that the Commission reject the Company's requested funding for the Rate Year and RY2 and RY3.

Q. Please describe the Company's Corona No. 1 to Hillside No. 1 Transfer project.

A. This new project deals with the forecasted load constraint of the Corona No. 1 Area Substation.

The Company plans on splitting the Flushing (7Q) network and non-network (radial load) into two separate load areas, a smaller Flushing network that continues to be served by Corona No. 1 and a new network (Bayside) to be served by a new Hillside Area Substation. Under this project, Con Edison plans to split the current Flushing network and transfer approximately 150 MW from the Flushing network and 28 MW radial load in 2033. A separate project will establish the new Hillside Area Substation which will extend 24 feeders to supply the new Bayside network. Engineering and long lead equipment procurement will begin in 2027 for this project and construction is expected to begin in 2029 and to be completed in 2033.

Q. What funding does the Company request for this project?

A. On page 48 of Exhibit___(EIOP-7 UPD), the Company requests capital investments of $10.0 million and $19.5 million in RY2 and RY3 respectively. No funding was requested in RY1.

Q. What is the Company's justification and need for this project?

A. On page 43 of Exhibit___(EIOP-7 UPD) the Company states that the Corona No. 1 Area Substation will meet and exceed its capacity by 2032 based on the Company's load forecast. Con Edison's current 20-Year Load Forecast shows a continuing upward trend of peak demand growth at the network level driven by increased building and transportation electrification that Con Edison projects will continue to drive the need for load relief at the area substation and transmission supply feeder level to maintain reliability design criteria and to meet climate resiliency objectives. As such, the Company plans to split the Flushing network into two smaller networks to de-load the substation under this project.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends delaying this project by a year.

Q. What is the Panel's rationale for this recommendation?

A. On page 76 of Exhibit___(EIOP-7), the Company states that an alternative plan consisting of

non-traditional utility-side and customer-side solutions will provide load relief of about 38 MWs but will not be enough to avoid a forecasted overload of equipment by 2033. The Panel disagrees that 38 MWs will not be enough to avoid the forecasted overload because on page 44 of Exhibit___(EIOP-7 UPD), the forecast shows that the deficit will be 29 MW by 2034 and 44 MW by 2035. As such, the 38 MWs of non-traditional utility-side and customer-side solutions would allow the load transfer to be delayed to 2034 and still provide enough time to address the 44 MW deficit projected 2035. As such, the Panel recommends delaying the project by one year and a budget of $10 million for RY3, but no funding in RY2 (or the Rate Year).

Q. Please describe the Company's Establish Hillside Area Substation project.

A. This project will establish a new indoor 27kV area substation that will be arranged in a double syn bus configuration and with an initial build of four 93.3 megavolt-amperes (MVA) 138/27kV transformer banks and capacitors totaling 30 megavolt-ampere reactive (MVAR),

with the capability to expand to five transformer banks. The station will be supplied from the Eastern Queens Transmission Substation and will provide an additional sub-transmission capacity of 358 MW to mitigate design capability deficiencies in the Jamaica load area. The Hillside Area Substation will also provide load relief for the Corona No. 1 Area Substation by transferring approximately 150 MW out of the existing Flushing network as well as 28 MW of radial loads. This project will also provide future load relief to the Corona No. 2 Area Substation by transferring 100 MW of load out of the existing Rego Park network. Engineering and long lead equipment procurement will begin in 2026 for this project and substation construction is expected to begin in 2030 and to be completed by the end of 2032.

Q. What funding did the Company request for this project?

A. In its update and corrections filing, the Company requests capital investments of $15.0 million, $40.0 million, and $110.0 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. The Company projects that the Corona No. 1 Area Substation will require a load transfer as early as 2032. To address the expected overload concerns at the Corona No. 1 Area Substation the Company plans to transfer the radial load and 150 MW of load from the Flushing network to the new Hillside Area Substation. The station will also provide load relief for the Corona No. 2 Area Substation in the future when that substation is projected to overload. This new substation will provide load relief for both Corona No. 1 and No. 2 Area Substations and create headroom for load growth in those substations.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends delaying this project by a year.

Q. What is the Panel's justification for this recommendation?

A. As mentioned above, the Panel recommends an alternative solution consisting of non-

traditional utility-side and customer-side solutions for the Corona No. 1 to Hillside No. 1 transfer and delaying that transfer by a year. This would also delay the need for the construction of the Hillside Area Substation by a year as well since the Corona No. 1 Area Substation is driving the need for the Hillside Area Substation. As such, the Panel recommends the project expenditures be slipped out one year resulting in budgets of $15 million, and $40 million for RY2, and RY3, respectively.

Q. Please describe the Company's Establish Nevins Street Area Substation project.

A. This project will establish the Nevins Street Area Substation, a new indoor 27kV area substation that will be arranged in a double syn bus configuration and with an initial build of four 93.3 MVA 138/27kV transformer banks, with provisions for expansion to five transformer banks. This station will be supplied by the Brooklyn Clean Energy Hub. The substation will provide the ability for a load transfer from Water Street Area Substation, which is projected to be overloaded by 2032, and will also provide

future load relief to the Plymouth Street Area substations. Engineering and long lead equipment procurement will begin in early 2026 for this project and construction is expected to begin in 2030, and the expected in-service date is May 2032.

Q. What funding did the Company request for this program?

A. In its update and corrections filing, the Company requests capital investments of $15.0 million, $75.0 million, and $100.0 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. According to Con Edison, the Water Street Area Substation is projected to be overloaded by 2032 and cannot accept any additional capacity. To de-load the station, the Company proposes to build the Nevins Street Area Substation. A 140 MW load transfer will split the Williamsburg Network supplied by Water Street Area Substation and will be transferred to the Nevins Street Area Substation in 2032 to provide load relief. The substation may also provide load relief to

the Plymouth Street Area Substation in the future.

Q. Does the Panel recommend any adjustments for this program during the Rate Years?

A. The Panel recommends adjusting the number of transformers built in the initial build of this project. On page 125 of Exhibit___(EIOP-7), the Company states that the Nevins Street Area Substation was initially going to provide load relief to the Water Street Area Substation, Greenwood Area Substation, and the Plymouth Street Area Substation. However, in the updated filing the Greenwood to Nevins Street Transfer project is no longer going to occur. This means that only the Water Street Area Substation will be de-loaded, and the Nevins Street Area Substation will only have approximately 140 MW of load until another load transfer occurs, while the station will have a capability for 358 MW of load in the initial project scope. On page 24 of Exhibit___(EIOP-7 UPD), the Company states that the Plymouth Street Area Substation will need a load transfer in 2039. This would mean the station will not need to accept this

amount of load until 2039. In response to DPS-783, Con Edison states that the cost of four transformers is approximately $56 million, or approximately $14 million each. The Panel recommends that the station be built with two transformers to provide a capability for approximately 180 MWs of load as this should be enough to handle the 140 MWs of load from the Nevins Street Area Substation. The Panel also recommends the substation still be built with the capability and capacity to expand to five transformers in the future as needed. This way once an incremental transformer is required, it will be faster to implement as the station will be equipped for the expansion. The Panel recommends the removal of two transformers from the project scope which is an adjustment of $28 million in RY2 as each transformer costs approximately $14 million. This results in a budget of $15 million, $47 million, and $100 million for RY1, RY2, and RY3, respectively.

Risk Reduction and Reliability Capital Expenditures

Q. Please describe the Risk Reduction and

Reliability category that Con Edison proposes in this rate filing.

A. As stated on page 61 of the EIOP's initial testimony, the projects and programs in this category are intended to support the reliability and/or availability of a facility or an operational function by reducing or mitigating a risk through proactive replacement and upgrade strategies.

Q. What funding did the Company propose for the Risk Reduction and Reliability category?

A. On pages 2 and 3 of Exhibit___(EIOP-1), the Company proposes electric capital expenditures of $1.01 billion, $1.18 billion, and $1.21 billion, for Rate Years 1, 2, and 3, respectively. This Panel reviewed projects and programs associated with electric capital expenditures of $704.85 million, $841.48 million, and $878.72 million, for Rate Years 1, 2, and 3, respectively. The other projects and programs under the Risk Reduction and Reliability Capital Expenditure projects that this Panel did not review, were reviewed by the Staff ERRPM Panel.

Q. Please describe the Company's Area Substation Reliability program.

A. This program funds the installation of high side switching circuits in substation transformer vaults to provide for redundant clearing. These high side switching circuits will consist of a circuit switcher and/or an interrupter, or a digital transfer trip could be substituted for one or both switching devices where installation is impossible due to space limitations. This program is an annual program that has been included in prior rate proceedings.

Q. What funding level did the Company request for this program during RY1, RY2, and RY3?

A. The Company requests capital investments of $10.8 million in each of RY1, RY2, and RY3.

Q. What was the historical actual spending and budgets for this program?

A. Based on the response to DPS-266, attachment DPS_2_266_Attachment 1, this program had a budget of $14.45 million, $12.0 million, $13.7 million, $11.5 million, and $10.0 million for calendar years 2020, 2021, 2022, 2023, and 2024, respectively. Under this program, Con Edison

has spent $15.33 million, $11.20 million, $5.87 million, $11.59 million, and $4.65 million for calendar years 2020, 2021, 2022, 2023, and 2024, respectively.

Q. What is the Company's justification for this program?

A. On page 8 of Exhibit___(EIOP-8), the Company states that after the August 3, 1990 Seaport area substation fire, it modified its substation design to provide more reliable high-speed clearings of transformer secondary faults and reduce the possibility of loss of the area substations during a protracted fault incident. This design concept went into effect in 1991 after some substations that had already been designed were constructed. This program would upgrade these existing area substations to meet the current design concept, which will reduce the possibility of the loss of an area substation during a protracted fault.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, we recommend a capital budget of $7.37 million per year, in RY1, RY2, and RY3.

Q. What is the Panel's rationale for its recommendation?

A. Due to the general decline in the Company's budgets for this program since 2020, and the large underspending in 2022 and 2024, we do not believe the Company has justified its requested budget, which is higher than the 2024 budget the Company underspent. Therefore, we recommend reducing the capital budget of this program to reflect the three-year average actual expenditures, from 2022 to 2024, calculated using the historical expenditures provided in the Company's response to DPS-266. We decided to use a three-year average for this program, instead of the default five-year average in our review, due to the recent significant underspending by the Company. Specifically, the Company underspent in 2022 by $7.83 million and in 2024 by a$5.35 million, while overspending by $85,000 in 2023.

Q. Please describe the Company's Fire Suppression Systems Upgrade Program.

A. Under this program, the Company will perform upgrades, replacements and/or new installations

of fire protection, suppression, deluge system, detection, and alarm systems at various substations. Upgrades include: the replacement of fire, heat, and smoke detection equipment; replacement of piping, pumps, spray nozzles, wiring, control systems, and enclosures; and the installation of fire pump test headers, value replacement, piping replacement and work associated with recovering fire system capacity. This program is an annual program that has been included in prior rate proceedings.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $10.00 million in RY1, RY2, and RY3, for this program.

Q. What are the historical actual spending and budgets for this program?

A. In the response to DPS-266, in the attachment DPS_2_266_Attachment 1, Con Edison indicates that the program had a budget of $5.50 million in calendar years 2020 and 2021, and $11.74 million, $7.50 million, and $6.50 million in calendar years 2022, 2023, and 2024,

respectively. Under this program, the Company has spent $808,000, $2.01 million, $9.09 million, $6.99 million, and $9.96 million in calendar years 2020, 2021, 2022, 2023, and 2024, respectively.

Q. What is the Company's justification and need for this program?

A. On page 115 of Exhibit___(EIOP-8), the Company states that the fire detection and deluge systems represent a critical component in its ability to quickly and safely respond to a fire event at its substations. Several of the Company's fire detection systems and deluge systems show end of service life issues. For instance, deluge systems are showing signs of deterioration or decreased reliability, while other systems are beginning to show excessive leaking or failure to provide adequate flow rates and/or maintain adequate pressure. Additionally, the Company states that, in many cases, replacement detection heads can no longer be obtained, control panel parts are unavailable, and system reliability is compromised.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, we recommend a capital budget of $8.68 million in each of RY1, RY2, and RY3.

Q. What is the Panel’s rationale for its recommended adjustments?

A. Due to the Company underspending its budget for this program in four of the last five years, 2020 through 2023, we do not believe the Company has justified its requested budget, which is higher than Con Edison’s actual spending for this program from 2020 through 2024. Therefore, we recommend the reduction of the program's capital budget to the three-year average actual expenditures, from 2022 to 2024, calculated using the historical expenditures provided in the Company’s response to DPS-266. We used the three-year average for this program because the most significant underspending for this program occurred in 2020 and 2021, and that recent capital expenditures for this program have been closer to the Company’s budget, with the expenditures in 2024 exceeding the budget.

Q. Please describe the Company’s Midel Exchange

Program.

A. Under this program, the Company would "retrofill" 43 transformers. This work includes the draining, inspection, cleaning of affected components, and exchanging the original synthetic ester liquid with the new version for the affected power transformers, phase angle regulators and reactors. Of the 43 transformers identified by the Company, 27 are in-service transformers, while the remaining 16 are spare transformers in storage. This is a new program with an estimated start date of 2026.

Q. What funding level did the Company request for this program during RY1, RY2, and RY3?

A. The Company requests $15.0 million in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. The Company states on page 147 of Exhibit___(EIOP-8) that the work under this program is needed to mitigate the potential failure scenario from a recently identified failure mechanism in power transformers filled with synthetic ester dielectric liquid.

Q. What did the Panel find in its review?
A. In its response to DPS-559 the Company states that it plans to complete the Midel Exchange Program as soon as practical depending on outage availability to mitigate the failure scenario and maintain system reliability. As mentioned earlier, only 27 of the 43 transformers identified by the Company are in-service and pose a potential active risk to system reliability. On page 149 of Exhibit___(EIOP-8), the Company states that the estimate of retrofilling a transformer ranges between approximately $580,000 to $1.675 million per transformer, averaging a little over $1 million per transformer retrofill. Specifically, the Panel found the average to be approximately $1.046 million per transformer by dividing the total program funding request of $45.0 million by the 43 identified transformers.
Q. Does the Panel recommend any adjustments to this program and its costs?
A. Yes, we recommend that the Company prioritize the 27 in-service transformers during the rate years and retrofill the spare transformers at a

later date. We recommend the Commission determine a budget of $9.42 million per year, which reflects the goal of nine in-service transformers per year, multiplied by the average cost per transformer we determined.

Q. Please describe the Company's Reinforced Ground Grid Program.

A. This program reinforces the ground grid at substations based on results from periodic testing to enhance the effectiveness of the grounding system. Work under this program includes trenching the new grounding patterns throughout the area to reinforce the existing grounding grid; installing new grounding conductors and cadwelds that are required to connect these conductors; connecting and testing grounding, conductors and cadwelds; backfilling trenches and connecting grounding to the proper equipment; removing mechanical connections that are found connected in the ground while performing work for reinforcement; and expanding lightning protection in select substations. This program is an annual program that has been included in prior rate proceedings.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $7.00 million, $6.10 million, and $6.28 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's actual historical spending and budgets for this program?

A. In response to DPS-266, attachment DPS_2_266_Attachment 1, this program had a budget of $1.02 million, $2.00 million, $1.35 million, $6.10 million, and $4.10 million in 2020, 2021, 2022, 2023, and 2024, respectively. The Company spent $1.04 million, $2.04 million, $658,000, $1.88 million, and $1.03 million in calendar years 2020, 2021, 2022, 2023, and 2024, respectively.

Q. What is the Company's justification and need for this program?

A. On page 208 of Exhibit___(EIOP-8), the Company states that after two different lightning strikes, which caused damage to equipment, the Company found inadequate lightning protection, or equipment not being properly grounded and/or had high grounding impedance due to damaged

ground connection cables. This program is driven by the Company's specifications CE-ES-2002-10 and CE-ES-1001, which have criteria related to ground grid impedance and continuity, with the stations targeted not meeting acceptable levels in one or both categories.

Q. What did the Panel find during its review of this program?

A. On page 208 of Exhibit___(EIOP-8), the Company only identified the North Queens Lightning Protection and Spring brook Ground Grid Reinforcement projects to be completed in 2025, and 2026, respectively. In response to DPS-577 the Company states that material procurement is in progress, and that construction is expected to begin in mid-2025 and will continue into 2026, for both substations. The North Queens project has a total estimated cost of $2.2 million and the Sprain Brook project has a total estimated cost of $4.2 million. Additionally, the Company did not identify any projects to be completed in 2027 or 2028 but stated that work under this program will be performed in those years for one or more of the following

substations: North Queens; Sprain Brook; Goethals; Rainey; East River; Astoria East; and Hell Gate. In the Company's response to DPS-266, from 2020 through 2024 Con Edison spent on average, approximately $1.33 million per year, , while the average budget was $2.91 million per year. The greatest underspend was in 2023, when the Company only spent $1.88 million of the program's $6.1 million budget. We also note that the Company forecasts a budget of $3.0 million for this program in 2025.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, we recommend a capital budget of $3.4 million in RY1, and $1.33 million in RY2 and RY3. The budget for RY1 is based on the $6.4 million total cost for the North Queens and Sprain Brook projects, reduced by the forecasted $3.0 million budget in 2025. We subtracted the 2025 budget from the cost of the two projects since they are the only projects identified by the Company under this program for 2025 and 2026. We expect the Company will spend the entirety of the 2025 budget for these two

projects, resulting in the remaining $3.4 million to be funded in RY1. For RY2 and RY3, our recommendation is based on the three-year average actual expenditures from 2021 to 2024. This adjustment reflects that the Company did not justify the requested budget when considering the historical underspending in this program, as well as a lack of identified projects for 2027 and 2028, as mentioned previously.

Q. Please describe the Company's Transformer Vault and Structure Modernization program.

A. Under this program, the Company performs proactive repairs of structural deficiencies in deteriorated transformer vaults, manholes and service boxes. These structural deficiencies include settlement, cracked concrete, spalled concrete, collapsed walls, collapsed ceilings, corroded steel beams and columns, and corroded rebar. If not addressed, these deficiencies present a risk of collapse that poses a hazard to the public and can damage electric infrastructure resulting in compromised system reliability. This program is an annual program

that has been included in prior rate proceedings.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $70.00 million, $73.50 million, and $77.18 million in RY1, RY2, and RY3 respectively.

Q. What is the actual historical spending and budgets for this program?

A. According to the Company's response to DPS-266, attachment DPS_2_266_Attachment 1, this program had a budget of $11.55 million, $17.11 million, $21.51 million, $33.05 million, and $40.05 million in calendar years 2020, 2021, 2022, 2023, and 2024, respectively. Under this program, the Company spent $21.55 million, $30.16 million, $36.39 million, $59.21 million, and $50.65 million in calendar years 2020, 2021, 2022, 2023, and 2024, respectively.

Q. What is the Company's justification and need for this program?

A. Con Edison states on pages 282 to 283 of Exhibit___(EIOP-8) that severe structural deficiencies must be addressed due to: 1) public

safety risks related to slips, trips or falls; 2) employee injury risk due to falling concrete or structural collapses; 3) reliability risk due to damaged electrical equipment from falling debris; 4) impact to customers due to water intrusion at customer service entrances; and 5) fines from municipalities due to settled and defective structures. Additionally, at locations where a temporary steel plate is installed over a structure with deficiencies, the plates present trip and fall hazards, along with the potential for city fines, and prevent airflow to structures which reduces the capability of transformers, potentially impacting system performance during summer peak periods.

Q. What did the Panel find in its review of this program and its costs?

A. In response to DPS-585 the Company provides the historical annual unit cost and unit of work budgeted and actual from 2020 through 2024, and the forecasted annual unit cost and units of work for 2025 through 2028. For transformer vault repairs, the Company completed on average,

approximately 434 repairs annually, at a unit cost of $78,667, from 2022 through 2024. For manhole and service box repairs, the Company completed on average, approximately 18 repairs annually, at a unit cost of $93,000, from 2022 through 2024. For calendar years 2026 through 2028, the Company forecasts between 567 and 584 vault repairs at a unit cost ranging from $86,000 to $95,000, and between 203 and 209 manhole and service box repairs, at a unit cost ranging from $104,000 to $114,000. The Panel also found in the Company's response to DPS-266, that Con Edison overspent its budget for this program from 2020 through 2024, with the largest overspend being $26.2 million in 2023.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, we recommend a capital budget of $62.406 million per year, in RY1 and RY2, and $64.269 million in RY3. This is based on the Company's forecasted units of work for RY1 multiplied by the historical five-year average unit cost, from 2020 through 2024. We used the historic average unit cost due to the lack of justification in

the Company's forecasted unit cost, which increases by approximately 15 percent from 2025 through 2028, and that the historical actual unit cost have been less than the budgeted unit cost every year, from 2020 through 2024.

Q. Please describe the Company's Circuit Switcher Replacement Program.

A. This program will replace circuit switchers installed in Con Edison Substations to improve reliability. The replacement is based on a health ranking which is determined using multiple factors including jumpers, service type, station risk, SF6 emissions, O&M history, model, age, and failure consequences. According to the Company, this program will upgrade or replace three switches per year with a reliable upgraded model. As the program progresses, other circuit switchers will be considered for replacement based on performance, reliability, and lack of replacement parts availability due to obsolescence. These are the switches that have been identified as a priority.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $2.8 million, $4.0 million and $4.12 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. Circuit switchers function to provide electrical isolation to substation equipment or transmission lines during planned outages and/or fault conditions. If a circuit switcher does not operate as intended, more equipment will need to be isolated, than would otherwise be required referred as overtripping. Overtripping can lead to contingencies that may cause equipment overloads or require load shedding. Replacing circuit switchers that are in poor health will help maintain reliability and help with climate change mitigation efforts. Some circuit switchers are targeted for replacement because they are leaking SF6 gas, which is a greenhouse gas (GHG).

Q. What funding does the Panel recommend this program?

A. The Panel recommend $2.4 million for each of RY1, RY2, and RY3.

Q. What is the Panel's rationale for its recommendation?

A. Circuit switchers are essential for the isolation of substation equipment and Panel supports the program. The average spending on this program was only $1.36 million from 2020 to 2024. On Page 28 of Exhibit___(EIOP-8), it is stated that the cost for a typical circuit switcher replacement is approximately $1.2 million. Based on this cost of $1.2 million ,the Panel recommends $2.4 million per rate year to replace two circuit switchers per year and to better reflect historical spending and work activity on this program. The Company has not justified why three circuit switchers need to be replaced every year.

Q. Please describe the Company's Dynamic Feeder Rating System program.

A. This program completely upgrade the existing Dynamic Feeder Rating (DFR) equipment and communications systems to address technology enhancements and parts obsolescence. The program includes upgrading all instrumentation consisting of Remote Terminal Units, input and

output signal conditioning, and communication hardware to the latest technologies.

Q. What funding did the Company request for this program during RY1, RY2, and RY3?

A. The Company requests capital investments of $0.76 million, $0.76 million, and $0.76 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. On page 65 of Exhibit___(EIOP-8), the Company states that the DFR system is a unique standalone customized system that monitors load, temperature, and the system hydraulic status (forced cooling, circulation, and static) and adjusts feeder ratings accordingly. The installation of a DFR system on a transmission feeder, on average, will increase the power transfer capability. The purpose of a dynamic rating system is to maximize the cable system's available capacity in real-time by utilizing critical thermal measurements without exceeding industry defined limits.

Q. What does the Panel recommend?

A. Yes, the Panel recommends a budget of $0.3

million for RY1, $0.3 million for RY2, and $0.3 million for RY3, which reflects the five-year average spending from 2020 to 2024.

Q. What is the Panel's justification for its recommendation.

A. Con Edison has underspent this program's budget historically in all of the last five years from 2020 to 2024 and the average spending was only $0.258 million per year. The Company provides no reason why there is a need to increase this funding to the level Company seeks.

Q. Please describe the Company's Relay Modifications Program.

A. On page 211 of Exhibit___(EIOP-8) the Company states that this program replaces relay protection systems at area and transmission substations. This program will continue to target various electromechanical, solid state, and microprocessor relays across transmission and area substations that exhibit reliability issues due to vintage, obsolescence, or incompatibility with modern technology. Activity under this program includes upgrades to area station bus and feeder protection,

installations that eliminate single points of failure (TPL-001-5 Upgrades) as part of other relay upgrade projects, and replacement for some early models of microprocessor relays including Under Frequency Load Shedding (UFLS) Panels. To complete the upgrades mentioned above, this program will also target ancillary equipment such as Panels and enclosures that contain the relays, as well as the development of standards. A standards lab will be constructed to create an environment to test relay protection schemes during development, to maintain relay protection standards, and for relay protection engineer and technician training on relay standards, and event troubleshooting.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $48.0 million, $52.0 million and $62.912 million, in RY1, RY2, and RY3 respectively.

Q. What is the Company’s justification and need for this program?

A. Relay systems are critical in the protection of electric transmission and distribution systems.

The reliable and timely operation of a relay system electrically isolates a faulted piece of equipment and protects the rest of the transmission and distribution system from any conditions that may cause further damage. Legacy systems with known reliability issues on the transmission system will continue to be prioritized for replacement under this program. A more standardized approach to upgrades, however, and an expansion of the program to include area station relays,(UFLS) Panel upgrades, and TPL projects is critical. The standardized approach will help the Company adapt to changing climate by improving restoration times following extreme weather events. UFLS Panels are critical in gaining faster recovery from decaying frequency to maintain the balance between generation and load followed by a major system disturbance. Existing Clark relays associated with UFLS design needs replacement due to their unreliable operation, impacting our ability to shed the load when needed. Systemwide upgrade of UFLS Panels is required to retire the early

generation of UFLS microprocessor relays. Strengthening the components of UFLS Panel will improve our ability to respond to system imbalance and to prevent cascading events. Modernizing relay systems by moving away from legacy electromechanical and solid-state systems towards microprocessor-based systems facilitates real time data collection on health and the ability to remotely recover from events. Additionally, the newer microprocessors offer increased intelligence and integrate advanced technology to provide security against common industry-wide issues leading to mis-operations.

Q. What does the Panel recommend?

A. We recommend $42 million in funding per year, for RY1 through RY3. Our adjustment reflects Con Edison's three-year average spending on the program.

Q. What is your rationale for this recommendation?

A. This is an ongoing program, and the Company is targeting annually approximately nine transmission relay upgrades, 15-20 area station bus section/feeder upgrades, legacy microprocessor relay upgrades, and nine UFLS

upgrades, as well as constructing the Standards Lab. The Panel is in support of the programs but does not support the increased funding request. The Company has spent an average of approximately $42 million for the last three years from 2022 to 2024, and $36.0 million for the last five years from 2020 to 2024. Since relay systems are critical, Panel recommends the Commission use the three-year average of $42 million for the rate years, because it reflects the Company's recent historic spending.

Q. What is the Company's Relay Protection Communication Upgrades Program?

A. As explained on page 220 of Exhibit___(EIOP-8), the purpose of this program is to remove from service inadequate communications infrastructure that is used, in whole or in part, for relay protection and replace it with modern, actively supported, and reliable communications infrastructure. For most locations, this program will also provide two independent communication systems for relay protection, which will increase the reliability of the electric system by eliminating single point mode

of failure in the relay protection communication networks. The work is to take place at various locations throughout the system. The work is divided into three categories: 1) The upgrade of Corporate Communication Transmission Network; 2) The upgrade of Verizon communications infrastructure; and 3) The upgrade of relay protection and Supervisory Control and Data Acquisition (SCADA)/Remote Terminal Unit (RTU) communications equipment.

Q. What funding didoes the Company request for this program?

A. The Company requests capital investments of $5.0 million for each of RY1, RY2 and RY3.

Q. What is the Company's justification and need for this program?

A. As stated by the Company on Page 221 of Exhibit___(EIOP-8), the underlying reasons are multifaceted, with each aspect adding to the overall goal of increasing system reliability and resiliency. Since the repair of these communication circuits is the responsibility of others and not Con Edison, it is difficult to control the timeframe in which the equipment is

returned to service as the Company relies on the service provider to repair the copper communication line. The secondary concern is the mitigation of single mode point of failure situations that may exist in the communication networks that serve independent relay protection systems protecting the same power system elements. The reason for this is to prevent a single mode point of failure in the relay protection system in which the loss of a single element of the protection system would cause both independent relay protection systems protecting a single power system element to be defeated simultaneously. If both relay protection systems protecting a single element were to rely on a single fiber network only, be it Verizon or Corporate Communications Transmission Network(CCTN), and that network were to be compromised, then with a single failure, the power system element would be unprotected. Furthermore, if there is only one communication system servicing a station, and that communication system was to be compromised, then the entire station could lose protection

for multiple elements simultaneously. Con Edison maintains that such a situation must be avoided as it has the potential to leave a large, contiguous portion of the system at risk of outage if a failure were to occur. Two independent communication networks are necessary to mitigate this, which Con Edison proposes to implement using CCTN and Verizon fiber services.

Q. What does the Panel recommend?

A. The Panel recommends a capital budget of $4.2 million per rate year for RY1, RY2, and RY3.

Q. What is your justification for your recommendation?

A. This program is a risk reduction program and has been ongoing for several years. Our recommended capital budgets for the rate years reflects the Company's average spending for this program in the last five rate years from 2020 to 2024 since the Company has underspent in this program for four consecutive years from 2021 to 2023. As such, the recommended budget reflects actual historical spending and work activity for this program.

Q. Please describe the Company’s Unit Substation

Switchgear and Transformer Replacement program.

A. The Unit Substation Switchgear and Transformer Replacement program combines four previously separate individual programs – the Switchgear House Replacement program, the Switchgear Flood Protection program, the Unit Substation Transformer Replacement program, and the Unit Substation Modernization program. According to the Company, combining these programs into one program will improve coordination and comprehensive planning for upgrade or replacement of aging or poorly performing equipment at Con Edison's 237 Unit Substations. Equipment in the scope for upgrades and replacements under this combined program include substation switchgear units, switchgear houses, substation transformers, Supervisory Control and Data Acquisition referred as SCADA equipment, including flood and oil level sensors. Additionally, under this program switchgear in locations that have been identified as potentially at risk of flooding given projected impacts of climate change will be elevated to above the forecasted flood levels. The

switchgear replacement scope of the program will proactively replace aging and poorly performing Unit Substation switchgear with current ages up to 76 years old and averaging 56 years old. The Switchgear Flood Protection scope under this program will make Con Edison's electric distribution system more resilient by increasing the ability of Unit Substations to withstand flooding from projected climate-related sea level rise, storm surges, or heavy precipitation. The Unit Substation Transformer Replacement program will replace aging and poorly performing Unit Substation transformers. The Unit Substation Modernization program will be integrated into the Switchgear Replacement and Unit Substation Transformer Replacement programs to enhance coordination of replacement efforts. The modernization initiative will upgrade the SCADA communications as well as add transformer oil level and flood monitoring equipment.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of

$31.52 million, $30.66 million and $30.805 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. This program addresses critical infrastructure that contain aging structural components such as substation switchgear units, switchgear houses, substation transformers, as well as new SCADA capable flood and oil level sensors. Structural members of switchgear are aging, and these factors have resulted in circuit breakers that do not fit into their cubicles properly. None of the circuit breakers associated with these switchgear units are currently manufactured, requiring any repairs to be performed by a small set of third-party specialist vendors, introducing significant lead times and costly repairs when the equipment is damaged. Rather than attempt to repair the structural problems, this program funds the complete replacement of the switchgear. Upgrading the unit station switchgear further increases system resiliency by significantly improving Con Edison's ability to recover from outages more rapidly. The

upgraded switches are self-contained, modular devices that can be replaced or repaired individually, in less time than it takes to replace legacy custom switchgear breakers. Future replacements will also be faster and cost less since they can be performed using Company resources or by more broadly available contract resources, rather than specialty vendors that are in increasingly short supply. All installations except for the six pre-ordered legacy custom switchgear will follow standard designs and use "off-the-shelf" modular equipment that is more readily available, minimizing the time needed to acquire and install replacements when needed. The upgrades will provide remote, secure access to digital data to prioritize system restoration while enhancing cybersecurity measures. The switchgear in scope of the Federal Emergency Management Agency (FEMA) +5 guidelines will be replaced in the unit substations on elevated platforms that mitigate these flooding vulnerabilities. Installing the upgraded switchgear on elevated platforms enables the unit substations to withstand the projected

climate change impacts and avoid outages that would be likely without this program.

Q. What does the Panel recommend?

A. We recommend a budget of $19 million in RY1, $21 million in RY2, and $24 million in RY3.

Q. What is the Panel's rationale for this recommendation?

A. In the Company's response to DPS-626, it indicates that there was an average of only 0.8 Unit Substation Transformer failures in the last five years from 2020 to 2024, with no failures in certain years. As such, reducing the quantity of replacements will not result in any significant impact on the reliability of the electric system.

Q. How did the Panel derive its adjustment?

A. On page 314 of Exhibit___(EIOP-8), the plan for each component within the rate years is listed in a table with the quantity and unit price. Using this information, the Panel recommends reducing the number of modular switchgear replacements to 3 from 4, modular switchgear-Elevation to 3 from 4 in 2027 and keep 4 in 2028, Unit Substation replacement also to 3 from

4 and SCADA replacement to 4 from 8. This results in recommended budget of $19 million in RY1, $21 million in RY2, and $24 million in RY3. These recommended budgets are in line with Company's 2024 and 2025 budgets.

Q. Please describe the Company's Auxiliary Station Equipment Replacement Program.

A. This program is an existing initiative. In Exhibit___(EIOP-8) page 13, the Company states the Auxiliary Station Equipment Replacement Program will upgrade essential auxiliary equipment in substations, such as Public Utility Regulating Stations (PURS), pumping plants, cooling plants, high voltage test, coupling capacitor voltage transformers (CCVTs), surge arresters, bushing potential devices (BPDs), potential transformers (PTs), and insulator replacements. This program also includes other similar projects, with the expectation that additional projects will be identified and included in future candidate listings.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of

$13.335 million, $13.591 million, and $13.885 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-8), page 16, the Company states for the proposed system-wide upgrade program for Con Edison's transmission system is based on several factors including safety and reliability, efficiency, asset protection, insulator design improvement, testing efficiency, and environmental considerations.

Q. What does the Panel recommend?

A. Yes, we recommend a budget of $12.5 million per rate year in RY1, RY2, and RY3.

Q. What is the Panel's rationale for this recommendation?

A. In response to DPS-768, the Company states that when consolidating the historical actual costs in each standalone program into the Auxiliary Station Equipment Replacement Program, these historical spending trends have averaged approximately $12.5 million over the past three years and align with forecasted costs of the combined Auxiliary Station Equipment Replacement

Program. Although we continue to support this programs initiative, based on our review, the Company has not justified the proposed incremental spending above the historical spending levels provided in the Company's response to DPS-266. As such, we recommend the capital budget amount of $12.5 million to reflect such historical spending and work activity trends.

Q. Please describe the Company's Bushing Replacement Program.

A. This program is an existing Company initiative. In Exhibit___(EIOP-8) page 20, Con Edison states that this program identifies and replaces bushings based on failure probability and system impact.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $9.72 million, $6.3 million, and $6.3 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-8), page 20, the Company

states that failure of the bushings can lead to transformer failures, decreased system reliability and availability of transformers on the transmission and sub transmission systems. Upgrading bushings to the ABB design will result in a reliable transmission and sub transmission system, a reliable and available transformer, and minimal transformer failures from bushing failures.

Q. What does the Panel recommend?

A. Yes, we recommend a budget of $3.5 million per rate year in RY1, RY2, and RY3.

Q. What is the Panel’s justification for this recommendation?

A. In Exhibit__ (EIOP-8), page 21, the Company identifies “additional bushing replacements to be determined” for all rate years, indicating a lack of specific plans or schedules for these future replacements. The Panel also notes inconsistencies in the number of bushing replacements completed in prior years, as well as significant underspending during 2021 through 2023, as documented in the response to DPS-266. Most notably, several bushing replacements

originally scheduled for 2024 have not yet been completed. Additionally, according to the Company's response to DPS-766, one bushing replacement scheduled for 2024 is deferred to 2027. Given these discrepancies— namely, the absence of clearly scheduled future work, inconsistent historical replacement activity, and the pattern of deferrals—the Panel finds the Company's request for incremental funding in the rate years to be unsupported. As a result, the Panel recommends reducing the number of bushing replacements to be funded in each rate year from the proposed nine to 10 units to five units per year. This adjustment aligns with the Company's historical three-year average of actual bushing replacements and reflects a more realistic projection of work likely to be completed. The adjustment is based on the three-year historical units of five bushing replacements and the average unit cost of the two different major connection styles, draw lead and bottom connect style bushings, as indicated by the Company in response to DPS-766. Specifically, to calculate our budget, we used five bushing replacements at

a unit cost of $700,000.

Q. Please describe the Company's Disconnect Switch Capital Upgrade Program.

A. This program is an existing Con Edison initiative. In Exhibit___(EIOP-8), page 46, the Company states this program retrofits or replaces transmission voltage class disconnect switches found to be unreliable based on performance.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $5.175 million per rate year in RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-8), page 47, the Company states this program maintains the reliability of the system by proactively addressing disconnect switch performance issues on an annual basis. As disconnect switches deteriorate the risk of injury to the public, employees, and interruption of service due to a malfunction increase. Replacing the assets on an emergency

basis increases the replacement cost and impact's reliability and safety. Replacement parts are no longer available for many of the assets addressed under this program.

Q. What does the Panel recommend?

The Panel recommends a budget of $4.83 million for each of the three rate years. The Panel notes that, according to the Company's response to DPS-266, the Company has consistently underspent its allocated budget in prior years, specifically from 2021 through 2023. Notably, in 2022, approximately 41 percent of the budgeted amount remained unspent. This pattern of underspending demonstrates a lack of alignment between budget projections and actual expenditures. As such, the Panel finds that the proposed increase in incremental budget is not adequately justified based on historical spending behavior. Therefore, due to the underspending of the Company's budget, the adjustment reflects the use of a three-year average of actual historic spending, as provided in Company's response to DPS-266. The Panel recommends funding levels for the three rate

years based on recent actual historical spending and work activity trends in recent years.

Q. Please describe the Company's Feeder Clamp Replacements project.

A. In Exhibit___(EIOP-8), page 101, the Company recommends creating a new capital project to address the proactive replacement of all cast aluminum alloy cable clamps for existing Solid Dielectric (SD) feeder cable systems. Based on 20 affected feeders and needs for feeder outages, it will be a four-year project. The 20 affected feeders are prioritized by deterioration level and outage schedule.

Q. What funding does the Company request for this project?

A. The Company requests capital investments of $3 million, $3.5 million, and $4.5 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. In Exhibit___(EIOP-8), page 101, Con Edison indicates that it found widespread corrosion damage on the entire population of SD cable systems installed for the last 20 years. Some

clamps were found completely disintegrated, some broken in pieces, but all can no longer perform the function of adequately supporting the SD transmission cables in the underground vaults. This situation imposes a severe risk of cable and joint failures and must be corrected as soon as possible for the entire population of SD feeders using this type of cable clamp support.

Q. What does the Panel recommend?

A. We recommend a budget of $0.955 million, $1.25 million, and 1.18 million for RY1, RY2, and RY3, respectively.

Q. What is the Panel’s justification for its recommendation?

.A. In response to DPS-558, the Company explains that the year-to-year variations in the forecasted budget for 2025 through 2028 are driven by planned outages and resource availability. However, the planned outage schedule for the rate years remains incomplete, with some outages yet to be finalized. Additionally, in its response to DPS-558, the Company included a table outlining the number of units to be installed each year, along with

associated direct and labor costs. This table contains a column labeled "Completed," which lists percentages for each year alongside the corresponding number of units scheduled for installation. Without further clarification on the meaning of the "Completed" column and how it aligns with both the funding request and the forecasted number of unit replacements during the rate years, the Panel finds that the Company has not sufficiently justified the incremental cost included in its funding request. Accordingly, the Panel adjusted the budget based on the average forecasted unit cost (labor and direct costs combined) from 2025 through 2028, as provided by the Company in the response to DPS-558. Specifically, the Panel used a unit cost of $2,040.60 and applied it to forecasted installation volumes of 468 units in RY1, 612 units in RY2, and 578 units in RY3.

Q. Please describe the Company's Feeder Management System Technology Transformation project.

A. According to Exhibit___(EIOP-8) page 104, starting in 2025 the Company proposes to replace its legacy Feeder Management System suite of

applications. The key focus areas of the Feeder Management System Technology Transformation are the systems used by the district operators at the energy control centers FMS (Feeder management system), TOMS (Transmission Operations Management system), SLC (Station Log Cards), and TLS (Telephone line system). These are workflow management systems used to send and receive repair and restoration orders from the field. The Steam desk (SMS) and Oil desk (DSO) systems are also part of the scope.

Q. What funding does the Company request for this project?

A. The Company requests capital investments of $15 million, $15 million, and $10 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. In Exhibit___(EIOP-8), page 105, the Company states the Feeder Management System was built in 1993 and is now outdated. While it has served its purpose, it is time to replace the system to ensure the continued safety and reliability of electricity distribution and transmission to Con

Edison's customers and employees.

Q. Does the Panel recommend any adjustments to this project?

A. Yes, the Panel recommends no funding for this program in the rate years. The Company has not appropriately addressed the need and justification for this replacement system. It has neither provided evidence that the existing system is incapable of maintaining safe and reliable operations nor substantiated its claims with documented instances of system failures that would warrant such a replacement. In Exhibit___(EIOP-8) page 107, the Company also states that its forecasted capital and O&M costs for the program are based on its best knowledge and projects for similar efforts. However, in its response to DPS-851, the Company fails to provide sufficient supporting information to validate this claim. Specifically, while the Company indicates that cost estimates were derived from another “ongoing project,” it does not identify the project or provide details demonstrating its relevance or comparability to the proposed effort.

Q. Please describe the Company's Joint Replacement Program.

A. This program is an existing Con Edison initiative. In Exhibit___(EIOP-8), page 128, the Company states the purpose of this program is to replace joints on existing transmission feeders that are at risk of failing electrically and/or mechanically and cannot be addressed through routine corrective maintenance. This program is intended to improve the reliability of the transmission system.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $13 million, $13 million, and $14 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-8), page 131, the Company states there have been failure events (both electrical and mechanical) associated with joints on transmission feeders during the past few years that have prompted investigations into whether similar vulnerabilities exist in other

locations. These investigations have identified transmission feeder joints that are at risk of electrical and/or mechanical failures that will adversely affect reliability.

Q. What does the Panel recommend?

A. The Panel recommends a budget of $3.72 million per year in each of RY1, RY2, and RY3.

Q. What is the Panel's justification for this recommendation.

A. In its response to DPS-266, the Company indicates it underspent its budget for this program over the past three years Specifically, the Company had a budget of $10.5 million in 2024 but had a total spend for the year of $648,000. The Panel's recommendation is based on the Company's historical underspending. Therefore, the Panel recommends funding levels for the three rate years based on recent actual historical spending and work activity trends in recent years. This will ensure that resources are allocated efficiently and in line with actual program needs.

Q. Please describe the Company's Mobile Program for Feeder Leak Detection program.

A. In Exhibit___(EIOP-8), page 151, the existing Mobile Program for Transmission Feeder Leak Detection supports the procurement of highly specialized vehicles for the detection and location of dielectric fluid leaks.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $300,000 in each of RY1 and RY2, and $350,000 in RY3.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-8), page 152, the Company states this program recognizes the criticality of leak locating, ensures that the primary equipment used to locate leaks underground is operational, ensures the capacity to locate concurrent leaks, and maintains the latest equipment designs to expeditiously locate leaks. Moreover, this program addresses the challenges with vehicles and instrumentation mounted in vehicles subject to constant shock and vibration while in use in an urban environment that have a shorter expected service life as compared with

instrumentation in a lab environment.

Q. Does the Panel recommend any adjustments for this program?

A. Yes, the Panel does not support any funding for this program. In response to DPS-831 the Company states it withdraws this program as they inadvertently submitted two separate requests for this program in two different testimonies. Specifically, the Company submitted this program in the EIOP initial testimony and submitted the Chem Lab Mobile Equipment and Vehicles program in the Shared Services Panel (SSP) testimony. The program submitted in the SSP testimony was reviewed by the Staff Shared Services Panel.

Q. Please describe the Company's Pipe Enhancement Program.

A. In Exhibit___(EIOP-8) page 180, the Company states the existing Pipe Enhancement Program is aimed at reducing dielectric fluid leaks and increasing the availability of transmission facilities. This program focuses on addressing areas of corrosion on the pipe-type transmission feeder system and involves the large-scale installation of welded barrels to encase heavily

corroded areas and the installation of new coating, along with the associated required excavation, coating removal, inspection, and backfill/restoration tasks.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $35.75 million, $36.82 million, and $37.93 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-8), page 181, the Company states the Pipe Enhancement Program will reduce the number of leaks. By addressing corrosion issues before pipe leaks occur, Con Edison can reduce the amount of dielectric fluid that is lost to the environment and the associated costs for leak emergency response and remediation. The program also reduces the probability that the feeder will need to be removed from service or fail due to an oil leak caused by corrosion on the pipe.

Q. What does the Panel recommend??

A. The Panel recommends a budget of $33.723 million

for each of RY1, RY2, and RY3. In response to DPS-575, the Company states that it currently does not have an established goal for reducing the volume of dielectric fluid leaks released annually. ~~This is a deviation from the previous rate case, in which the Company was able to assess and report on such a goal in their 2022 rate case per IR DPS-606.~~ The table provided by the Company in this proceeding only includes data from 2019 through 2021 and indicates that the Company set a goal of limiting dielectric fluid releases to 22,400 gallons per year during that period. However, the Company failed to meet this goal in any of those years. Notably, the volume of dielectric fluid released in 2021 increased significantly to 154,923 gallons, compared to 63,166 gallons in 2020. In Exhibit___(EIOP-8), page 180, the Company asserts that its Pipe Enhancement program is intended to reduce dielectric fluid leaks. However, the data presented does not demonstrate a downward trend in fluid releases, and in fact shows a year-over-year increase between 2020 and 2021. As such, the Panel is unable to determine

the effectiveness of the Pipe Enhancement program or verify whether it has contributed to any meaningful reduction in environmental impact. Consequently, we cannot support the Company's proposed incremental funding increase for this program without further evidence of its success or alignment with historical cost trends. Therefore, our adjustment is based on the Company's five-year average of actual historic spending, as provided in response to DPS-266.

Q. Please describe the Company's Rights of Way (ROW) Roadway Access program.

A. In Exhibit___(EIOP-8), page 230, this program is a revitalization of a similar program implemented in the 2010 timeframe that improved access roads at approximately 15 locations. The program targets overhead transmission line and structure access road improvements including installation of crushed stone with geotextile fabrics to address the poor draining soils and runoff issues.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $4 million per rate year, in RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. The Company states in Exhibit___(EIOP-8), page 230, the Transmission Line Maintenance program involves the inspection and maintenance of the Company's entire overhead transmission system, located in Westchester, Putnam, Dutchess, and Richmond Counties. There are approximately 113 miles of right-of-way (ROW) access road to reach the lines and the associated structures. Transmission Operations requires that these access roads be passable by truck to facilitate the inspection and repair of the lines and structures as well as the ability to perform the required vegetation management for the ROW.

Q. What does the Panel recommend?

A. We recommend a budget of $15,000 in RY1, RY2, and RY3, respectively.

Q. What is the Panel's justification for its recommendation?

A. The Panel's recommendation is based on the Company's historical underspending and shifting

of funds to other priorities according to the Company's response to DPS-832 and DPS-266. Moreover, the Company has not been able to achieve the budgeted feet of roadway improvements for the past three years. In two instances specifically, 2022 and 2024, saw zero feet of roadway improvements. A total of zero dollars was spent out of a budget of $1 million in 2022 and $5,000 was spent out of a budget of $1 million in 2024. Therefore, the Panel recommends funding levels for the three rate years based on recent actual historical spending and work activity trends in recent years. This will ensure that resources are allocated efficiently and in line with actual program needs.

Q. Please describe the Company's East River Automation-Upgrade The 69kV yard project.

A. This project will install a microprocessor-based automation system at the East River Substation as well as several 138kV circuit breakers at East 13th street. This will enhance system performance, improve operator response time and increase overall system reliability.

Q. What funding did the Company request for this project?

A. The Company requests capital investments of $3 million, in RY1 and requests no capital investments in RY2 and RY3.

Q. What is the Company's justification and need for this project?

A. Con Edison states this project is required to support the retirement of the existing operating, control and protective systems and devices currently located in the generating station control room, terminal board room, and various relay rooms.

Q. Does the Panel recommend any adjustments to this project?

A. Yes, the Panel recommends adjusting RY1 funding to $1 million and adding $1 million to RY2 and $1 million to RY3, this results in a budget of $1 million for each rate year, RY1, RY2, and RY3.

Q. What is the Panel's justification for its recommendation?

A. According to attachment "DPS_2_266_Attachment 1", the Company did not spend anything on this

program for three out of the previous four budgeted years. The highest spending in the last four years was $172,000 in 2021. Page 76 of Exhibit___(EIOP-8) shows that the Company underspent its 2017 budget of $4 million and 2018 budget of $1.5 million, while overspending by $1000 on a budget of zero in 2019. This historic underspending can be contributed to the schedule delays identified by the Company on page 74 of Exhibit___(EIOP-8), which were a result of storm hardening work following Hurricane Sandy, and the failure and subsequent lack of replacement of East River Transformer 17. To mitigate the potential for further delays impacting the entire capital budget for this project, we recommend a budget of $1 million in RY1, $1 million for RY2, and $1 million for RY3. This is based on the estimated cost to complete each of the remaining scopes of work for this program. Specifically, $500,000 to upgrade bus section 9-1, $1 million to upgrade bus section 5-1, $1 million to upgrade bus section 5-2, and $500,000 to upgrade PAR/TR 111. With a budget of $1 million per year, for

rate years 1 through 3, the Company can schedule the remaining scopes of work upon outage availability, with the work for bus section 9-1 and PAR/TR 111 expected to be completed in the same year for $1 million total.

Q. Please describe the Company's Gas Insulated Substation Replacement Program.

A. This existing program was established to replace outdated Gas Insulated Substation equipment with current technology. In Gas Insulated Substation facilities, the major high voltage equipment is contained in a sealed environment with sulfur hexafluoride gas (SF6) as the insulating medium, and over time these facilities develop SF6 leaks.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $50 million in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. When current gas insulated substation technology is used to replace outdated equipment, minimal SF6 leaks have been detected, indicating the new

technology reduces SF6 emissions significantly. There are few personnel with knowledge of older equipment and repair parts must be custom ordered, adding to the complexity of repairs and supply chain risks.

Q. What does the Panel recommend?

A. Yes, the Panel recommends a budget of $35 million for RY1, $35 million for RY2, and $35 million for RY3.

Q. What is the Panel's rationale for its recommendation?

A. Based on the response to DPS-266, attachment "DPS_2_266_Attachment 1", the Panel found that in the past five years, 2020-2024, Con Edison has spent on average, $12.9 million per year with an average budget of $11.7 million on this program. Within the past three-years, the Company has spent on average, $18.6 million per year, with an average budget of $16.8 million. Con Edison has a 2025 budget of $21 million. While the Company has shown an ability to overspend for this program, we are concerned that it may not achieve the $50 million requested in the rate years if issues arise to

prevent scheduling equipment outages. Therefore, the Panel recommends a budget of $35 million per year, for rate years one through three. This budget will provide funding for Con Edison to complete the replacement of two 345kV breakers, which the Company states is approximately $28 million in its response to DPS-778, and ensure some additional funding for escalation, inflation, or unforeseen work that arises during the replacement of breakers.

Q. Please describe the Company's High Voltage Circuit Breaker Capital Upgrade Program.

A. This existing program replaces or upgrades high voltage circuit breaker models. The Company considers breaker health, reliability, SF6 leakage, corrective maintenance hours and/or major maintenance requirements when prioritizing replacements.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $20 million in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. The Company's justification for this program is due to the important role breakers have on the system. Breakers function to isolate equipment during fault conditions. Failure to do so can have a serious impact on customers and the system as a whole. There are currently two classes of 138kV breakers that have been identified for replacement due to their high failure rate, high cost of repairs and overhaul, and maintenance history problems. The 33kV class of breakers has been recently added to the overall breaker replacement program due to observed degradation. This program is critical to system reliability.

Q. What does the Panel recommend?

A. The Panel recommends a budget of $14.29 million for each rate year, RY1, RY2, and RY3.

Q. What is the Panel's rationale for its recommendation.

A. The three-year average reflects a more accurate representation of current costs. Based on historical spending for the last three years, the average spending was $14.29 million and the highest spend was $18.7 million. The blanket

purchase agreements have increased from $100,000 to $227,000 per 138kV breaker and from $267,000 to $585,000 per 345kV breaker. Breakers isolate equipment during fault conditions and if not functioning properly, will cause further system outages and damage. As such, the Panel supports the program in general, but the Company did not provide ample justification for the increased spending, therefore we recommend budgets based on the recent three-year average. This would result in a budget of $14.29 million, $14.29 million, and $14.29 million for RY1, RY2, and RY3, respectively.

Q. Please describe the Company's Manhole Cover Replacement Program.

A. This existing program targets the replacement of manhole covers to improve public safety, asset security and system resiliency. Replacements are determined based on structures that present an elevated risk and areas of high pedestrian density.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of

$4.171 million, $24.634 million, and $25.919 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. Solid manhole covers allow combustible and explosive gases to accumulate in underground structures. In certain circumstances, these gases can ignite and explode, which may result in injuries, property damage, and damage to the electric system.

Q. What did the Panel find in its review?

A. We found that Con Edison is planning to increase the number of cover replacements it completes annually from 1,120 in 2025, to 6,850 in RY1, RY2, and RY3, as shown in the table on page 136 of Exhibit___(EIOP-8). The Company states on page 137 of the Exhibit that an increase in costs is anticipated due to the accelerated rollout of vented and latched covers, which are transitioning from the R&D/pilot stage to a mature program. Since the inception of this program, Con Edison has installed approximately 153,500 vented covers, which includes 2,553 vented and latched covers. In response to DPS-

873, the Company provides a table showing the annual number of manhole explosions that resulted in the manhole cover being ejected off its frame. Within the time, we learned that 34 of the 112 manhole explosions that occurred from 2020 through 2024, have solid covers. This is a significantly low number of manhole explosions when considering there are 266,900 manholes and service boxes within Company's underground distribution system, as stated on page 18 of the EIOP initial testimony. In the same response, we also learned that the unit cost to replace an existing cover with a ventilated and latched cover is $3,300, while the typical unit cost for an unrestrained ventilated cover from 2022 to 2025 is $825.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends adjusting this program's budget to $1.5 million for each rate year, RY1, RY2, and RY3.

Q. What is the Panel's rationale for its recommendation?

A. As mentioned previously, the Company has only

experienced 112 manhole explosions, or approximately 22 explosions per year, from 2020 through 2024, on their underground distribution system of 266,900 structures. The Company has not provided sufficient justification for the significant increase in the number of manhole covers it plans to replace, or the increasing number of vented and latched covers it plans to install. As such, the Panel recommends the Company target 500 manhole replacements each rate year, in high density areas or areas of potential hazards, consisting of both vented covers and vented with latches covers.

Q. Please describe the Company's Overhead Tower Rapid Rail Program.

A. This existing program installs step bolts and permanent wire rope on overhead transmission towers that are frequently accessed. The Company targets around 60-65 towers each year.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $5 million, $5 million, and $4.4 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?
A. OSHA regulation 1910.269(g)(2)(iv)(C)(3 requires that qualified personal use fall protection while climbing or changing locations on poles, towers, or similar structures.
Q. Does the Panel recommend any adjustments to this program?
A. Yes, the Panel recommends a budget of $3.723 million for each rate year, RY1, RY2, and RY3.
Q. What is the Panel's rationale for its recommendation?
A. The three-year average reflects a more accurate representation of current costs, due to the increased costs associated lead times, inflation and supply chain issues Based on historical spending, the three-year average was $3.723 million and the highest amount spent by the Company is $7.67 million. The Company can target around 50 installations each rate year, instead of 65, with $3.723 million allocated to the program. As such, we recommend that the budget match the average spending for the last three years.

Q. Please describe the Company's Overhead Transmission Structures Program.

A. This existing program strengthens the overhead transmission system to protect it from extreme winds, ice and storms. If the overhead transmission system fails, the consequences could be catastrophic for customers. Annual work under this program ranges from between 12 and 20 structures reinforced each year.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $3 million, $3 million and $3 million in RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. Following Superstorm Sandy, the Company worked with the Strom Hardening and Resiliency Collaborative established by the Commission in the 2013 electric and gas rate Order to recommend storm hardening investments, such as addressing overhead circuit vulnerability. The upgrades made under this program help prevent system impacts resulting from extreme weather.

Q. What does the Panel recommend?
A. The Panel recommends a budget to $1.5 million for each rate year, RY1, RY2, and RY3.
Q. What is the Panel's rationale for its recommendation?
A. The three-year average reflects a more accurate representation of current costs. Based on historical spending, the three-year average was $945,000 and the highest spending is $1.65 million. The Company has not justified additional spending. As such, we recommend that a budget each rate year that is closer to the highest spend over the last three years.
Q. Please describe the Company's Substation Transformer Replacement Program.
A. This existing program aims to replace seven to eight substation transformers each rate year. Transformers are selected based on several factors and replaced when they are determined to be at the end of their useful life and cannot be maintained in a reliable manner.
Q. What funding did the Company request for this program?
A. The Company requests capital investments of

$161.6 million, $175.4 million, and $171 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. According to the Company, the program addresses an aging fleet of transformers and an increase in failure rates over the last 10 years. The system has 426 transformers, with 292 of them over 40-years old. The Company states that 67 percent of the failed units over the last 10 years were over the age of 40.

Q. What does the Panel recommend?

A. The Panel recommends a budget of $102 million for each rate year, RY1, RY2, and RY3.

Q. What is the Panel's rationale for its recommendation.

A. Based on information received in the response to DPS-761, replacing six transformers per year will yield a slightly higher failure rate of 5.5 failures by 2045, as opposed to five failures if the Company replaces eight transformers per year. Based on the response to DPS-266, attachment DPS_2_266_Attachment 1, the previous five-year budget was $58 million and the actual

five-year spending average is $73 million. The three-year average budget is $70 million, and the three-year actual spending average is $95 million. Lead times, supply chain constraints, and increased costs are also a major concern. The Panel therefore recommends the replacement of six transformers per year with an average cost of $17 million each, as shown in the response to DPS-761, totaling $102 million per rate year. This should enable the Company to continue to address its aging transformer assets with an increased budget while still maintaining costing responsibility to ratepayers.

Q. Please describe the Company's Transmission Failures Other program.

A. This existing program replaces failed equipment associated with transmission feeders within substations, such as failed cable terminations, riser cable sections and other related transmission feeder equipment located in the substation. While some feeder repairs are addressed in the O&M program, this program covers repairs requiring a complete replacement of a new cable termination or riser cable

section.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $3 million in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. The states that the continuation of this program will help maintain the reliability of the underground transmission system.

Q. What does the Panel recommend?

A. The Panel recommends adjusting this program's budget to provide $525,000 for each rate year, RY1, RY2, and RY3.

Q. What is the Panel's rationale for its recommendation?

A. The three-year average reflects a more accurate estimate of current costs. Based on historical spending, found in attachment "DPS_2_266_Attachment 1", the three-year average was $525,000 and the highest spend was $1.447 million. During previous rate years, actual spending was at times less than 10 percent of the budgeted amount, according to previous rate

year budgets versus actual spending. As such, the Panel recommends that the budget be determined at the average spending for the last three years.

Q. Please describe the Company's Transmission Feeder Failures program.

A. This existing program addresses major transmission feeder repairs, when the feeder repair requires a cable section replacement and splicing of new joints. This work is generally performed on an emergency basis to return the failed feeder to service as fast as possible.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $18 million in each of RY1, RY2, and RY3.

Q. What is the Company's rationale for this program and its proposed capital costs?

A. The forecasted cost estimates are based on two transmission feeder failures per year, with the cost per feeder between $8 to $10 million.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends adjusting this

program's budget to $14.88 million for each rate year, RY1, RY2, and RY3.

Q. What is the Panel's justification for its recommendation?

A. The five-year average is a more accurate reflection of current costs and spending because actual spending in years 2022 and 2023 was less than $5 million, according to page 294 of Exhibit___(EIOP-8). Additionally, based on the response to DPS-266, attachment DPS_2_266_Attachment 1, the five-year average was $14.88 million per year from 2020 through 2024 and the highest spending in a year was $33.85 million, in 2024. As such, the Panel recommends that the budget match the average spending completion activities for the last five years.

Q. Please describe the Company's E. 179th St. Feeder Establishment project.

A. On page 68 of Exhibit___(EIOP-8), the Company states that this program will enhance the reliability and capacity of the Fordham network by adding ten new 13 kV primary feeders at the East 179th Street Area Substation. The primary

objective is to lower the Network Reliability Index (NRI) for the Fordham network, which is currently ranked eleventh in network reliability. The new feeders will also address the issue of heavily loaded existing feeders, which are operating above 90 percent of their normal and emergency ratings. The estimated in-service date is 2030.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $31.6 million, $26.3 million, and $21.1 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. On page 69 of Exhibit___(EIOP-8), the Company states that the current NRI for the Fordham network ranks eleventh in reliability within the Con Edison service territory. This ranking indicates a heightened risk of cascading feeder outages during extreme weather events, which could lead to significant service disruptions. The new feeders will provide feeder diversity which reduce the likelihood of widespread

outages by distributing load across more feeders. Many of the feeders are operating above 90 percent of their normal and emergency ratings and a detailed feeder rating analysis for 2027 and 2030 show that several feeders will exceed 95 percent of their ratings, with an increasing number of feeders surpassing 100 percent of their normal and emergency ratings. The Company also expects the network to grow by 28 MW by 2033. Feeders exceeding their ratings can cause an overload condition that could lead to increase outage frequency and duration. By adding more feeders, there would be more feeder diversification as well as increase the life expectancy of the feeders and reduce failure rates.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends constructing five new feeders instead of the Company's proposed ten feeders.

Q. What is the Panel's rationale for its recommendation.

A. According to the Company's response to DPS-746,

the NRI for Fordham has been steadily decreasing for the last five years as the NRI has decreased from 0.678 in 2020 to 0.381 in 2024. The Company states that 15 feeders will surpass their normal rating by 2033, however the Panel believes that five new feeders will be able to address these concerns. Since NRI is already decreasing, five new feeders will provide the feeder diversity to improve the NRI for the network. The Panel also believes that five feeders will address the 28 MW of additional load. On page 132 of Exhibit___(EIOP-7 UPD), the East New York Electrification Hotspot project plans to address 23 MW of electrification load with three feeders. As such, only five new feeders are required to handle the estimated 28 MWs of load that is expected to be added to the network. As the Panel recommends work on half the number of feeders, the Panel recommends adjusting the budget to $15.8 million, $13.2 million, and $10.5 million in RY1, RY2, and RY3 respectively.

Q. Please describe the Feeder Replacement Program.

A. As described on page 109 of Exhibit___(EIOP-8),

this program addresses the replacement of underground 69 kV, 138 kV, or 345 kV transmission cables,. Under this program, the Company will perform proactive section replacements, or in some cases, entire circuit replacements. For 2026 through 2029, this program will prioritize the replacement of low-pressure feeders 37041/69, 37042/69, 37043/69, and 37044/69 at the East River Substation. This project was addressed in the 2023 Rate Order and the budgeted capital costs were $2.5 million, $1.25 million, and $1.75 million in 2022, 2023, and 2024 respectively.

Q. What funding is the Company requesting for the Feeder Replacement Program?

A. The Company requests $3.5 million, $3.5 million, and $13.5 million for RY1, RY2, and RY3, respectively.

Q. What is the Company’s justification for this program?

A. On pages 109 to 110 of Exhibit___(EIOP-8), Con Edison states that the Low-Pressure Fluid Filled Feeders, along with their dielectric fluid reservoirs, have experienced repeated leaks due

to their advanced age and need replacement. In addition, the reservoirs are obsolete, with no parts available for repair. The Company states that replacement poses significant interference challenges due to the change in design and changes within the East River Substation.

Q. Does the Panel recommend any adjustments for this program during the Rate Years?

A. Although we support the overall need for this program, the average historical spending provided in the Company's response to DPS-266 is $270,000 from 2022 to 2024 while the budget average was $1.83 million, a significant underspend. In addition to not spending to the budget levels previously provided, the Company has also not justified the need for the increased spending above and beyond previous budgets. Therefore, we recommend an adjustment of 50 percent to the Company's requested funding which amounts to $1.75 million, $1.75 million, and $6.8 million for RY1, RY2, and RY3, respectively.

Q. Please describe the Company's Queensboro Bridge Risk Mitigation project.

A. On page 203 of Exhibit___(EIOP-8), the Company states that there are six 138 kV feeders and six 69 kV feeders that traverse the Queensboro Bridge. The 138kV feeders connect Vernon Substation to East 40th Street, Murray Hill, and West 49th Street substations while the 69kV feeders connect Queensbridge Substation to East 63rd Street Substation. Therefore, a failure of the bridge would be an event common to all the circuits simultaneously and could result in significant feeder failures and electric customer outages. This project would prioritize relocating six of the cables, based on feeder condition, with new cross-linked polyethylene (XLPE) cables. The estimated in-service date for this project is 2030. This project was also included in the revenue requirement in the 2023 Rate Order and the budgeted capital for 2023 to 2024 is $20.0 million and $41.0 million in 2023 and 2024, respectively.

Q. What funding did the Company request for this project?

A. The Company requests capital investments of $25.0 million, $110.0 million and $109.0 million

in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this project?

A. On page 203 and 204 of Exhibit___(EIOP-8), the Company states that the Queensboro bridge was identified as a common mode of failure and as the number one risk in high impact, low probability events. If the bridge fails, it will take out most of the electricity supply to the east side of Manhattan. There have been multiple electrical joint failures on these feeders due to cable movement in the last few years. Every time there is an electrical feeder or joint failure, it requires extensive repairs that necessitate coordination with NYCDOT and the construction of scaffolding to reach and work on the electric feeders. To replace an electric joint, the whole feeder pipe must be lowered towards the pier and, due to repeated repairs, the pipe is getting close enough to the pier where it cannot be lowered any further. In 2015, Con Edison spent $56 million to replace 11 of these joints, however, additional joint issues have occurred and in 2019, there was a

failure on feeder 38M01. The 69kV high-pressure nitrogen-filled feeders have experienced constant nitrogen leaks to such an extent that Con Edison has spent $300,000 annually on nitrogen over approximately the last 20 years. The amount of time that a cable is in service at pressures below the minimum specified operating pressure can reduce the long-term effective life of a cable even if a specific leak incident does not result in immediate failure of the cable. Due to these leaks, Con Edison repaired the riser sections for these cables with a carbon fiber wrap, however, the nitrogen leaks continue. The only way to address the problem is to move the feeders from the bridge into new trenchless crossings and replace the cable.

Q. Does the Panel recommend any adjustments to this project?

A. Yes, the Panel recommends the Company re-route four feeders instead of the six proposed and delaying this project by one year.

Q. What is the Panel’s rationale for this recommendation.

A. While the Panel agrees with the need of the

project, we also believe that the Company should not re-route six feeders at this time. The Panel believes that the Company should focus on the feeders that have had costly outages, such as feeder 38M01, or multiple outages. In the Company's response to DPS-754 it states that feeders 38M03, 38M04, and 38M05 have the most outages and feeder 38M01 was the most recent failure. Even though the probability of the bridge collapsing is low, the Panel recommends work on these four feeders and to work on the remaining feeders as the need arises to mitigate the risk of any large events. Also, as indicated in the response to DPS-266, The Company was provided funds of $20 million and $41 million in 2023 and 2024, respectively, but it only spent $72,000 and $367,000, respectively, in those years. The Company states in its response to DPS-754, that the Company contacted Cornell Tech and the Roosevelt Island Operating Corporation to obtain permits for geotechnical borings and this significant underspending was due to the discovery by Cornell Tech that deep geothermal wells

conflicted with the proposed trenchless crossings route, necessitating an alternative route. While the Company states in its response to DPS-754 that it expects to receive the documents and records from Cornell Tech that would allow the Company to obtain the necessary permits that would allow the project to progress from the concept to design phase, the Company also states that the discussions regarding the new trenchless crossing route with Cornell Tech and the New York City Economic Development Corporation are taking longer than expected. As the Company has yet to receive the necessary documents to progress the project, the Panel recommends the Commission delay the funding for this project by a year along with the previous recommendation of working on four feeders instead of the proposed six feeders. As such, the Panel recommends adjusting the proposed budget to $16.5 million and $72.6 million in RY2 and RY3, respectively.

Q. Please describe the Company's Underground Transmission Structures program.

A. The Company begain this program in 2019 to

mitigate concerns regarding transmission structures (manholes) that have been identified as requiring major, non-routine upgrades. Structural deficiencies and water entry due to structural issues have jeopardized the integrity of the feeder pipes and lead to dielectric fluid leaks each year. The upgrade proposed by Con Edison entails rebuilding the end walls of the structures, using rebar, concrete, and masonry components, as well as the installation of new feeder pipe penetration seals, along with the associated required excavation, waterproofing, application of permanent corrosion repairs to the feeder pipes, new pipe anti-corrosion coating, replacement of structure covers and castings (as needed), and chimney upgrades and backfill/restoration tasks. The structure's interior will be addressed with a new spray-on epoxy coating that will seal the inside of the entire structure after the end wall rebuild to provide a waterproof seal from the floor of the manhole to the manhole casting.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $10 million in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. The Company states in page 304 of Exhibit___(EIOP-8) that this program will address large scale defects and deterioration found upon manhole leaks, follow-up work, or structure inspections to prevent future dielectric fluid leaks and increase feeder reliability. Dielectric fluid leaks can result in feeders being removed from service if the leak rate exceeds the flow rate capability of the pressurization pumps. If the operating pressure cannot be maintained, failure of the cable system can happen and require an extended outage in order to complete repairs. Even if pressure can be maintained, a feeder with a large leak may be forced out of service if order repair the leak if the release of fluid cannot be adequately controlled during the repair process.

Q. Does the Panel recommend any adjustments to this program?

A. The Panel recommends adjusting the budget to $8.3 million for each of RY1, RY2, and RY3. In response to DPS-781 the Company provides an average cost of the manholes it performed this work on from 2020 to 2024. The Company completed 41 manholes in this period and the total cost was approximately $34 million and the average cost per manhole was approximately $0.83 million. The Company plans to work on ten manholes for all three rate years so using the average cost per manhole, we recommend the Commission determine the cost for each rate year be $8.3 million.

Replacement Capital Expenditures

Q. Please describe the Risk Reduction and Reliability category.

A. As stated on page 62 of the EIOP's initial testimony, this category consists of projects and programs that replace failed equipment or equipment that has degraded performance, that is no longer feasible or cost effective to maintain or is approaching the end of its useful life.

Q. What funding did the Company propose for the

Risk Reduction and Reliability category?

A. On page 2 of Exhibit___(EIOP-1), the Company proposes electric plant capital expenditures of $626.29 million, $655.47 million, and $675.68 million, for Rate Years 1, 2, and 3, respectively. This Panel reviewed Failed Substation Equipment Other Than Transformers and Failed Substation Transformer programs under this category with electric plant capital expenditures of $62.91 million, $63.33 million, and $63.53 million, for Rate Years 1, 2, and 3, respectively. Of these two programs, we only recommend an adjustment to the Failed Substation Transformer program, which will we discuss later.

Q. Did the EIOP update testimony modify the capital investment request of any projects or programs under the Replacement category?

A. Yes, the EIOP update testimony made minor changes to three projects and programs under the Replacement category. These changes result in a minor increase to the Replacement category's electric plant capital expenditures of $2,478.00 in RY2, and $943.00 in RY3.

Q. Please describe the Company's Failed Substation Transformer Program.

A. This is an existing program that would replace three failed transformers per year, on an emergency basis, to maintain reliability. The Company maintains an inventory of various voltage and mega volt-amp (MVA) classes of transformers, which can be used in the event of a failure.

Q. What funding does the Company request for this program?

A. The Company requests capital expenditures of $51 million in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. Lead times have increased about three to four years which has impacted the level of spare transformer inventory. In addition, there are possible supply chain issues and increased costs associated with purchasing transformers.

Q. Does the Panel recommend any adjustments for this program during the Rate Years?

A. Yes, we recommend a budget of $34 million for each rate year, RY1, RY2, and RY3.

Q. Describe the Panel's justification for its recommendation.

A. In the response to DPS-776, the average number of failed transformers since 2011 is below three per year. As such, the Panel recommends planning for two failed transformers per year instead of three failed transformers. Considering the older fleet being replaced and recent failures and replacements over the previous years, planning for two failures per year with an average cost of $17 million each, totals $34 million per rate year.

Equipment Purchases Capital Expenditures

Q. Please describe the Equipment Purchases category.

A. As stated on page 62 of the EIOP's initial testimony, this "category consists of projects and programs for the purchase of necessary equipment such as transformers, network protectors, and switches."

Q. Please describe the Company's Transformer Purchase program, which is under the Equipment

Purchases category of capital expenditures.

A. In Exhibit___(EIOP-11), page 5, the Company states this program funds the purchase of new or reconditioned electrical distribution equipment, including underground network transformers, overhead transformers, pad mount transformers, capacitor banks, emergency generators, and network protectors. The equipment purchases are needed to support distribution system relief, reliability, emergency, and load growth programs.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $234.73 million, $265.55 million, and $300.27 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-11), page 6, the Company states that without the required funding, we would be unable to purchase electrical distribution equipment as needed. Lack of installed transformer capacity in the same network, especially during high load periods,

can result in system degradation and reliability issues including local area voltage problems and customer outages. In addition to impacting the distribution system reliability and customer service, there is a significant public safety concern if we are unable to proactively replace defective transformers in a timely manner.

Q. What does the Panel recommend?

A. We recommend a capital budget of $225.12 million per rate year, in RY1, RY2 and RY3.

Q. What is the Panel's rationale for its recommendation?

A. In Exhibit___(EIOP-11) page 9, the Company states the basis for its forecast is the historical unit cost for transformer installations. The incremental percentage in unit cost from 2024 to 2025 is 26.31 percent. Specifically, the underground network transformers unit cost increased from $85.63 to $108.16. The Company states in Exhibit___(EIOP-11) page 7, that a baseline increase in equipment costs for submersible equipment by 10 percent. Additionally, Company notes in its response to DPS-581 that there will be an

adjustment of three percent to account for forecasted increase contract prices. These two increases, however, do not support the 26.31 percent increase in unit costs. We derived this budget by using the Company's actual spending in 2024, provided in the Company's response to DPS-266, escalated by 13 percent. We escalated the actual spending using a 13 percent escalation rate to reflect the three percent forecasted escalation/ price adjustment increases as stated in the Company's response to DPS-581 and an additional ten percent to reflect price increases in submersible equipment.

Environmental Capital Expenditures

Q. Please describe the Company's Environmental Enhancements program.

A. In Exhibit___(EIOP-12) page 2, the Company states this existing program will cover the installation of impressed current cathodic protection (CP) rectifiers along select High Pressure, Fluid Filled (HPFF) feeders to supplement or restore existing pipe cathodic protection.

Q. What funding does the Company request for this program?

A. The Company requests capital investments of $933,000, $1.23 million, and $1.23 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. The Company states that this program is necessary to prevent corrosion and dielectric fluid leaks in high-pressure transmission feeder pipes by maintaining and upgrading cathodic protection systems.

Q. What does the Panel recommend?

A. We recommend a budget of $933,000 in RY1, $1.05 million in RY2, and RY3. The Panel's recommendation is based on the Company's historical underspending as indicated in its response to DPS-266. Therefore, the Panel recommends funding levels for the three rate years based on recent actual historical spending and work activity trends in recent years. This will ensure that resources are allocated efficiently and in line with actual program needs.

Electric Production Capital Expenditures

Q. Please describe the Company's Major Equipment Replacement Projects – EP program.

A. This program consists of projects that will replace major equipment that has failed, is performing poorly, or is at or near obsolescence. The Company states on page 26 of Exhibit___(EIOP-13), that major equipment consists of equipment that is directly used to produce steam or electricity, such as generators, forced and induced draft fans, air preheaters, and combustion equipment. Under this program, the Company identified two projects it is planning to complete, the East River Unit 60 Burner Nest Replacement and the East River Unit 70 Reheater and Superheater Replacement. This program is an annual program that was called the East River Major Equipment Replacement Projects program in the prior rate proceeding, Case 22-E-0064.

Q. What funding level did the Company request for this program during RY1, RY2, and RY3?

A. The Company requests capital investments of $5

million, $11 million, and $5 million in RY1, RY2, and RY3 respectively.

Q. What is the historical actual spending and budgets for this program?

A. In the response to DPS-266, in attachment DPS_2_266_Attachment 1, the Company states this program had a budget of $10.50 million, $350,000, and $2 million in calendar years 2022, 2023, and 2024, respectively. Con Edison spent nothing under this program in calendar years 2022 and 2023 and spent $6.23 million in 2024. There was no program budget or spending in calendar years 2020 and 2021.

Q. What is the Company's justification for this program?

A. For the burner nest replacement, the Company states on page 26 of Exhibit___(EIOP-13), that Unit 60 was exposed to untreated feedwater from leaking condenser tubes in 2011, which resulted in the formation of hydrogen-induced corrosion and creaking with various boiler tubes. The Company further states that unlike straight tube sections, nest tubes cannot be nondestructively tested and given their age, proximity to tubes

that have identified leaks, and susceptibility to corrosion and erosion, that replacement is recommended prior to failure which would result in a significant loss of efficiency or an unplanned outage. For the reheater and superheater replacement, the Company states that the existing equipment is unable to allow the boiler to obtain the desired reheat temperature of 1000F, leading to reduced turbine output. This is a result of stress fractures in most of the tube supports; collapsed and leaking tubes; damage to refractory; and the degradation and the separation of gas-tight seals.

Q. What did the Panel find in its review?

A. In the response to DPS-557 the Company identifies four projects under the Major Equipment Replacement Projects – EP program, with a total forecasted capital expenditure of $3 million in 2026, $13 million in 2027, and $0 in 2028. This includes the two projects we discussed above, as well as East River Unit 70 Furnace Upper Waterwall and Headers project, which has no capital expenditures from 2025 through 2029, and the East River 70 Rear Wall

Hopper Slope project, which has a capital expenditure forecast of $2 million in 2027. Based on this, we do not believe the Company justified the requested budget for RY1 and RY3.

Q. Does the Panel recommend any adjustments for this program?

A. Yes, we recommend an adjustment of $2 million in RY1 and $3 million in RY3, resulting in a budget of $3 million, $11 million, and $2 million in RY1, RY2, and RY3, respectively. We adjusted the RY1 budget to match the forecasted 2026 capital expenditures of the projects identified in response to DPS-557, and we adjusted RY3 to provide $2 million for the Company to complete the East River 70 Rear Wall Hopper Slope project in 2028.

Q. Please describe the Company's Power Distribution Replacement Projects – EP program.

A. As stated on page 34 of Exhibit___(EIOP-13), this program consists of projects that replace power distribution equipment that has failed, is performing poorly, or is at or near obsolescence. Power distribution equipment consists of all high voltage equipment in the

station including unit substations, high-voltage transformers and switchgear, high voltage cables, generator step-up transformers, and uninterrupted power supplies. The Company identifies 11 projects under this program, which are all to be completed at the East River Generating Station. These projects include the replacement and/or upgrades of unit substations, switchgear and feeders, 69 kV breakers, and transformers. This program is an annual program that was called the East River Power Distribution Replacement Projects program in the prior rate proceeding, Case 22-E-0064.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $5.00 million, $5.00 million, and $5.20 million in RY1, RY2, and RY3 respectively.

Q. What is the historical actual spending and budgets for this program?

A. Based in the response to DPS-266, attachment DPS_2_266_Attachment 1, the Company states this program had a budget of $1.44 million, $4.75 million, and $2.00 million for calendar years

2022, 2023, and 2024, respectively. Con Edison did not spend anything under this program in 2022, but did spend $392,000 and $2.24 million in calendar years 2023 and 2024, respectively. There was no program budget or spending in calendar years 2020 and 2021.

Q. What is the Company's justification for this program?

A. On pages 34 through 37 of Exhibit___(EIOP-13), Con Edison provides several reasons for the need for the projects identified under this program. The reasons vary for specific projects, but they include equipment being beyond their design life, corroded casings leading to possible nitrogen leakage and pressure loss, equipment failure, lack of a spare transformer, and the difficulty in obtain replacement parts for old models of equipment. The Company adds that completing these projects will mitigate safety and reliability risks.

Q. What did the Panel find in its review?

A. In our review of the Company's response to DPS-557, we found the Company identified 12 projects under the Power Distribution program, with a

total forecasted capital expenditure of $4.7 million in 2026, $700,000 in 2027, and $4 million in 2028. This includes 10 of the projects identified by the Company, as well as 59th Street Replace Dock Batteries and 59th Street Replace GT1-125-BAT-1, which both have no capital expenditures from 2025 through 2029. Based on this, we do not believe the Company justified the entirety of the request budget for this program.

Q. Does the Panel recommend any adjustments for this program?

A. Yes, we recommend an adjustment of $301,000 in RY1, $4.3 million in RY2, and $1.2 million in RY3, which results in a budget of $4.7 million, $700,000, and $4 million in 2026, 2027, and 2028, respectively. We adjusted this program's budget to match the total forecasted capital expenditures of the 12 projects identified by Con Edison to be completed under this program.

Q. Please describe the Company's Balance of Plant Replacement Projects – EP program.

A. This program consists of projects that will replace the balance of plant equipment that has

failed, is performing poorly, or is at or near obsolescence. Balance of plant equipment consists of all auxiliary mechanical equipment required to produce steam or electricity other than major equipment. Examples include water treatment systems, cooling water systems, tanks, pumps, piping, compressors and receivers, heat exchangers including vent condensers, heaters, and coolers, strainers, and backflow preventers. The projects in this program are executed at the Company's East River Generating Station.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $6 million $4 million, and $5 million in RY1, RY2, and RY3 respectively.

Q. What is the Company’s justification and need for this program?

A. This ongoing program provides addresses various projects that ensure the Company has the ability to continue to produce energy safely and reliably. Failure of the Company to execute these projects may jeopardize this capability, leading to outages which may negatively affect

customers. The Company plans to replace approximately 300 feet of pipe from the LA Plant Reverse Osmosis system to the State Pollutant Discharge Elimination System outfall. The existing carbon steel pipe will be replaced with stainless steel. In addition, all valves, hangers and supports will be replaced as required. Con Edison will also install a direct injection steam heater to heat the Ultra Filtration Clean-in-Place water to 95 degrees F. The heater will be installed in modified CIP circulation piping and will require steam supply piping, insulation, steam traps, level switches, and associated controls. Con Edison will install a 300-gpm inlet water Electrodialysis Reversal system that will desalinate Reverse Osmosis reject water in the LA Plant in order to return usable water back to the steam system, thus reducing city water usage.

Q. Does the Panel recommend any adjustments to this program?

A. We recommend that the budget for this program be set at $1.7 million per rate year for RY1, RY2, and RY3

Q. What is the Panel's rationale for its recommendation?

A. According to the Company's response to DPS-266, the average spending on this program for the last three years from 2022 to 2024 is $1.7 million and five years is $1.06 million. We recommend the higher average of three years considering the nature of the work proposed by the Company. This is an ongoing program, and the replacements are done based on assessments, inspections and evaluations. The Company did not provide any instances where a failure occurred due to lack of replacement.

Q. Please describe the Company's Balance of Plant Risk Reduction Projects – EP program.

A. This program consists of projects that will increase the dependability or availability of balance of plant equipment located in the Company's steam generating facilities and reduce planned or prevent forced outages. Balance of plant equipment consists of all auxiliary mechanical equipment required to produce steam or electricity other than major equipment.

Q. What funding did the Company request for this

program?

A. The Company requests capital investments of $0.50 million, $0.50 million, and $1 million in RY1, RY2, and RY3 respectively.

Q. What is the Company’s justification and need for this program?

A. This ongoing program provides funding for various projects that ensure the safe and reliable operation of the Company's electric generating facilities. The projects funded by this program ensure the Company's continued capability to produce energy safely and reliably. This project will upgrade approximately 100 feet of 14 inch carbon steel piping to 16 inch 316L stainless steel piping. Three branch sections from the header to the outlet of each demineralization skid will be upgraded from carbon steel to stainless steel. Existing control valves will be retained and reused for the skids. This project will also upgrade the East River Generating Station’s hydrogen storage system. This includes refurbishment of the existing hydrogen storage tubes, upgrades to the supply manifolds,

reconfiguration of the system vents, hydrogen monitoring will be added along with both audible and vision alarms. In addition, this project will install warm up piping circuits for unit 60 and 70 boiler feed pumps.

Q. Does the Panel recommend any adjustments to this program?

A. The Panel is recommending a budget of $0.3 million per rate year for RY1, RY2, and RY3 based on the average spent on this program for the last five years from 2020 to 2024

Q. What is your rationale for your recommendation?

A. This is a risk reduction program. While the Panel is in support of the program as it addresses safe and reliable operation of the system, the Panel recommend capital budgets that reflect what the Company spent in the previous five years, from 2020 to 2024. The amount the Company budgeted in 2025 is only $0.201 million. The funding that we recommend is more than the 2025 budget and the five-year average spending, which can address any operational or emergent needs.

Q. Please describe the Company’s Civil & Structural

Projects – EP program.

A. The projects in this program upgrade or replace buildings and structures vital to the continued safe and reliable operation of the Company's facilities and are executed at the Company's East River Generating Station. This project was also in the previous rate case and the budgeted capital for 2022 to -2024 was $1.78 million, $2.06 million, and $1.8 million in 2022, 2023, and 2024 respectively.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $3 million, $3 million, and $5 million in RY1, RY2, and RY3, respectively.

Q. What is the Company's justification and need for this program?

A. On page 10 to 11 of Exhibit___(EIOP-13), there are three projects that Con Edison states need repairs or replacement. The East Boiler House Roofing Replacement will replace the existing roofing membrane and repoint parapet walls of the East River Boiler House rood. Large areas where concrete has been damaged due to the

failing roof will be repaired as well. A detailed roof inspection of this roof section revealed severe ponding at various locations, open penetrations, missing and broken flashing, membrane tears, and deteriorated brick at exterior pilasters. In addition, the underside of the roof area has water staining and spalled concrete with exposed rebar. The Main Building Local Law 11 Cycle 9 Façade Repairs will make façade repairs to exterior walls, bulkheads, and parapets around the East River Generating Station, including the removal of cracked and chipped masonry components and replacement with new masonry and the performance of associated repointing, cleaning, and sealing work. This project will also complete necessary structural replacements to the building. The Roof R-68/69 Replacement (HP Turbine House Over Unit 7 & North of Control Room) is a project that will replace the ballasted roof including asbestos abatement and installation of a new insulated and adhered EPDM membrane, roof drains, portions of drain risers, and counterflashing. Two sections of access stairs, platforms and steel

handrails will be replaced as part of this project. According to the Company, the roof replacement is necessary to ensure building structure integrity and assure operational reliability of equipment and safety.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends adjustments for this program. In the Company's response to DPS-266, the average spending from 2022 to 2024 was $1.3 million per rate year and the average budget was $1.9 million. As there was a $600,000 average underspend from 2022 to 2024, the Panel recommends adjusting the budget to reflect this historical underspending. The Panel recommends all three rate years be adjusted by $600,000, resulting in a budget of $2.4 million, $2.4 million, and $4.4 million for RY1, RY2, and RY3 respectively.

Q. Please describe the Company's Mechanical Facilities - EP program.

A. In Exhibit___(EIOP-13) page 30, the Company states this new program consists of projects that upgrade or replace the mechanical

facilities within the Company's steam generating plants. Asset types include lighting, heating, ventilation, and air conditioning, plumbing, refrigerant units, space heating systems, and roof ventilators. This program also funds the modernization of office spaces including bathrooms, conference rooms, locker rooms, and warehousing infrastructure located on plant premises. The projects in this program are executed at the Company's East River Generating Station.

Q. What funding did the Company request for this program?

A. The Company requests capital investments of $1 million, $801,000 and $2 million in RY1, RY2, and RY3 respectively.

Q. What is the Company’s justification and need for this program?

A. In Exhibit___(EIOP-13) page 30, the Company states the ER Office Building Renovation Program will modernize approximately 100,000 square feet across seven floors, including upgrades to office areas, common spaces, HVAC systems, lighting, and furniture, while also addressing

hazardous materials like asbestos and lead-based paint. The project will be phased over multiple years to manage cost and minimize disruption, with temporary accommodations provided for Company personnel. Most workspaces have not been renovated in over 50 years and suffer from inefficient layouts, poor ventilation, and outdated cooling systems, making them incompatible with modern standards. A comprehensive renovation is preferred over piecemeal upgrades to improve energy efficiency, workplace functionality, and environmental performance. In addition, the ER Elevator Modernization Program will upgrade aging elevator systems to ensure safe and reliable transport, while the ER Shipping, Receiving, and Inventory System Upgrade Program will enhance material management through reconfigured spaces and modern inventory systems, supporting uninterrupted plant operations.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends fully removing this capital project from the Rate Year and RY2 and

RY3..

Q. What is the Panel's reason for recommending the Commission remove all funding for this program?

A. The Company did not provide the Panel with information and clarity in the its response to DPS-839to justify this program's funding request for each project identified. For example, when the Panel asked specifics regarding the projects under this program such as year, timelines, projected completion times, milestones, the Company's response simply states, "The Mechanical Facilities program is a newly proposed program; a complete inventory of individual projects has not been developed, scoped, or prioritized."

<u>Other Electric Related Capital Expenditures</u>

Q. Please describe the Company's Energy Control Center (ECC) Relocation project.

A. Under this project, Con Edison will relocate the Energy Control Center (ECC) in Manhattan to a location that it claims will conform to modern industry standards for physical security and create a workspace that utilizes modern

technology to support the transition to the clean energy future. This project will establish the Transmission & Renewable Energy Control Center at a location in Westchester County which will serve as the primary operational control center for the Company's bulk electric transmission system and the steam system.

Q. What funding does the Company request for this project?

A. The Company requests capital investments of $55 million, $35 million, and $180 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this project?

A. According to Con Edison, one of the Climate Leadership and Community Protection Act (CLCPA) requirements is to interconnect 9,000 MW of Offshore Wind (OSW) by 2035. The Company states on page 26 to 27 of Exhibit___(CPSP-4-UpD) that the Transmission & Renewable Energy Control Center project will be sized to incorporate the necessary building infrastructure to manage the increased control center staffing and

operational requirements to reliably monitor and control the electric transmission system. The new Energy Control Center is expected to contain sufficient space for approximately 275 employees.

Q. Does the Panel support this project?

A. No.

Q. Explain why the Panel does not support this project.

A. In its response to DPS-948, the Company states that the monitoring responsibilities for wind farms and transmission-level battery systems are currently being handled by existing employees in addition to their other core assignments. The Company expects these monitoring responsibilities to increase and it requests eight FTEs to handle these responsibilities. The Panel believes that the eight new employees does not justify the need for a new ECC and that these new FTEs could be housed in the Alternate Energy Control Center (AECC) if there is not enough space. The Company also states that it currently has 179 employees in the ECC and that the ECC isat full headcount capacity. However,

the Panel does not agree with the need for a brand new ECC as the Company isonly requesting room for 275 employees, which is an additional 76 employees. The Panel recommends that the Company utilize the AECC to house the additional employees. As such, the Panel recommends the Commission remove the funding for this project. Further information regarding the physical security of the ECC can be found in the Staff Utility Security Panel (SUSP)..

Operations and Maintenance

Q. Please describe the Company's requested O&M expense program changes not associated with the Company's incremental FTE request.

A. As shown on page 2 of Exhibit___(EIOP-2), the Company proposes several O&M program changes. Factoring out the incremental FTE request, which we discuss later in our testimony, the Company seeks a program change of $32.90 million in the Rate Year for S&TO, Substation Operations and Electric Operations. These program changes are for the following programs: Systems Operation – Computer Operations License and Support; Coordinated Grid Planning Process Study

Development; Corrective Maintenance; Environmental; SSO Programs; Automated Roster Call Out System (ARCOS); CECONY Flagging Prevailing Wage; Safety Inspection Program (SIP); and the Storm Response Center. Not mentioned is the Feeder Management System Technology Transformation program, which has a program change in RY2. The Panel reviewed all these program changes except for ARCOS and the Storm Response Center, which were reviewed by the Staff Electric Resilience and Reliability Performance Mechanism Panel. Additionally, the Company requests a program change of $11.60 million in the Rate Year for Electric Production. These program changes are requested for the following Electric Production programs: Preventative Maintenance; Corrective Maintenance; Scheduled Overhauls; Local Law 11; Plant Component Upgrade; Plant Betterment; Steel and Concrete; and Gas Turbines.

Q. Did the Company make any changes to the initial EIOP testimony in its update and corrections testimony?

A. Yes, Con Edison made a few updates and

corrections to its initial O&M request. This includes correcting its Feeder Management System Technology Transformation project to reflect $0 in O&M costs in RY2, reducing the RY1 and RY2 program changes for the Systems Operation – Computer Operations License and Support program, and reducing the RY1 and RY2 program changes for the Substation Operations Corrective Maintenance program.

Q. Does the Panel recommend any O&M adjustments?

A. Yes, we recommend several O&M adjustments to the programs for which the Company is requesting program changes for, as we will explain later in our testimony. A summary of our adjustments to the Company's proposed O&M budgets is provided in Exhibit___(SEIOP-3), Schedule 1.

Q. Please describe the Company's Safety Inspection Program.

A. Con Edison's Safety Inspection Program includes: 1) inspection of UG and URD distribution structures to identify conditions that can cause or lead to safety hazards or adverse effects on the system's performance; 2) inspection of overhead distribution poles to identify

conditions that can cause or lead to safety hazards or adverse effects on the system's performance; 3) funds the repair of defects identified during the overhead (OH) five- year inspections; 4) the Manual Contact Voltage Testing Program consists of the annual contact voltage testing of approximately 252,000 utility owned electric facilities and municipality owned street and traffic lights with a focus on improving public safety; 5) surveying of the underground electrical distribution system in the Con Edison service territory; and 6) Contact voltage testing related repairs.

Q. What funding did the Company request for this program?

A. The Company requests O&M of $57.231 million, $68.212 million, $45.935 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. The Company is required to perform structure inspections and repairs pursuant to PSC Electric Safety Standards Orders. According to Con Edison, the Safety Inspection Program

Underground Asset Optimized Inspection, URD Inspection and Repair are expected to reduce events by supporting other higher value initiatives. According to Con Edison, increased funding for the program is necessary to comply with the Electric Safety Standards Order (Case 04-M-0159) and the "Order Granting in Part and Subject to Modifications Petition to Enhance Electric Safety Standards" January 28, 2021.

Q. What does the Panel recommend?

A. We recommend O&M budgets of $36.6 million in each of RY1, RY2, and RY3.

Q. What is the Panel's rationale for its recommendation?

A. Our recommendation reflects the amount the Company spent in the historic test year, rejects the Company's proposed program changes. In an order dated January 28, 2021, in Case 04-M-0159, the Commission granted in part a petition by Con Edison to modify the Safety Standards to allow for asset Management and allowing utilities the option to prioritize inspections based on system analytics and asset management principles.

Accordingly Con Edison started its new enhanced inspection cycle in 2021 which allowed the Company to perform the Underground Inspections based on high risk, medium risk and low risk, with each category of inspections to be completed in five years, eight years, and ten years respectively. Based on these new cycles, the medium risk facilities inspection shall be completed by 2028 (2028 is 8th year from 2021). The Company is now asking for a program change to complete this medium risk inspections. Con Edison is the utility that petitioned the Commission and requested this change to the Safety standards and associated repair inspection and repair efforts. As such, Con Edison should have been fully aware of what was needed to complete these efforts within the allotted time frames. Also, response to DPS-780 shows that the Company underspent in this program in 2024,. As such, Con Edison has not justified the need for such program changes, and we recommend that the Commission reject the request for such budget changes for all the rate years.

Q. Please describe the Company's Preventative Maintenance/O&M Associated with Capital program.

A. This existing program funds approximately 10,000 Preventative Maintenance (PM) work orders for the 50,000 assets at the East River Generating Station. The goal of PM is to keep assets running efficiently and safely and to extend their lifespan.

Q. What funding did the Company request for this program?

A. The Company requests O&M of $5.54 million, $5.54 million, and $5.54 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. The Company claims the funding is needed to address overdue, high dollar, and additional PM orders. According to Exhibit___(EIOP-13), page 48, the traveling water screens need preventative maintenance and the circulating water pump needs overhauls. The traveling water screens at the dock comply with fish and marine organism impingement and entrainment criteria. Overhauling the circulating water pumps at Unit

7/70 are also funded through this program.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends adjusting this program to $3.32 million for RY1, $3.32 million for RY2, and $3.32 million for RY3.

Q. What is the Panel's rationale for its recommendation?

A. There have been recent increases in maintenance costs and lead times. The Panel does not suggest the traveling water screens or the circulating water pumps be delayed any longer. According to historical spending, the three-year average is $3.32 million and the highest amount spend in a rate year is $3.59 million. As such, the Panel recommends that the budget for the Rate Year be set at the average spending for the last three years.

Q. Please describe the Company's Electric Production Corrective Maintenance program.

A. This existing program serves to fund approximately 2,000 Corrective Maintenance work orders for the 50,000 assets at the East River Generating Station. Corrective maintenance

funding is primarily allocated to the assets that directly affect the reliability and availability of the steam/electric generators.

Q. What funding did the Company request for this program?

A. The Company requests O&M investments of $7.806 million, $7.806 million, and $8.456 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. According to the Company, the Corrective maintenance fund is primarily allocated to the assets that directly affect the reliability and availability of the steam and electric generators. The additional funding is needed for more costly initiatives that do not have a direct impact on generation.

Q. Does the Panel recommend any adjustments for this program during the Rate Years?

A. Yes, the Panel recommends adjusting this program to $5.966 million for RY1, $5.966 million for RY2, and $5.966 million for RY3.

Q. What is the Panel's justification for its recommendation?

A. The three-year average reflects a more accurate estimate of rate year costs because it includes the most recent increases in maintenance costs, labor, and lead times, as well as inflation and the cost impact from supply chain issues According to historical spending, the three-year average was $5.966 million and the highest spend was $7.169 million. As such, the Panel recommends that the budget for the Rate Year be set at the average for the last three years.

Q. Please describe the Company's Scheduled Overhauls program.

A. This existing program overhauls the steam generator components for Units 6 and 7 at the East River Generating Station. According to Con Edison, Unit 7 will require overhauls for high pressure generator, high pressure turbine, intermediate pressure turbine and low-pressure turbines.

Q. What funding did the Company request for this program?

A. The Company requests O&M investments of $11.026 million, $8.026 million, and $11.046 million in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. The Company states in Exhibit___(EIOP-13), on page 54, that Unit 7's last high pressure generator overhaul was in 2013, the HP turbine was last overhauled in 2012, and the IP turbine was last overhauled in 2015.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends adjusting this program to $5.88 million for RY1, $5.88 million for RY2 and $5.88 million for RY3.

Q. What is the Panel's rationale for its recommendation.

A. The adjustments are due to a lack of justification provided by the Company for these increased expenditures. According to historical spending, the three-year average was $5.88 million and the highest spend was $9.512 million. The estimates for these overhauls are $3 million to $9 million. As such, the Panel recommends that the budget match the average spend for the last three years.

Q. Please describe the Company's FM Steel and

Concrete program.

A. This new program provides funding for structural maintenance and repairs needed at the East River Generating Station. This is imperative to ensure the safety and integrity of the assets at the station.

Q. What funding did the Company request for this program?

A. The Company requests O&M investments of $500,000 in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. The Company's justification for this program is that it needs to maintain the facility in a safe and compliant manner. Deteriorating structural components could present a safety hazard to employees and equipment.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends adjusting this program to $500,000 for RY1, $0 for RY2 and $0 for RY3.

Q. What is the Panel's justification for its recommendation.

A. The Panel recommends the Company receive

$500,000 for RY1 to address structural issues at the East River Generating Station. The Company did not justify the need for repeated funding to address structural issues at the station. As such, the Panel recommends funding for RY1 only.

Q. Please describe the Company's Gas Turbines program.

A. This existing program keeps the three simple cycle gas turbines running efficiently and safely while also extended their lifespan. According to Con Edison, additional funding is needed to execute overdue, high dollar maintenance orders.

Q. What funding does the Company request for this program?

A. Con Edison requests O&M investments of $500,000, $500,000 and $500,000 in RY1, RY2, and RY3 respectively.

Q. What is the Company's justification and need for this program?

A. According to Con Edison, the shift in operational hours has led to an increase in the need for corrective and emergency maintenance. The existing PM strategy is now outdated as it

was designed for a unit with minimal service hours.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends adjusting this program to $250,000 for RY1, $250,000 for RY2 and $250,000 for RY3.

Q. What is your justification for this recommendation?

A. Based on the response to DPS-266attachment "DPS_2_266_Attachment 2", which shows five years of historical budgets and actual spending for O&M programs, the Company has underspent the Gas Turbines program every year, from 2020 through 2024. The largest underspending was in 2023, where the Company spent $29,000 of the budgeted $345,000. From 2020 through 2024, the five-year average actual spending was $82,000 with an average budget of $217,000. The highest historic spend was $129,000 in 2024; with the Company budgeting $210,000 for 2025. This consistent underspending raises concerns that Con Edison will not be able to achieve its budget target of $500,000 during the rate years.

While we considered setting a budget based on the historic average spending, we acknowledge that the Company may need additional funding due to the shift to increased operational hours. As stated in Exhibit___(EIOP-13), on page 73, the increase in operational hours has led to a rise in corrective and emergency maintenance. Taking into account this increase in maintenance work, the Panel recommends the O&M budget be set at $250,000 for each rate year.

Q. Please describe the Company's Substation Operations 2026-28 Environmental Maintenance program.

A. This project mitigates risks, prevents operational disruptions, and ensures compliance with environmental regulations. Due to budgetary constraints, there has been a spike in the environmental backlog and the additional funding will be used to reduce the work order backlog of roughly 700 work orders.

Q. What funding does the Company request for this program?

A. The Company requests O&M investments of $3.6 million for RY1, RY2 and RY3.

Q. What is the Company's justification and need for this program?

A. On pages 11 of Exhibit___(EIOP-4), the Company states that by addressing risks such as contamination, vegetation overgrowth, and wildlife interference, facilities can enhance reliability, reduce costs, and ensure regulatory compliance.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends a downward adjustment of $195,000 for all three rate years. This results in an O&M budget of $3.39 million per year, in RY1, RY2, and RY3.

Q. Describe the Panel's justification for its recommendation.

A. Based on the Company's response to DPS-266, the three-year average actual O&M spending from 2022 to 2024 was $3.39 million. The five-year average actual O&M spending from 2020 to 2024 was $3.35 million. The Panel also notes that the average budget was lower than the average actual spending as the average budget was approximately $2.5 million from 2022 to 2024 and

approximately $2.36 million from 2020 to 2024. The Panel agrees with the needs for increased funding but believe that the budget should be more in line with the historical actual costs as they have been relatively the same for the last five years. Therefore, the Panel recommends a budget to match this historical average spending for RY1, RY2, and RY3, respectively.

Q. Please describe the Company's System Operation - Computer Operations License and Support program.

A. In Exhibit___(EIOP-4) page 3, the Company states the existing program Computer Operations within System Operation provide technology support to the system operators. There are five teams that are part of Computer Operations that are focused on supervisory control and data acquisition (SCADA) systems (EMS) support, Operation Management System (OMS) application support, Infrastructure and user support, Cybersecurity and Central Information Group (CIG). These teams collectively provide IT and Operational Technology (OT) support.

Q. What funding does the Company request for this program?

A. The Company requests O&M investments of $8.55 million, $9.38 million, and $9.38 million in RY1, RY2, and RY3 respectively, for this program.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-4) page 3, the Company states subscription models provide access to the latest software features and dedicated support services. Additional funds will ensure that our systems are always equipped with the latest advancements and that any issues can be promptly addressed by vendor support teams.

Q. What does the Panel recommend?

A. We recommend a budget of $3.85 million in each of RY1, RY2, and RY3.

Q. Describe the Panel's reasons for its recommendation.

A. The Company fails to justify and support claims of "significant changes to the cost structures" with evidence of forecasted escalations as stated by the Company in Exhibit___(EIOP-4) page 2, that will lead to increased expenses. The recommended budget amount was derived by the

average actual spend of the past three years, derived from the Company's response to DPS-266.

Q. Please describe the Company's Local Law 11 East River Station program.

A. In Exhibit___(EIOP-13), page 51, the Company states Local Law 11, also known as the Façade Inspection Safety Program (FISP), was enacted to ensure the structural integrity and the safety of building facades in the City of New York. It mandates that buildings over six stories undergo façade inspection every five years and that building owners perform any necessary repairs to protect public safety. The amendment to FISP was implemented as part of Cycle 9, which began in February 2020 through February 2025. This amendment introduced stricter requirements, i.e., mandatory close-up inspections every 60 linear feet of building facades that face public right-of-way, including sidewalks and easements. These inspections often must be conducted from scaffolding structures to physically examine the potentially hazardous areas. Additional changes include mandatory cavity wall probes in specific locations to assess the façade's conditions and

identify potential concealed defects. These changes aim to mitigate the risks of façade debris falling and to ensure public safety. Con Edison, as property owner, must adapt these revised inspection plans and budgets in compliance with Local Law 11 requirements.

Q. What funding did the Company request for this program?

A. The Company requests O&M investments of $1.5 million in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-13), page 51, the Company states the amendment to FISP requiring enhanced inspection protocols has resulted in a higher number of findings, necessitating more repairs. The latest ERGS Sub-Cycle 9B FISP report dated January 25, 2023 shows a significant increase in both Unsafe and Safe with Repair and Maintenance Program (SWARMP) conditions. Over 35 percent of the inspection findings fall into the Unsafe category, requiring immediate repairs to prevent potential falling debris hazards. The installation of public protection measures, i.e.

sidewalk sheds, netting, or other protective barriers is required to safeguard pedestrians and to prevent falling debris hazard while repairs are being made. These temporary protective measures are mandatory and necessary for public safety which significantly increase the overall FISP costs. In addition, the close-up inspections identified some hidden structural vulnerabilities, such as water infiltration, corrosion, and material fatigue issues which require additional engineering and construction supports to address these issues and to maintain structural integrity of ERGS building.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends a budget amount of $110,000 in each of RY1, RY2 and RY3?

Q. What is the Panel’s justification for its recommendation.

A. .The Panel’s recommendation is based on the Company’s historical underspending that is found in the response to DPS-266. Specifically, in 2021, the Company’s budgeted amount was $2.4 million. However, the Company only spent

roughly 58 percent of the budget amounting to $1.4 million. Therefore, the Panel recommends funding levels at the actual Historic Test Year spending for this existing program. This will ensure that resources are allocated efficiently and in line with actual program needs.

Q. Please describe the Company's PCUP/High Energy Inspections program.

A. In Exhibit___(EIOP-13), page 65, the Company states the existing Plant Component Upgrade Program is for the inspection (including access to and repairs) of boiler components (drums, headers, tubes, attemperators, desuperheaters, downcomers), plant piping systems identified as being susceptible to flow accelerated corrosion (FAC), blow-down tanks, flash tanks, and steam piping (mains, hot reheat piping with known potential flaws in original steel). These inspections are intended to monitor the condition and repair or replace the components when needed. These inspections are needed for safe and reliable operation of the steam generating boilers.

Q. What funding did the Company request for this

program?

A. The Company requests O&M investments of $2.65 million per rate year in RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-13) page 65, the Company states the inspections performed under this program help to prevent a tube, pipe or component leak or rupture during the use of operation of the system or component. Leaks and/or failures of tubes, pipes and boiler components can cause safety risk to personnel, an unplanned outage, and damage to adjacent components, which become more costly as repairs are required in an emergent way.

Q. Does the Panel recommend any adjustments to this program during the Rate Years?

A. Yes, the Panel recommends a budget amount of $119,000 in each of RY1, RY2, and RY3.

Q. What is your rationale for this recommendation.

A. The Company states in Exhibit___(EIOP-13) page 66, the basis of estimate for this program was the review of prior inspection results, how they affect the boiler health index, and the expected

work to take place during the rate years. However, the whitepaper does not reflect how the historical spend relates to the increase in requested funding. The Company did not justify the increase in incremental funding request. Due to lack of information that could support and justify the Company's funding request, the adjustment was made using the five-year average of actual historic spending as found in Exhibit___(EIOP-13), page 66.

Q. Please describe the Company's FM Plant Betterment program.

A. This is an existing program. In Exhibit___(EIOP-13) page 67, the Company states facilities maintenance work is performed to maintain and improve upon overall conditions at Con Edison generating station buildings. This program will maintain various office, conference and training spaces throughout East River Generating Station. According to Con Edison, much of the infrastructure in the facility is outdated. Most heating, ventilation, and air conditioning (HVAC) systems have essentially remained unchanged since they were installed,

with inefficient controls which result in excessive energy consumption and unsatisfactory comfort levels in the buildings. This work includes maintaining heating, ventilation, air conditioning, plumbing, refrigerant units, space heating systems, and roof ventilators. Similarly, lighting will be replaced with more energy-efficient options. This program also funds the maintenance of office spaces including bathrooms, conference rooms, locker rooms, training rooms and warehousing infrastructure located on plant premises. The facility will also look to incorporate lessons learned from the COVID pandemic (e.g., improved ventilation /increased air changes, use of displacement ventilation, better air filtration, better humidity control, greater spacing/flexible furniture designs).

Q. What funding does the Company request for this program?

A. The Company requests O&M investments of $250,000 in each of RY1, RY2, and RY3.

Q. What is the Company's justification and need for this program?

A. In Exhibit___(EIOP-13), page 67, the Company states the East River Generating Facility is nearly 100 years old. Most of the office and shared working spaces at the East River Generating Station have either not been renovated for over 50 years or have been modified in an ad-hoc fashion. Consequently, they are not optimized for current use nor in alignment with modern working standards. Interior offices, in certain cases, do not meet current space use, indoor air quality or industry safety standards.

Q. Does the Panel recommend any adjustments to this program?

A. Yes, the Panel recommends no funding for this project in RY1, RY2 and RY3.

Q. Describe the Panel's justification for its recommendation.

A. In Exhibit ___ (EIOP-13), page 68, the Company states that the basis of its estimate is derived from historical actuals from previous similar projects. However, the Company does not identify which specific projects are considered "similar" nor does it explain how the actual

costs from those projects were used to inform or support the current funding request for this program. The Company did not justify its funding request for rate years.

Labor

Q. Did the Company propose any incremental labor positions?

A. Yes. According to Exhibit___(EIOP-3), page 2, the Company proposes 75 FTEs for Central Engineering, 65 FTEs for System and Transmission Operations (S&TO), 138 FTEs for Substation Operations, 215 FTEs for Construction, 686 FTEs for Electric Operations, and five FTEs for Electric Production, a total of 1,184 new FTEs.

Q. Provide a further breakdown of the Company's FTE request for each organization.

A. For Central Engineering, the Company is requesting the 75 FTEs under the Central Engineering Staffing and Position Additions program. Under S&TO, the Company is requesting eight FTEs for the Clean Energy Future Staffing at the Energy Control Center, four FTEs for Regulatory Compliance Positions, seven FTEs for

System Operations – Computer Operations Staffing, 24 FTEs for Underground Transmission Operations – TO Increase Headcount, seven FTEs for Transmission Planning, and 15 FTEs for Transmission project Development. For Substation Operations, the Company is requesting the 138 FTEs under the Substation Operations FTEs program. Under Electric Operations, the Company is requesting 585 FTEs under Electric Operations Headcount, 100 FTEs under Engineering and Planning Staffing and Position Additions, and one FTE under SCADA Maintenance.

Q. Did the Company make any changes to its FTE request in its update filing?

A. Yes, the Company did update its request for incremental Substation Operation FTEs to reflect the hiring of 60 FTEs during the linking period, which were initially planned for RY1, and the request for Steam Operations Organization was also updated to reflect the hiring of one FTE during the linking period, which was initially planned for RY1. Additionally, the Company removed the request for one FTE for SCADA Maintenance.

Q. Please describe the Company's staffing request for the rate years.

A. Con Edison requests 716 FTEs in RY1, 370 in RY2, and 14 in RY3, with an additional 83 to be hired during the linking period.

Q. Does the Panel agree with the Company's described need for 1183 FTEs?

A. No, we do not, as we will discuss.

Q. Please describe the Company's incremental FTE request for Clean Energy Future Staffing at the Energy Control Center.

A. In Exhibit___(EIOP-5), page 7, the Company states that the Clean Energy Future Staffing requires eight new positions at the ECC to support the current and future projects planned by the Company in the coming years. Due to the scale, complexity and increased quantity of expected capital investments, additional resources are necessary to enable the successful execution of large transmission and system expansion projects planned for the rate years and beyond. These new incremental FTEs include one Energy Dispatcher, one Senior Engineer in the Operations Analysis Group, One Senior

Planning Analyst in the Scheduling Group, four Transmission Operators, and one System Operator. The Company plans to hire these new FTEs in Rate Year 1.

Q. What is the Company's justification and need for these incremental FTEs?

A. In Exhibit___(EIOP-5), page 7, the Company states Central Engineering, Substation Operations, and System & Transmission Operations will play an essential role in the expansion and modernization of Con Edison's transmission and substation systems to meet the demands for resiliency, electrification, and the integration of bulk renewables. To meet the demands of this role, more personnel are necessary to support the growth and transformation of the power system.

Q. Does the Panel recommend any adjustments to the incremental FTEs the Company requests for the ECC?

A. Yes, the Panel recommends the rejection of the entire ECC incremental FTE request.

Q. What is the Panel's justification for its recommendation?

A. The Panel recommends Con Edison use the current selection of full-time employees to assist and help manage these future projects. The Company did not adequately justify the need for the proposed additional FTE, as it failed to establish a clear connection between the additional positions and current or anticipated projects. As such, the necessity for seven additional FTEs for the ECC is not substantiated and we recommend the Commission reject all seven FTEs requested by Con Edison.

Q. What is the Company's incremental FTE request for System Operation - Computer Operations Staffing?

A. In Exhibit___(EIOP-5), page 12, the Company states that the Systems Operation – Computer Operations Staffing program requires seven new positions to support the current and future projects planned by the Company in the coming years. Due to the scale, complexity and increased quantity of expected capital investments, additional resources are necessary to enable the successful execution of large transmission and system expansion projects

planned for the rate years and beyond. These seven new FTEs include one Electrical Technician, two Senior System Analysts, and four System Specialists; all of which will be hired in Rate Year 1.

Q. What is the Company's justification and need for these incremental FTEs?

A. In Exhibit___(EIOP-5), page 12, the Company states System Operation relies heavily on technology for operation, analysis, and day-to-day management of Con Edison's electric and steam system. These backend systems and infrastructure allow System Operation to safely operate. As technological capabilities evolve, the complexity of managing and maintaining the systems is becoming challenging. Cyber and physical threats are increasing as well. Additional specialized staff will allow us to maintain, update and enhance our systems; secure networks and manage vulnerabilities and allow our operators to safely operate the grid.

Q. Does the Panel recommend any adjustments to the Company's request for incremental FTEs?

A. Yes, the Panel recommends rejecting the

Company's incremental FTE request for System Operation - Computer Operations Staffing.

Q. What is the Panel's justification for its recommendation?

A. The Panel recommends that Con Edison use the currently employed FTEs to assist and help manage these future projects. The Company did not adequately justify the need for the proposed additional FTE, as it failed to establish a clear connection between the additional positions and current or anticipated projects. As such, the necessity for seven additional FTEs in not substantiated, and we recommend the Commission reject this request for incremental FTEs.

Q. Please describe the Company's incremental FTE request for Regulatory Compliance Positions.

A. The Company plans to hire four new FTEs to assist with the current and future projects planned by the Company. The need for additional resources stem from large scale projects, load growth, system expansion, support for clean energy, the CLCPA, regulatory planning and maintenance of current infrastructure.

According to the workpaper entitled "AP-3, Schedule 6, Various Company Labor Lines", the four incremental FTEs consist of two System Analysts and two Senior System Analysts, which will all be hired in Rate Year 1.

Q. What is the Company's justification and need for these incremental Regulatory Compliance Positions?

A. The Company states that hiring four FTEs is necessary to ensure that the Company remains compliance with all relevant regulations and standards.

Q. Does the Panel recommend any adjustments to the Company's incremental FTE request for Regulatory Compliance?

A. Yes, the Panel recommends that the Commission reject the Company's request for the incremental Regulatory Compliance positions.

Q. Describe the Panel's justification for its recommendation.

A. The Panel recommends that the Company continue to use its current FTEs to assist and help manage these future projects. The Company did not provide adequate justification regarding the

need for four new hires in addition to the existing staffing levels. Simply stating factors, such as newly proposed, large scale capital projects and new substations, does not justify the need for four incremental employees in this job title. Furthermore, in its supplemental response to DPS-530, Con Edison states that the need for these positions is "based on department leadership's experience and practical observations of the department" and that "no quantitative models, workpapers, data, or methodologies were used" to determine the need for exactly four incremental FTEs. The Company failed to justify the need for these new hires, therefore, the Commission should reject this request for incremental FTEs

Q. Please describe the Company's incremental FTE request for the Steam Operations Organization.

A. The Company plans to hire five new FTEs during the linking period to support two groups within the Steam Operations organization. Specifically, the Company will hire four Operating Mechanics for the East River Operations group, and one Field Designer for the

East River Tech Services group.

Q. What is the Company's justification and need for these incremental FTEs?

A. The Company states on page 76 of Exhibit___(EIOP-13), that hiring these five FTEs is necessary to support the current and growing number, scale, and complexity of projects planned by the Company in the coming years. The Company specifically states that the "planned electric production capital expenditure during the rate years (2026-2028) represents a significant increase from the previous rate period (2022-2024)". Additionally, these FTEs will support the clean energy transition and CLCPA goals, and the maintenance of current infrastructure.

Q. Does the Panel recommend any adjustments to the Company's requested incremental FTEs?

A. Yes, the Panel recommends that the Commission fund one Field Designer and reject the four other incremental FTEs.

Q. What is the Panel's justification for its recommendation?

A. The Panel recommends that Con Edison use the

current FTEs to assist and manage the electric production capital expenditure projects. Based on our review of the 2023 and 2024 electric capital expenditure reports filed under Case 22-E-0064, and the 2022 electric capital expenditure report filed under Case 19-E-0065, we did not find a significant increase in the electric production budget for rate years 1 through 3 when compared to the actual spending. For example, the Company is requesting $26.6 million in RY1, $28.8 million in RY2, and $29.7 million in RY3 for electric production. In the past three years, the Company has spent $28.4 million in 2022, $32.8 million in 2023, and $33.3 million in 2024. Based on our findings, the Company did not justify the need for these new hires as the capital budget for the rate years is less than the historical spending in the past three years. In addition, our adjustments to the electric production capital projects that we discussed previously, brings the electric production budgets to $18.2 million in RY1, $20.6 million in RY2, and $18.9 million in RY3. The hiring of the incremental Field

Designer FTE is provided for in a collective bargaining agreement with Local 1-2, and the Commission generally accepts collective bargaining outcomes, so the Commission should allow this position in East River Tech Services.

Q. Please describe the Company's incremental FTE request for Substation Operations.

A. Con Edison plans to commission new substations, including the Brooklyn Clean Energy Hub, Gateway Park Area Substation, Idlewild Area Substation, and Eastern Queens Transmission Substation. To ensure the reliability, safety, and efficiency of these operations the Company plans on adding 138 full-time employees to handle operator switching, maintenance, and equipment management, including protective systems. Specifically, the Company is seeking 34 FTEs for Construction and Planning, 38 FTEs for Corrective Maintenance, 22 FTEs for Operations, 41 FTEs for Protective System Testing, and three FTEs for the Enterprise Program Management Office. According to the workpaper titled "AP-3, Schedule 6, Various Company Labor Lines", the Construction and Planning FTEs include one

Supervisor and 33 General Utility Workers (GUWs), the Corrective Maintenance FTEs include eight Supervisors and 30 GUWs, the Protective System Testing FTEs include 14 Supervisors and 27 Technicians, the Operations FTEs include 12 Supervisors and 10 Operators, and the Enterprise Program Management Office FTEs are Senior System Analysts.

Q. What is the Company's justification and need for these incremental Substation Operation FTEs.

A. Adding additional substations and integration of renewable energy sources, and upgrades to aging infrastructure due to expanding infrastructure because of electrification need additional personnel because it would take at least 18 months to hire and train the additional employees to attain core competencies for their respective titles.

Q. Does the Panel recommend any adjustments to the Company's request for incremental FTEs for Substation Operations?

A. Yes, the Panel recommends reducing the incremental Substation Operations FTEs by 20 to 118. This includes rejecting three GUWs for

Construction and Planning, 10 GUWs for Corrective Maintenance, one Supervisor and one Operator for Operations, three Technicians and two Supervisors for Protective System Testing. For Corrective Maintenance, two of the GUWs are to be removed from the planned hires for Rate Year 1, with the remaining eight to be removed from the planned hires for Rate Year 2.

Q. What is the Panel's rationale for its recommendation?

A. In its response to DPS-266, the Company indicates that its budgeted FTEs over a three-year period from 2022 to 2024 was 1035 FTEs and the actual FTEs were 1015. This is a 20 FTE difference between the budget and actual amount in this category in recent years. As such, the Panel recommends the Commission match the difference between the budgeted and actual FTE hires by cutting 20 FTE positions in this category. That reduction of 20 FTEs breaks down into; three FTEs for Construction and Planning, ten FTEs for Corrective Maintenance, two for Operations, and five FTEs for Protective System Testing.

Q. Please describe the Company's incremental FTE request for Underground Transmission Operations.

A. Con Edison is seeking 24 new positions for the Underground Transmission Operations group. This consists of two Welders, one Administrative Assistant, one Material Analyst, and seven General Utility Workers that will facilitate site preparation, construction of underground facilities, welding activities, cable pulling, of both pipe and solid dielectric cable, associated splicing activities and testing. Additionally, the Company is seeking one Section Manager, four Managers, one Chief Construction Inspector, four Chief Line Constructor Specialist, and three Specialist (Work Management) for management oversight. The Transmission Operations group is responsible for the planning and implementation of all activities for the successful construction, testing, and energization of major projects and programs in Transmission's capital portfolio.

Q. What is the Company's justification and need for these incremental FTEs?

A. On page 15 of Exhibit___(EIOP-5), the Company

states that it needs the new positions due to the scale, complexity and increased quantity of expected capital investments. These additional resources will enable Con Edison to successful execute the large transmission and system expansion projects planned for the rate years and beyond.

Q. What did the Panel find in its review?

A. In the response to DPS-846 the Company provides a table showing only three projects that the Underground Transmission Operations group will support or has supported for calendar years 2020 through 2029. This includes the Newtown TR4, Brooklyn Clean Energy Hub, and Eastern Queens Transmission Station, which have a total capital expenditure of $878.27 million in rate years 1 through 3. In reviewing the Company's response to DPS-264 the Panel found that the Company's capital budget request for transmission projects and programs for rate years 1 through 3 is less than the three-year average from calendar years 2022 through 2024. Specifically, the Company requests $219.62 million in RY1, $317.85 million in RY2, and $312.26 million in RY2 for

transmission projects and programs, while it spent on average, approximately $352.96 million per rate year from 2022 through 2024. Additionally, DPS-846 asked Con Edison to explain why it requested 13 management FTEs and 11 FTEs to facilitate the work on transmission projects, the Company responded with a correction to the FTEs saying that the four Chief Line Constructor Specialists were miscategorized as management positions. In the supplemental response toDPS-530 the Company states that the 24 new Underground Transmission Operations positions are needed to support the increased volume of projects planned in future years, and that no quantitative models, workpapers, data, or methodologies were used. The Panel reviewed the 2022 capital expenditure report filed in Case 19-E-0065, and the 2023 and 2024 capital expenditure reports filed under Case 22-E-0064, and did not find a notable increase in the number of transmission projects or programs in the rate years compared to the historical amount. Specifically, from 2022 through 2024, the Company had on average,

approximately one environmental program, two replacement programs, five system expansion projects, and 15 risk reduction projects, for a total of 23 transmission projects or programs per year. In the response to DPS-266, attachment DPS_2_266_Attachment 1, we found that the Company has one environmental program, two system expansion projects, and 19 risk reduction projects, for a total of 22 transmission projects and programs during the rate years.

Q. What is the Panel's position regarding these incremental FTEs?

A. We recommend that the Commission reject the Company's request for incremental FTEs for the Underground Transmission Operations group. This is based on the findings of our review, where we did not find an increase in the number of transmission projects that Con Edison states as the rationale for the need for incremental FTEs.

Q. Please describe the Company's incremental FTE request for Central Engineering Staffing and Position Additions.

A. As shown on page 2 of Exhibit___(EIOP-3), the

Company proposes to hire 75 incremental FTEs for the Central Engineering Staffing and Position Additions with 40 FTEs to be hired in RY1. Based on response to DPS-530, these are Engineer positions who would provide engineering services for Substation Operations (SSO), System and Transmission Operations (S&TO), Steam Operations, Gas Operations LNG plants and Company Facilities.

Q. What is the Company's justification for these incremental FTEs?

A. On page 3 of Exhibit___(EIOP-5), the Company states that the changes in policy and stakeholder expectations will require new electric transmission and substation infrastructure and an expansion in asset management systems and processes. To meet these demands Central Engineering will require additional employees in the areas of relay protection, substation projects, transmission line projects, asset management and support services. The significant increase in engineering workload for all aspects of the system will place an increased reliance on

engineering support and asset management systems. Central Engineering, Substation Operations, and System & Transmission Operations will play an essential role in the expansion and modernization of Con Edison's transmission and substation systems to meet the demands for resiliency, electrification, and the integration of bulk renewables. To meet the demands of this role, more personnel are necessary to support the growth and transformation of the power system.

Q. What did the Panel find in its review?

A. Our review confirms the job responsibilities of the Engineers in the overall support of the Electric Systems. In response to DPS-530, the Company states its planners first developed projections for engineering organization FTEs by applying a capital rate per engineering FTE. That rate in conjunction with the capital request, provides one estimate of the appropriate engineering support. This response does not substantiate the Company request as no data is provided.

Q. What is the Panel's position regarding these

incremental FTEs for Central Engineering?

A. We recommend that Con Edison hire 25 Engineers in the Rate Year. We reviewed at the Company's total number of Engineers in Central Engineering from the response to DPS-530, attachment DPS_20_530_Attachment 2 and found that the Company has around 218 Engineers in Central Engineering as of December 2024. However, taking into consideration of the new Substation Projects and other business, we recommend the funding for 25 Engineers in RY1. These 25 new hires along with the existing staff should be able to meet the need.

Q. Please describe the Company's incremental FTE request for the Construction organization.

A. According to pages 36 and 37 of Exhibit___(EIOP-5), the Construction organization seeks an additional 273 FTEs, with 80 percent of these positions allocated to electric, and the remaining 20 percent allocated to gas. These positions include one Vice President, one Executive Assistant, two General Managers, four Section Managers, 19 Supervisors, 77 Mechanics 55 Chief Construction Inspectors, 10

Specialists, 94 Field Inspections and 10 Field Technical Specialists. The Construction organization oversee construction contracts and execution of all activities for the successful completion and implementation of major projects and programs.

Q. Which of these 273 incremental FTEs are allocated to the electric business?

A. According to the workpaper "AP-3, Schedule 6, Various Company Labor Lines", the Company proposes one Vice President, one Executive Assistant, two General Managers, four Section Managers, 19 Supervisors, 77 Mechanics 40 Chief Construction Inspectors, six Specialists, 60 Field Inspections and five Field Technical Specialists for electric. Of these 215 incremental FTEs for electric, 185 are to be hired in RY1, with the remaining 30 to be hired in RY2. In addition to the identified positions above, the workpaper also showed one Senior Vice-President and one additional Executive Assistant position which were not mentioned in the whitepapers for these incremental Construction FTEs, found on pages 36 and 37 of

Exhibit___(EIOP-5) and pages 7 and 8 of Exhibit___(GIOP-2). The incremental Construction FTEs allocated to gas will be reviewed by the Staff Gas Safety Panel.

Q. What is the Company's justification and need for these incremental FTEs?

A. On page 36 of Exhibit___(EIOP-5), the Company states that it needs these incremental FTEs to support the several projects that will accommodate load growth, electrification and facilitate the delivery of electricity from large-scale renewable resources to Con Edison's service territory. The Construction organization also supports asset replacement and upgrade programs which are conducted to maintain system reliability. Con Edison specifically references the Brooklyn Clean Energy Hub, Gateway Area Substation, Eastern Queens Transmission Station, Idlewild Area Station, and the electrification hotspot locations.

Q. What is the Panel's position regarding these incremental FTEs?

A. We recommend the Commission support the hiring of 88 incremental FTEs in RY1, and 14 in RY2,

for a total of 102 FTEs for the Construction Organization. This recommendation is based on our adjustments to the capital expenditures for electric T&D and the Staff Municipal Infrastructure Support Panel's adjustments to the electric interference capital expenditures. Specifically, we took the ratio of the difference between our recommended electric capital expenditures budget and the Company's 2025 budget to the difference between the Company's requested capital expenditure budget and their 2025 budget and applied it to the incremental FTE request. We used the 2025 budgets for the electric T&D categories, electric interference, and the Eastern Queens, Idlewild and Brooklyn Clean Energy Hub surcharge projects, as shown in the Company's 2024 Capital Expenditures and 2025 to 2029 Electric Capital Forecast report filed on February 28, 2025, under Case 22-E-0064. This resulted in a ratio of 47.6 percent for Rate Year 1 and 47.63 percent for Rate Year 2, which we applied to the Company's FTE request for each job title mentioned earlier in our testimony.

Q. What are the specific number of FTEs the Panel recommends for each job title?

A. The Panel recommends eight Chief Construction Inspectors, 29 Field Inspectors, three Specialists, two Field Technical Specialists, nine Supervisors, 37 Mechanics, 11 Chief Construction Inspectors, one General Manager, two Section Managers. For the nine Supervisors, we recommend the Company be allowed seven in Rate Year 1, and two in Rate Year 2. For the 37 Mechanics, we recommend the Company be provided an allowance for 25 in Rate Year 1 and 12 in Rate Year 2.

Q. Does the Panel have any additional recommendations regarding incremental Construction FTEs?

A. Yes, we recommend the removal of the electric portion of the Senior Vice-President and additional Executive Assistant positions that were included in the workpaper mentioned earlier in our testimony, which were not mentioned in the whitepapers presented by the EIOP or GIOP. Our recommendation is based on the Staff Gas Safety Panel’s recommendation to eliminate the

gas portion of these two positions, and the lack information within the whitepapers describing the need for these positions.

Q. Please describe the Company's incremental FTE request for Electric Operations Headcount.

A. As seen on page 2 of Exhibit___(EIOP-3), the Company proposes to hire 585 incremental FTEs for the Electric Operations headcount program, with 300 to be hired in RY1 and 285 to be hired in RY2. On page 73 of the initial EIOP testimony, the Company identified these FTEs as General Utility Workers (GUWs).

Q. What is the Company's justification and need for these incremental FTEs?

A. As stated on page 73 of the initial EIOP testimony, the Company's analysts used a model developed from historical data to assess labor needs for capital work, which revealed the need for over 500 GUWs in 2026 to execute their proposed capital plan. Con Edison adds that hiring all the requested GUWs in 2026 could overwhelm its onboarding resources, so it plans to hire these additional GUWs in both 2026 and 2027.

Q. Was any other Staff panel involved in the review of this incremental FTE request?

A. Yes, the Staff Electric Resilience and Reliability Performance Mechanism Panel reviewed this incremental FTE request.

Q. What did this Panel find in its review?

A. During our review, we received the model used by the Company to determine the incremental FTEs for Electric Operations in its initial response to DPS-530. In the model, we saw how the Company's analysts used data such as capital expenditures, O&M expenses, employee headcount, organization capability and non-business-as-usual adjustments, by region, to determine the 585 incremental GUWs for Electric Operations. In the supplemental response to DPS-530, attachment DPS_20_530_supp1_Attachment 1, the Company provides a list of the specific projects and programs, and their regional cost breakdowns, used as the base capital inputs for the model. In this attachment, we found two issues. The first is that the rate year totals of some projects do not match what was provided in the EIOP's initial or updated testimony, the

second issue is a few projects included were not mentioned in the EIOP's initial or updated testimony. The following projects listed in the attachment do not match their budgets in the EIOP initial and update testimonies, nor in the Exhibits: Ave A to Trade Center No 1 Transfer; Ed Koch Queensboro Bridge 13kV Riser Replacement; Corona No. 1 to Hillside Transfer; Williamsburg Network Split - Water St to Nevins St Transfer; and the Flatbush Network Split - Bensonhurst No 2 to Gateway 2. The projects we were not able to find in the EIOP testimonies and Exhibits are Parkchester No. 1 to Parkchester No. 2 Transfer, Mott Haven to E. 179th St Transfer, and the Parkview Second Avenue Subway. Additionally, the Parkchester and Parkview projects do not have any capital expenditures for the rate years shown in the Company's workpaper CECONY 2025-2029 Project Detail 3-7-25 Rate Case. The Company's supplemental response does not explain why these projects either were not mentioned in the EIOP testimonies and Exhibits, or why the rate year budgets do not match. Due to these issues, we

have concerns with using the list of projects provided by Con Edison, since we cannot determine the appropriate way to handle the projects we identified. For example, if we decided to keep the incorrect budgets with slight modifications to match our adjustments and removed the budgets of the projects not identified in the EIOP testimonies and Exhibits, then the model would result in a reduction of 65 GUWs from the existing workforce in RY1. Therefore, we decided to modify the capital inputs of the model with the ratio of our and Staff's ERRPM recommended budget for electric distribution projects to Con Edison's requested budget, as discussed later in our testimony.

Q. What is the Panel's position regarding these incremental FTEs?

A. We recommend that funding be provided for Con Edison hire three incremental GUWs in the Rate Year. This recommendation is a result of our modifying the base capital expenditure inputs, for each region, on the Budget tab of the Company's model to reflect our adjustments to electric distribution projects. Specifically,

we multiplied the Company's RY1 capital inputs by approximately 0.7661, RY2 inputs by 0.7176, and RY3 inputs by 0.6583.

Q. Please explain why the Panel multiplied the Company's inputs by these values.

A. As mentioned previously, we found issues with the Company's capital input data that could not be reconciled. Therefore, we applied our adjustments to all projects and programs identified in the Company's response to DPS-266, attachment DPS_2_266_Attachment 1, as electric distribution, or with no organization identified. The list of these projects and programs, with their requested capital budgets and the adjustments made by this Panel and the Staff ERRPM Panel can be found in Exhibit___(SEIOP-4). We confirmed that the projects which did not have an organization identified were in fact electric distribution projects by verifying that the sum of all projects and programs included in Exhibit___(SEIOP-4), matched the total capital expenditures for electric distribution projects identified in the response to DPS-264,

attachment DPS_2_264_Attachement 1. Then we removed the request capital budget and our adjustment for the Transformer Purchase program, as the funding for this program is for the procurement of transformers and does not include any work to be completed by the incremental GUWs requested by Con Edison. Comparing our adjusted capital budget for electric distribution projects to what the Company requested in their initial EIOP testimony, we found that our adjustments reduce their total electric distribution capital budget by approximately 23.39 percent in RY1, 28.24 percent in RY2, and 34.37 percent in RY3. These percentages were used to reduce the capital expenditure inputs in the Company's model.

Q. Please describe the Company's incremental FTE request for Engineering and Planning Staffing and Position Additions.

A. As seen on page 2 of Exhibit___(EIOP-3), the Company proposes to hire 100 incremental FTEs for the Engineering and Planning Staffing and Position Additions with all 100 to be hired in RY1. On page 40 of Exhibit___(EIOP-5), these

positions are identified as Junior Designers.

Q. What is the Company's justification for these incremental FTEs?

A. On page 40 of Exhibit___(EIOP-5), the Company states that, as the demands on the electric distribution system increase and, at the same time, customers expect continued reliability and increased resiliency, the need for the Company to perform studies to evaluate the system capability and performance, and the subsequent need to develop and design solutions is increasing. Designers perform critical functions performing these studies and developing necessary designs and construction specifications for the implementation of projects.

Q. What did the Panel find in its review?

A. During our review of the need and timing of hiring of Junior Designers, the Panel looked at the various job functions of these positions. Electric Operations Junior Designer is a creative professional who participates in design projects from concept to completion. They produce drafts, models, and prototypes, and

refine designs based on feedback. The Company did not provide any data to substantiate their request for hiring 100 Junior Designers. In response to DPS-530, the Company states that Company planners first developed projections for engineering organization FTEs by applying a capital rate per engineering FTE. That rate in conjunction with the capital request, provides one estimate of the appropriate engineering support. This response des not substantiate the Company request as no data is provided. We looked at the Company's total existing Junior Designers as of December 2024, provided in response to DPS-530, attachment DPS_20_530_Attachment 2 and found that the Company has 64 Junior Designers in Electric Operations as of December 2024. In view of project work ahead and the number of existing Junior Designers, we recommend 30 Junior Designers in the Rate Year.

Q. What is the Panel's position regarding these incremental FTEs?

A. We are recommending that funding for Con Edison to hire 30 Junior Designers in the Rate Year.

These 30 new hires along with the existing staff should be able to meet the need for the new and existing distribution projects.

Q. Is there anything else the Panel would like to discuss regarding the Company's incremental FTE request?

A. Yes, we would like to discuss the Company's request to purchase vehicles for the requested incremental FTEs. On pages 74, 75, and 78 of the initial EIOP testimony, Con Edison states that it will need to purchase vehicles to support the additional employees job functions for the incremental FTEs requested for Electric Operations, Central Operations, and Construction. These fleet additions are included as part of the Shared Service Panel's vehicle and equipment request.

Q. How many vehicles is the Company seeking funding to purchase?

A. On page 29 of the SSP testimony, the Company states that it needs funding for 423 fleet additions over the three rate years. The SSP adds that these fleet additions are to support the new hires that are required to meet the

projected increase in capital spending by Electric Operations, Gas Operations, Stores Operations, Facilities and Field Services, Construction, and Transmission Operations. According to the response to DPS-530, attachment DPS_20_530_Attachment 3, Con Edison requests 272 vehicles for Electric Operations, 13 vehicles for Transmission Operations, and 15 vehicles for Construction. We did not review the vehicles requested for the other organizations.

Q. Does the Panel agree with the Company's fleet additions request for Electric Operations, Construction, and Transmission Operations organizations?

A. No, we do not. Based on our recommendations regarding the Company's request for incremental FTEs, the Panel recommends funding for three new vehicles for Electric Operations, zero new vehicles for Transmission Operations, and six new vehicles for Construction.

Q. Please explain the Panel's recommendation for vehicle additions.

A. As mentioned previously, we are recommending several adjustments to the Company's incremental

FTE request. Specifically, we recommend an allowance for three GUWs for Electric Operations, instead of the 585 requested in RY1 and RY2; 102 FTEs for Construction, instead of the 215 requested and allocated to electric in RY1 and RY2; and we recommend the Commission reject the request for incremental FTEs for Underground Transmission Operations. Based on our adjustment to the Electric Operation GUWs and Underground Transmission Operations organization, we recommend three vehicles for Electric Operations, one per recommended GUW, and no vehicles for Transmission Operations. While we also made an adjustment to the Company's request for additional Junior Designers under Electric Operations, according to the response to DPS-530, this position is a creative professional that produce drafts, models, prototypes, and refine designs based on feedback, using design software. Based on this description of the job title, we do not believe these positions will require vehicles, therefore we did not factor it into our recommendation for Electric Operations vehicles. For the

Construction organization, the Staff Gas Safety Panel is rejecting the 58 incremental FTEs allocated to gas, as identified on pages 7 and 8 of Exhibit___(GIOP-2). In addition, we are only recommending 102 of the 215 incremental FTEs allocated to electric, as identified on pages 36 and 37 of Exhibit___(EIOP-5). In total, both Panels recommend 102 out of 273 identified incremental FTEs, or approximately 37.36 percent of the Company's request. We applied this percentage to the Company's requested 15 vehicle additions for Construction, which, when rounded up, results in our recommendation of six vehicle additions in the Rate Year.

Other Issues

Q. Is there anything else the Panel would like to discuss?

A. Yes, we would like to discuss the Company's proposal for reconciliation of electric new business costs, and the proposal for addressing the New York State Department of Environmental Conservation's (DEC) new regulation concerning SF6 equipment and emission limitations.

Q. Please describe the Company's proposal regarding

the reconciliation of electric New Business costs.

A. As discussed on pages 116 and 117 of the Accounting Panel's initial testimony, and pages 56 through 60 of the initial EIOP testimony, Con Edison proposes an upward reconciliation for electric New Business costs above the Company's aggregate electric net plant target.

Q. Presently, how does the Company reconcile its electric New Business costs?

A. The electric New Business costs are not subject to a separate reconciliation, instead they are part of the general downward net plant reconciliation if actual electric net plant is below the target set in rates.

Q. What justification does the Company provide for this change?

A. The Company Accounting Panel's initial testimony, pages 116 and 117, claims that there could be significant cost variation in the Rate Year and beyond due to reasons outside the Company's control for electric New Business costs, such as the uncertainty as to the rate of electrification adoption.

Q. Does the Panel agree with the Company's reconciliation proposal?

A. No, we do not. With recovering overspending through the reconciliation proposal, there is less incentive for the Company to properly forecast its capital expenditures. Additionally, for the New Business capital costs, Con Edison does have some insight in the near-term regarding New Business costs through developer requests for service. The Panel also notes that while some uncertainty may exist regarding the rate of electrification adoption, New York City Local Law 154, and New York State All-Electric Buildings Act set specific dates for when new buildings are prohibited from installing fossil fuel equipment and building systems. As such, we recommend that the New Business costs continue to be part of the general downward net plant reconciliation if actual electric net plant is below the target set in rates.

Q. Please describe the Company's proposal addressing the Department of Environmental Conservation's (DEC) new regulation concerning

SF6 equipment and emission limitations.

A. The Company proposes recovery of incremental compliance cost associated with the DEC's new regulation via a deferral.

Q. Please explain the DEC's new regulation.

A. The new DEC rule, 6 NYCRR Part 495, phases-out the ability to acquire equipment containing SF6 between 2027 and 2033, depending on equipment voltage, and imposes a one percent SF6 emissions limit on GIS equipment beginning in 2030.

Q. What is the Company's justification and need for its proposal?

A. As stated on pages 184 and 185 of the initial EIOP testimony, the Company states that it did not have enough time to fully analyze cost impacts and incorporate forecasts into its revenue requirement as the rule was adopted by the DEC at the end of 2024. Additionally, the Company adds that its preliminary estimate indicates compliance with the rule could cost the Company more than $700 million in upcoming years.

Q. What did the Panel find in its review?

A. As mentioned previously in our testimony, the

new DEC rule phases-out the ability to acquire equipment containing SF6 starting in 2027 and imposes a one percent emission limit starting in 2030. In its response to DPS-844 the Company states that equipment at voltages below 38kV have a phase out date of January 1, 2027. Equipment at voltages between 38kV and 145kV have a phase out date of January 1, 2028, and equipment at voltages greater than 145kV have a phase out date of January 1, 2033. Con Edison did not identify any additional phase out dates for equipment containing SF6 on its electric system. When asked about the request for the SF6 deferral in RY1 when the phase-out of equipment containing SF6 begins in 2027, the Company states in response to DPS-860 that it is still evaluating the compliance costs and timeline to comply, and that its preliminary review indicates that it may need to start incurring costs in RY1 to meet requirements in subsequent years. Based on the phase-out dates for equipment containing SF6 beginning in 2027, and the uncertainty whether Con Edison will experience a cost impact in 2026 due to the DEC

rule, the Panel recommends delaying the request for the deferral out of the Rate Year.

Q. Does the Panel have any additional concerns with the proposed SF6 deferral?

A. Yes, we do. In its response to DPS-844 the Company provided the attachment DPS_38_844_Attachment 3 as a workpaper to support how it derived a preliminary estimate of $700 million for compliance with the DEC rule. Within this attachment, we found that the Company selected two substations, West 49th Street and Dunwoodie, and provided a specific number of breakers and associated bus sections that would need to be replaced for compliance with the DEC rule. For these substations, Company then provided a cost of $25 million per breaker and bus section and applied a 30 percent contingency and 21 percent escalation rate. In addition to these substations, and Company also included 25 non-GIS breaker replacements that would be needed to get compliance, at a unit cost of $1.6 million, with a 30 percent contingency and ten percent escalation rate. The response to DPS-844 does not explain why

these two substations were selected, how the Company selected the number of breakers and associated bus sections per substation, or why 25 non-GIS breaker replacements are required to comply with the DEC rule on equipment containing SF6.

Q. Does this conclude the Panel's testimony at this time?

A. Yes.